

Employee Handbook

Policies, Standards & Standard Operating Procedures

Edition: Revision 4.0 · Comprehensive Enterprise Edition

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Applies To: All U.S. employees, officers and directors of XYZ Corporation and its subsidiaries

Owner: Chief People Officer · **Legal Review:** Office of the General Counsel

Next Scheduled Review: July 1, 2027

A Message from the Chief Executive Officer

To every member of the XYZ Corporation team,

Welcome. Whether you joined us this morning or a decade ago, you are reading this because the work you do matters to our customers, to our shareholders and to each other. This handbook exists to make your working life clearer: to tell you what you can expect from XYZ Corporation, and what XYZ Corporation expects from you.

A handbook is not a substitute for judgment, and it cannot anticipate every situation. What it can do is set out the principles we hold ourselves to — fairness, honesty, safety, accountability and respect — and translate those principles into concrete, usable policy. Where this document is silent, ask. Where it appears to conflict with doing the right thing, raise it. We would rather have a difficult conversation early than discover a problem late.

Three commitments deserve to be stated plainly. First, we will not tolerate discrimination, harassment or retaliation in any form, from anyone, at any level. Second, we will not ask you to compromise your integrity to meet a business target; if you ever feel that pressure, that itself is a reportable concern. Third, we will protect the data our customers and colleagues entrust to us as if it were our own.

Please read this handbook. Keep it accessible. Return to it. And then sign the acknowledgment in Appendix F so we know it reached you.

With appreciation,

Chief Executive Officer

XYZ Corporation

How to Use This Handbook

This handbook is organized into nineteen parts and seven appendices. Parts I through VI address the employment relationship itself. Parts VII through X address conduct, technology and security. Parts XI through XV address operational policy — travel, procurement, expense, emergency response and continuity. Parts XVI through XIX address remote work, manager responsibilities, standard operating procedures, and the forms library.

Navigation aids used throughout

Element	What it means
Policy statement	The binding rule. Written in ordinary prose under each numbered heading.
Manager Action box	Green box. Tasks a people manager personally owns for that policy. Managers should treat these as a checklist.
Compliance Note box	Gold box. The statute, regulation or standard the policy is designed to satisfy, and where state law may differ.
Important box	Red box. Conduct that may result in discipline up to termination, or a legal exposure requiring care.
Practical Guidance box	Blue box. Non-binding help — examples, rules of thumb, common mistakes.
Forms	Boxed templates in Part XIX. Live fillable versions are on the People Portal.

Reading order for new hires

If you have limited time in your first week, read in this order: Part I (foundation and at-will employment), Part II §§6–8 (equal opportunity and anti-harassment), Part IV §§27–30 (pay and timekeeping), Part V §36 (paid time off), Part VIII §70 (code of ethics), Part IX §93 (artificial intelligence), Part X §§97–101 (security essentials), and Appendix F (acknowledgment). Then read the remainder within your first thirty days.

Reading order for new managers

Read Part XVII (Manager Responsibilities) first; it indexes every obligation managers carry and points back to the governing section. Then read Part VII (Performance Management), Part V (Leave — because managers are frequently the first to learn of a leave need and must route it correctly), and Part XVIII (SOPs).

Conventions

- "Company," "XYZ" and "we" mean XYZ Corporation and its wholly owned subsidiaries unless a narrower meaning is stated.
- "Employee" includes full-time, part-time and temporary employees on XYZ payroll. It does not include independent contractors, agency workers or vendor personnel, who are governed by their contracts and by the Contingent Worker Standards in §24.6.

- "People Team" means the Human Resources function. "People Partner" means the HR business partner assigned to your organization.
- "Must" and "will" denote mandatory requirements. "Should" denotes a strong expectation permitting documented exceptions. "May" denotes permission.
- Section cross-references use the § symbol. Appendix references use letters A-G.

PRECEDENCE OF DOCUMENTS

Where this handbook conflicts with (a) applicable federal, state or local law, (b) a written collective bargaining agreement, (c) an official plan document or summary plan description for a benefit plan, or (d) an individually signed written agreement executed by an authorized officer of the Company, that other authority controls and this handbook yields to it to the extent of the conflict. Nothing in this handbook is intended to abridge any right protected by Section 7 of the National Labor Relations Act.

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PART I

Foundation of the Employment Relationship

Purpose, scope, governing principles, the at-will nature of employment, and how this handbook is administered and amended.

1. Purpose and Scope of This Handbook

This handbook consolidates the employment policies, operational standards and standard operating procedures of XYZ Corporation into a single reference. It replaces all prior handbooks, policy memoranda and intranet policy pages issued before the effective date on the cover, except where a specific document is expressly preserved in Appendix G (Document Control and Revision History).

1.1 Who is covered

This handbook applies to all employees of XYZ Corporation and its wholly owned U.S. subsidiaries, including executive officers. Employees working outside the United States are covered by their local country addendum, which controls where local law or practice differs; the Code of Ethics (Part VIII), the Technology and AI policies (Part IX) and the Cybersecurity Standards (Part X) apply globally without modification except where local law requires otherwise.

1.2 Who is not covered

Independent contractors, consultants, staffing-agency personnel, and vendor employees are not XYZ employees and are not covered by XYZ benefits, leave or performance policies. They must nonetheless comply with the Code of Ethics, the Technology and Cybersecurity Standards, and site safety rules as a condition of access. See §24.6.

1.3 Employees represented by a union

Where employees are covered by a collective bargaining agreement, the terms of that agreement control on any subject it addresses. This handbook applies to subjects the agreement does not address.

1.4 Effective date and transition

This revision takes effect on the cover date. Accrual balances, open leave requests, in-flight performance cycles and pending investigations initiated under the prior revision continue under the prior rules unless the new rule is more favorable to the employee, in which case the new rule applies prospectively from the effective date.

2. About XYZ Corporation: Mission, Values and Operating Principles

2.1 Mission

XYZ Corporation exists to deliver products and services that make our customers measurably more capable, and to do so in a way that is durable — commercially, ethically and environmentally.

2.2 Core values

Value	What it looks like in practice
Integrity first	We tell customers, regulators and each other the truth, including when the truth is costly. We do not create documents we would be embarrassed to have read aloud. We escalate bad news early.
Respect for people	We assume competence and good faith. We disagree about ideas, not people. We do not use position or volume to win arguments. We make room for people who are different from us.
Customer obsession	We start from the customer's problem, not our roadmap. We measure what changed for the customer, not what we shipped.
Accountability	We name owners, not committees. We say what we will do and by when. When we miss, we say so without being asked.
Rigor	We prefer evidence to assertion, and a written argument to a confident voice. We are comfortable saying "I don't know yet."
Safety and stewardship	We stop work that is unsafe. We treat customer data as a trust, not an asset. We leave systems better documented than we found them.

2.3 Operating principles

- **Decide at the lowest competent level.** Escalate for genuine trade-offs across organizations, not for cover.
- **Write it down.** Significant decisions get a short written record: the decision, the owner, the date, the alternatives considered and the reversal criteria.
- **Disagree and commit.** Dissent belongs in the room and before the decision. Once made, we execute as one team and revisit only on new information.
- **No surprises.** Managers should never learn of a material problem from someone outside their own team.
- **Default to transparency, subject to confidentiality.** Share broadly unless the information is personal, customer-confidential, materially non-public, or legally privileged.

2.4 How values are used in employment decisions

Values are assessed alongside results in performance reviews (§63), promotion decisions (§22) and talent reviews (§67). Strong results achieved through conduct inconsistent with our values do not qualify an employee for promotion and may themselves be grounds for corrective action.

3. At-Will Employment

Employment with XYZ Corporation is at will. This means that you may resign at any time, for any reason or no reason, with or without notice, and that XYZ Corporation may likewise end the employment relationship at any time, for any lawful reason or no reason, with or without notice or cause. Nothing in this handbook, in any Company document, in any statement made during recruiting or performance discussions, or in any course of conduct alters the at-will relationship.

The at-will relationship may be modified only by a written agreement that (a) expressly states an intent to modify at-will status and (b) is signed by both the employee and the Chief Executive Officer or Chief People Officer of XYZ Corporation. No manager, recruiter or other representative has authority to modify at-will status orally or by implication.

3.1 What at-will does not mean

At-will employment does not permit termination for an unlawful reason. XYZ Corporation will not terminate or discipline an employee because of a protected characteristic (§6), because the employee engaged in protected activity such as reporting a concern in good faith (§9, §77), for exercising a statutory right such as taking protected leave (Part V) or filing a workers' compensation claim (§47.4), for lawful off-duty conduct where state law protects it, or for engaging in concerted activity protected by the National Labor Relations Act.

3.2 Progressive discipline and at-will status

The progressive discipline framework in §66 describes the Company's ordinary practice. It is a guideline, not a contractual sequence. XYZ Corporation reserves the right to skip steps, repeat steps, or move directly to termination where the circumstances warrant.

COMPLIANCE NOTE — MONTANA

Montana is not a pure at-will jurisdiction. Under the Montana Wrongful Discharge from Employment Act, after an employee completes the employer's probationary period (or, absent a stated period, six months of employment) discharge must be for good cause. For Montana-based employees, §3 is modified accordingly and the introductory period in §20 is expressly designated as the statutory probationary period. Consult the People Team before initiating any separation in Montana.

4. Employment Eligibility and Immigration Compliance

XYZ Corporation employs only individuals authorized to work in the United States. Every new hire must complete Section 1 of USCIS Form I-9 no later than the first day of work for pay and must present acceptable original documentation establishing identity and employment authorization no later than the third business day following the start date. The Company completes Section 2 within that window and participates in E-Verify at all locations where participation is required by law or contract.

4.1 Non-discrimination in verification

The Company will not request more or different documents than the I-9 Lists of Acceptable Documents permit, will not specify which document an employee must present, and will not reject

documents that reasonably appear genuine. Treating employees differently in the verification process based on citizenship status or national origin is prohibited by the anti-discrimination provision of the Immigration and Nationality Act.

4.2 Reverification and work authorization expiry

Employees whose temporary employment authorization is expiring are notified by the Immigration team at 150, 90 and 45 days before expiry. It is the employee's responsibility to present unexpired authorization on or before the expiration date. An employee who cannot do so must be removed from payroll until authorization is re-established.

4.3 Immigration sponsorship

XYZ Corporation sponsors employment-based nonimmigrant and immigrant petitions for certain roles at the Company's discretion, based on business need and role criticality. Sponsorship decisions are made by the hiring executive with Immigration team review. The Company pays all statutorily required employer fees, including the H-1B ACWIA and fraud prevention fees, and files Labor Condition Applications with required public access files maintained by the Immigration team. Employees may not reimburse the Company for these fees.

5. Handbook Administration, Interpretation and Amendment

5.1 Ownership

The Chief People Officer owns this handbook. Individual parts have delegated owners: Part VIII (Code of Ethics) is owned by the General Counsel and the Chief Compliance Officer; Parts IX and X (Technology, AI, Cybersecurity) by the Chief Information Officer and Chief Information Security Officer jointly; Parts XI-XIII (Travel, Procurement, Expense) by the Chief Financial Officer; Parts XIV-XV (Emergency Response, Business Continuity) by the Chief Operating Officer.

5.2 Amendment

XYZ Corporation reserves the right to add to, modify, suspend, interpret or cancel any policy, practice or benefit described in this handbook, in whole or in part, at any time, with or without notice, subject only to applicable law and to the plan-amendment procedures in governing benefit plan documents. Material changes are communicated by company-wide email and posted to the People Portal at least fourteen calendar days before taking effect, except where a shorter period is required by law or urgent circumstances.

5.3 Annual review cycle

Timing	Activity	Owner
Q1	Legislative scan of federal and 50-state changes; identify required amendments	Employment Counsel
Q2	Policy owner review of assigned parts; draft redlines; internal audit findings incorporated	Policy owners
Q3	Legal and works-council/union review where applicable; executive approval	General Counsel / CPO
Q4	Publication, manager briefing, acknowledgment campaign, training updates	People Team

5.4 Requests for interpretation and exceptions

Questions of interpretation should be directed to the People Team at *people@xyzcorp.example*. Requests to deviate from a policy must be submitted in writing through the Policy Exception Request (Form 19.14), must state the business justification, the duration and the compensating control, and must be approved by the policy owner. Approved exceptions are logged in the exception register and reviewed at least annually. Undocumented deviations are policy violations.

5.5 Severability

If any provision of this handbook is found unlawful or unenforceable in a jurisdiction, that provision is modified to the minimum extent necessary to make it enforceable in that jurisdiction, or if that is not possible, severed. All remaining provisions continue in full force.

5.6 No contract; no third-party rights

This handbook is a statement of policy. It is not a contract of employment, does not create contractual or vested rights, and confers no rights on any third party. Descriptions of benefit plans are summaries only; the official plan documents control (§50.6).

PRACTICAL GUIDANCE — WHERE TO GO FIRST

Pay, leave, accommodation, performance or interpersonal issue → your People Partner. Ethics, conflict of interest, suspected fraud or legal risk → Ethics & Compliance or the Integrity Line (§77.2). Suspected security incident or lost device → Security Operations immediately (§105). Physical emergency → 911 first, then Global Security. Anything you cannot place → your manager, who is responsible for routing it (§XVII).

PART II

Equal Opportunity and a Respectful Workplace

Equal employment opportunity, harassment and discrimination prohibitions, retaliation, disability and religious accommodation, pregnancy protections, federal contractor affirmative action obligations, and the complaint and investigation process.

6. Equal Employment Opportunity

XYZ Corporation is an equal opportunity employer. All employment decisions — recruiting, hiring, placement, job assignment, training, compensation, benefits, promotion, transfer, discipline, layoff, recall and termination — are made on the basis of qualifications, merit, performance and business need, and without regard to any legally protected characteristic.

6.1 Protected characteristics

The Company prohibits discrimination on the basis of: race; color; religion, religious creed, religious dress and grooming practices; national origin; ancestry; citizenship or immigration status; sex; pregnancy, childbirth, breastfeeding and related medical conditions; sexual orientation; gender, gender identity, gender expression and transgender status; age (40 and over, and any age where state law protects it); physical or mental disability; medical condition; genetic information or family medical history; marital, domestic partnership, civil union or familial status; military or veteran status; political affiliation or lawful off-duty political activity where protected; reproductive health decision-making; status as a victim of domestic violence, sexual assault or stalking; hair texture and protective hairstyles; height and weight where protected; arrest or conviction record except as permitted by law and consistent with §16; credit history except where permitted; use of a lawful product off duty where protected; and any other characteristic protected by applicable federal, state or local law.

6.2 Scope of application

This policy applies to all employees, applicants, interns and apprentices; to conduct occurring at any Company facility, customer or vendor site, off-site meeting, business trip, conference, Company-sponsored social event, or on any Company communications platform; and to conduct that occurs remotely or through personal accounts where it affects the workplace.

6.3 Employees' obligations

Every employee is expected to support equal opportunity in practice: to raise concerns, to avoid stereotyped assumptions in evaluation and assignment, to interrupt behavior that undermines a colleague's standing, and to cooperate fully in investigations.

6.4 Self-identification

Employees may voluntarily self-identify race, ethnicity, sex, disability status and veteran status through the HRIS. Self-identification is voluntary, confidential, used only for compliance reporting and program design, kept separate from personnel files, and never used in employment decisions. Declining to self-identify carries no consequence.

COMPLIANCE NOTE — STATUTORY BASIS

Title VII of the Civil Rights Act of 1964; the Pregnancy Discrimination Act; the Age Discrimination in Employment Act (ADEA); the Americans with Disabilities Act as amended (ADAAA); the Genetic Information Nondiscrimination Act (GINA); the Equal Pay Act; the Immigration and Nationality Act §274B; Sections 1981 and 1983 of the Civil Rights Acts; the Pregnant Workers Fairness Act (PWFA); the PUMP for Nursing Mothers Act; the Uniformed Services Employment and Reemployment Rights Act (USERRA); Executive Order 11246, Section 503 of the Rehabilitation Act and VEVRAA for covered federal contractors; and applicable state fair employment practice statutes (see Appendix A). *Bostock v. Clayton County*, 590 U.S. 644 (2020) establishes that discrimination on the basis of sexual orientation or gender identity is discrimination "because of sex" under Title VII.

7. Anti-Harassment and Anti-Discrimination Policy

XYZ Corporation prohibits harassment of or by any employee, applicant, contractor, customer, vendor or visitor on the basis of any characteristic protected under §6.1. This prohibition is not limited to conduct that is severe or pervasive enough to be unlawful; the Company holds itself to a higher standard and will address conduct well before it reaches that threshold.

7.1 What harassment is

Harassment is unwelcome conduct based on a protected characteristic that (a) is made a condition of employment, (b) is used as a basis for an employment decision, or (c) creates an intimidating, hostile, humiliating or offensive working environment. It may be verbal, written, visual, physical or electronic. It does not require intent to harm, and it does not require that the person be the direct target — conduct directed at a group, or witnessed by others, can create a hostile environment.

Illustrative examples (non-exhaustive)

- **Verbal:** slurs, epithets, derogatory nicknames, mocking an accent, jokes premised on stereotypes, comments about a person's body, persistent questions about someone's sex life or transition, repeated unwanted requests for dates.
- **Written and electronic:** offensive messages in chat channels, memes or images circulated internally, comments on a colleague's social media, targeted posts about a coworker, disparaging remarks in code comments or ticket notes.

- **Visual:** displaying sexually explicit or degrading images, symbols associated with hate movements, cartoons or posters that demean a protected group.
- **Physical:** unwanted touching, blocking movement, standing intimidatingly close, throwing objects, any assault.
- **Exclusionary:** systematically excluding a colleague from meetings, information or social events because of a protected characteristic; assigning menial work on that basis; talking over or "reassigning credit" for a colleague's work along protected lines.

7.2 Sexual harassment

Sexual harassment includes unwelcome sexual advances, requests for sexual favors, and other conduct of a sexual nature where submission is made a term of employment or a basis for employment decisions (*quid pro quo*), or where the conduct creates a hostile work environment. Sexual harassment can occur between people of any sex or gender identity and does not require sexual attraction or desire; conduct that is hostile toward a person because of their sex, without any sexual content at all, is also prohibited.

IMPORTANT — ABUSE OF AUTHORITY

Any supervisor, manager or executive who conditions any benefit — an assignment, a rating, a promotion, continued employment, a reference — on a subordinate's acceptance of social or sexual attention will be terminated. Any leader who is aware of harassment and fails to report it, or who takes or permits retaliation against a complainant, is subject to discipline up to and including termination regardless of whether they engaged in the underlying conduct.

7.3 Bullying and abusive conduct

Independent of protected characteristics, XYZ Corporation prohibits abusive conduct: repeated infliction of verbal abuse, conduct a reasonable person would find threatening, intimidating or humiliating, gratuitous sabotage or undermining of a person's work, or public berating. Legitimate, respectfully delivered performance feedback and reasonable direction are not bullying, even when unwelcome.

7.4 Third parties

Employees are protected from harassment by non-employees, including customers, vendors, contractors and visitors. Employees should report such conduct through the same channels; the Company will take appropriate action, which may include restricting site access, requiring the third party to remove an individual from the XYZ account, or terminating the commercial relationship. No employee is expected to tolerate harassment from a customer for commercial reasons.

7.5 Reporting

Any employee who experiences or observes conduct that may violate this policy should report it promptly through any of the following channels. There is no requirement to confront the person first, and no requirement to use your own manager.

Channel	Detail
Your manager or any manager	Managers must escalate to the People Team within 24 hours. They may not investigate independently or promise to keep the matter to themselves.
Your People Partner	Direct contact listed on the People Portal.
Employee Relations	<i>employee-relations@xyzcorp.example</i> — monitored during business hours.
Integrity Line	Third-party operated, 24/7, telephone and web intake, anonymous reporting permitted where local law allows. See §77.2.
Legal / Compliance	General Counsel or Chief Compliance Officer directly.
External agencies	Nothing in this policy prevents an employee from filing a charge with the EEOC, a state fair employment agency, the NLRB, OSHA, the SEC or any other agency, or from cooperating in an agency investigation. See §77.5.

7.6 Consequences

Substantiated violations result in corrective action proportionate to the conduct, which may include coaching, mandatory training, a documented warning, removal from management responsibility, reassignment, denial of bonus or merit increase, demotion, or termination. Conduct involving physical contact, threats, or abuse of authority ordinarily results in termination for a first offense.

7.7 Knowingly false reports

A report made in good faith that is not substantiated is not a false report and carries no consequence. Knowingly fabricating an allegation, or knowingly providing false information in an investigation, is misconduct.

MANAGER ACTION — §7

- Escalate every harassment or discrimination concern to the People Team within 24 hours, even if the employee asks you not to, even if it seems minor, and even if it involves someone outside your team. You have no discretion here.
- Do not investigate, do not interview witnesses, do not confront the subject, do not take notes describing your own conclusions.
- Do not promise confidentiality. Say instead: "I will share this only with those who need to know to address it."
- Do not change the complainant's schedule, assignments, reporting line or location without People Team direction — even to "protect" them. That can itself be retaliation.
- Document only: date and time, who reported, what they said in their words, what you did. Send it to your People Partner and keep no separate copy.
- Interrupt conduct you observe in the moment, name it plainly, and report it afterward.

8. Anti-Retaliation

Retaliation against a person who engages in protected activity is prohibited and is independently a terminable offense. Retaliation is one of the most common bases for successful employment claims, and unlike an underlying complaint, a retaliation claim can succeed even if the original complaint was unfounded.

8.1 Protected activity

- Reporting, or intending to report, suspected discrimination, harassment, safety violations, wage violations, fraud, accounting irregularities, securities violations, or any other legal or policy violation.
- Participating in an internal investigation as a complainant, subject or witness.
- Filing or participating in a proceeding before the EEOC, NLRB, OSHA, SEC, DOL, a state agency or a court.
- Requesting or using a reasonable accommodation for disability, religion, pregnancy or nursing.
- Requesting or taking protected leave, including FMLA, state family leave, military leave, jury duty or sick leave.
- Discussing or disclosing wages, hours or working conditions with coworkers, or engaging in other concerted activity protected by Section 7 of the NLRA.
- Refusing to perform work the employee reasonably and in good faith believes is unlawful or acutely unsafe.
- Reporting a suspected data breach or objecting to a privacy practice.

8.2 What retaliation looks like

Any materially adverse action, and any pattern of smaller actions that would dissuade a reasonable person from raising a concern: termination, demotion, negative rating change, denial of promotion, exclusion from meetings or information, removal of high-visibility work, unwarranted scrutiny, schedule or shift changes, geographic transfer, social ostracization, threats, spreading word of the complaint, or a sudden negative reference.

8.3 Protective measures

When a complaint is received, Employee Relations documents the complainant's current rating, compensation trajectory, assignments and reporting line. Any proposed change to a complainant's or witness's employment status within twelve months requires advance Employee Relations review and a documented, independent business justification. This review protects both the employee and the Company.

9. Disability Accommodation and the Interactive Process

XYZ Corporation provides reasonable accommodation to qualified applicants and employees with disabilities, and to employees with known limitations arising from pregnancy, childbirth or related conditions, unless doing so would impose an undue hardship on the operation of the business.

9.1 How to request

An employee may request accommodation from their manager, their People Partner, or the Accommodations team at accommodations@xyzcorp.example. No special words or forms are required to start the process — a statement that a medical condition is making some part of the job difficult is enough. Requests may be made at any time, including after performance concerns have been raised, although accommodation does not excuse past performance issues.

9.2 The interactive process

Step	Action	Detail and timing
1	Intake	Accommodations specialist acknowledges the request within two business days and opens a confidential case file separate from the personnel file.
2	Identify functions and barriers	Specialist reviews the essential functions of the role with the manager and identifies the specific barrier. Managers supply job facts, not medical opinions.
3	Medical information	Where the disability or need is not obvious, the specialist may request limited documentation of functional limitations from a treating provider. The Company does not request a full diagnosis or complete medical records, and never requests family medical history (GINA).
4	Explore options	Specialist, employee and manager discuss possible accommodations. The employee's preference is given serious weight but the Company may select among effective alternatives.
5	Decide and implement	Written determination normally within fifteen business days of complete documentation. Interim accommodations are provided where feasible while the process is pending.
6	Monitor	Check-in at 30 and 90 days; accommodations are reviewed when the role, the condition or the work environment changes.
7	Reassignment	If no accommodation permits performance of the current role, the Company searches for a vacant position the employee is qualified for as an accommodation of last resort.

9.3 Examples of accommodations

Modified schedules or flexible start times; remote or hybrid work; leave beyond a policy entitlement; ergonomic equipment; screen readers, captioning, magnification or other assistive technology; quiet or low-stimulus workspace; written rather than verbal instructions; job restructuring to redistribute marginal (non-essential) functions; frequent short breaks; reduced travel; service animals; parking; interpreter services; light-duty transitional assignment; and reallocation of on-call rotation.

9.4 Undue hardship and direct threat

An accommodation may be denied if it would cause significant difficulty or expense considering the Company's overall resources, or if the employee would pose a direct threat — a significant risk of substantial harm that cannot be eliminated by accommodation, assessed individually on current

medical evidence and never on stereotype or speculation. Denials require Legal review and a written explanation to the employee, along with an offer to consider alternatives.

9.5 Confidentiality of medical information

Medical information is maintained in confidential files with access limited to the Accommodations team, Benefits, and Legal. Managers are told only what the employee's work restrictions and approved accommodations are — never the diagnosis, prognosis or treatment.

COMPLIANCE NOTE — LEAVE AS AN ACCOMMODATION

Exhaustion of FMLA leave does not end the Company's obligations. Additional unpaid leave may be a required reasonable accommodation under the ADA where it is finite and likely to enable return to work. Inflexible maximum-leave policies and automatic termination at a fixed leave duration violate the ADA. Every case reaching the end of protected leave is routed to the Accommodations team before any separation decision (see §47.5).

10. Religious Accommodation

The Company accommodates sincerely held religious beliefs, observances and practices unless the accommodation would impose more than a *de minimis*-plus burden — specifically, a substantial burden in the overall context of the Company's business, the standard articulated in *Groff v. DeJoy*, 600 U.S. 447 (2023).

10.1 Common accommodations

- Schedule adjustments, shift swaps or flexible hours for Sabbath and holy day observance.
- Use of PTO or unpaid time for religious holidays not on the Company calendar; two floating holidays are provided specifically to enable this (§38.3).
- Exceptions to dress and grooming standards for religious attire, head coverings, beards and uncut hair.
- Space and short breaks for prayer.
- Dietary accommodation at Company-catered events.
- Relief from a discrete task that conflicts with a religious belief, where reassignment is workable.

10.2 Process and sincerity

Requests follow the same intake as §9.1. The Company presumes sincerity and does not evaluate the theological merit, orthodoxy or logical consistency of a belief. Limited inquiry is permitted only where there is an objective basis to question sincerity, and only with Legal involvement. Religion includes non-theistic moral or ethical beliefs held with the strength of traditional religious views; it does not include purely political, social or economic philosophies.

10.3 Limits

Accommodation does not extend to conduct that harasses coworkers, to proselytizing that persists after a colleague asks it to stop, or to refusing to work with or serve a customer or colleague because of that person's protected characteristic.

11. Pregnancy, Childbirth, Nursing and Reproductive Health

11.1 Pregnant Workers Fairness Act accommodations

Employees are entitled to reasonable accommodation for known limitations related to pregnancy, childbirth or related medical conditions, absent undue hardship, whether or not the condition is a disability. The employee may not be forced to accept an accommodation without discussion, may not be required to take leave if another accommodation would allow continued work, and may not be denied employment opportunities because of a need for accommodation. Typical accommodations include additional restroom, water and rest breaks; seating; limits on lifting; parking closer to the entrance; schedule changes for morning sickness or appointments; remote work; uniform changes; temporary transfer out of hazardous exposure; and leave for recovery.

11.2 Lactation accommodation

Nursing employees are provided reasonable break time to express milk for up to two years after the child's birth (or longer where state law provides), and access to a private, clean space — not a bathroom — that is shielded from view, free from intrusion, and contains a seat, a flat surface, electricity and access to a sink and refrigeration nearby. Break time is paid if the employee is not fully relieved of duty or if the break coincides with an otherwise paid break; non-exempt employees who are fully relieved may be unpaid for the additional time except where state law requires pay. Lactation rooms are listed in the facilities directory and may be reserved.

11.3 Reproductive health and fertility

The Company does not make employment decisions based on an employee's reproductive health decisions, use of contraception, fertility treatment, pregnancy termination, adoption or surrogacy arrangements. Medical leave for fertility treatment and related procedures is treated as any other medical leave (§47).

11.4 Parental leave

See §41 for the Company's paid parental leave benefit, available equally to birthing and non-birthing parents and to adoptive and foster parents, and §39–40 for FMLA and state family leave interaction.

12. Affirmative Action and Federal Contractor Obligations

As a federal contractor, XYZ Corporation maintains written affirmative action programs and takes affirmative action to employ and advance qualified minorities, women, individuals with disabilities and protected veterans.

12.1 Programs maintained

Authority	Obligation
Executive Order 11246	Written AAP for minorities and women at each establishment of 50+ employees; job-group availability analysis, utilization analysis, placement goals where underutilization exists, and good-faith outreach. Includes the pay transparency nondiscrimination provision.
Section 503, Rehabilitation Act	Written AAP for individuals with disabilities; 7% utilization goal per job group; invitations to self-identify at pre-offer, post-offer and annually; accommodation procedures; annual assessment of outreach effectiveness.
VEVRAA	Written AAP for protected veterans; annual hiring benchmark; mandatory job listing with the appropriate state employment service delivery system; VETS-4212 annual report.
EEO-1 / Component reporting	Annual EEO-1 Component 1 filing of workforce demographics by job category.

12.2 Responsibility

The Chief People Officer is the designated AAP officer. Hiring managers must document selection rationale for every requisition (§14.7), use only job-related criteria, and retain applicant records for the periods in §21.5. Managers are evaluated in part on their compliance with these obligations.

12.3 Access to the AAP

The narrative portions of the current affirmative action programs are available for review by any employee or applicant during business hours by contacting the People Team. Data portions are confidential.

12.4 Contractor employee rights

Required posters and notices — including "EEO is the Law," the pay transparency policy statement, and E-Verify and right-to-work notices — are posted at each facility and on the People Portal for remote employees.

13. Complaint Intake and Investigation Procedure

This section describes how XYZ Corporation handles complaints of discrimination, harassment, retaliation, abusive conduct and other serious workplace misconduct. Ethics, fraud and financial matters follow §77.

13.1 Principles

- **Prompt.** Intake acknowledged within one business day; investigation opened within three; target completion within thirty calendar days, with written status updates every two weeks if longer.

- **Impartial.** Investigators have no stake in the outcome and no reporting relationship to the parties. Complaints against executives are investigated by outside counsel and reported to the Audit Committee.
- **Thorough.** All reasonably available evidence is gathered, including exculpatory evidence and evidence the complainant did not identify.
- **Discreet.** Information is shared strictly on a need-to-know basis. Complete confidentiality cannot be promised because a fair process requires telling the subject the allegations.
- **Documented.** A written report with findings on each allegation, the evidence relied upon, credibility assessments and a recommendation.

13.2 Stages

Stage	What happens
Intake	Complaint received through any channel in §7.5. Employee Relations records the allegations, the parties, dates, witnesses and any documents. Immediate safety risk triggers interim measures the same day.
Triage and plan	Assessment of severity, conflicts of interest and privilege. Investigation plan identifies allegations to be tested, witnesses and evidence to be preserved. Legal hold issued where litigation is reasonably anticipated (§95.4).
Interim measures	May include paid administrative leave for the subject, schedule or reporting separation, suspension of system access, or a no-contact directive. Measures are designed not to burden the complainant.
Complainant interview	Detailed account, specific examples with dates, impact, witnesses, prior reports, desired outcome. Complainant is advised of the anti-retaliation policy and given a point of contact.
Witness interviews	Neutral, non-leading questions. Witnesses are told cooperation is mandatory, retaliation is prohibited, and they should not discuss the interview with colleagues.
Subject interview	Subject is informed of the allegations with enough specificity to respond, given an opportunity to present evidence and name witnesses, and reminded that retaliation is independently terminable.
Evidence review	Messages, email, calendars, badge and access logs, documents, prior complaints and performance records, gathered only as relevant and proportionate.
Findings	Each allegation is found substantiated, unsubstantiated, or inconclusive, on a preponderance-of-the-evidence standard.
Outcome	Corrective action determined by the People Team with the business leader and, where warranted, Legal. Consistency with prior comparable cases is checked against the discipline register.
Closure	Both parties are informed in writing that the investigation concluded and whether the allegations were substantiated, together with any action affecting them directly. Details of another employee's discipline are not disclosed.
Follow-up	Employee Relations checks in with the complainant at 30, 90 and 180 days on recurrence and retaliation, and reviews any adverse action for twelve months (§8.3).

13.3 Employee rights during investigation

Employees may bring a support person to an interview where required by law or agreement; may decline to answer questions about matters outside the scope; will not be asked to sign a statement they disagree with; and retain the right to contact an external agency at any point. Employees represented by a union have *Weingarten* rights to representation in investigatory interviews that may lead to discipline.

13.4 Records

Investigation files are held by Employee Relations separately from personnel files, retained for the greater of seven years after closure or the applicable statute of limitations, and accessible only to Employee Relations leadership, Legal and, on a need-to-know basis, the deciding executive.

PART III

The Employment Lifecycle

Recruiting and selection, background screening, classification, employment categories, onboarding, records and privacy, internal mobility, and separation.

14. Recruiting, Selection and Hiring

14.1 Requisition and approval

No candidate may be interviewed and no offer extended without an approved requisition in the applicant tracking system. Requisitions require a written job description with essential functions, a defined level and pay range validated by Compensation, headcount confirmation from Finance, and approval one level above the hiring manager. Backfills require confirmation the departing employee's final date is recorded.

14.2 Job descriptions

Every job description must state the essential functions (used for ADA analysis), required and preferred qualifications tied to job performance, physical or environmental requirements where genuinely applicable, the level, and the posted pay range. Requirements that are not genuinely necessary — degree requirements for roles where experience suffices, arbitrary years-of-experience floors, "digital native" or other age-coded language — must be removed. Job descriptions are reviewed at least every two years.

14.3 Posting and outreach

All positions are posted internally on the career site for a minimum of five business days before external posting, except for confidential executive searches and roles filled through a documented succession plan. Openings are listed with state employment service delivery systems as required by VEVRAA and distributed to diverse sourcing partners.

14.4 Structured, consistent interviewing

- Every requisition has a defined interview plan: the competencies assessed, who assesses each, and the questions used.
- All candidates for a requisition are asked the same core questions in the same format.
- Interviewers submit written feedback in the ATS **before** reading others' feedback and before the debrief.
- Panels should include at least one interviewer from outside the hiring team.

- Only trained interviewers may participate; training must be current within 24 months.
- Assessment must be against the competencies, not "culture fit," likability or similarity to the interviewer.

14.5 Prohibited interview topics

Do not ask about	Ask instead
Age, graduation years, retirement plans	Whether the candidate meets a genuine licensure or minimum-age requirement
Marital status, children, childcare, pregnancy, family plans	Ability to meet the role's stated schedule and travel requirements, asked of all candidates
Religion or religious observance	Availability for the role's actual required schedule
National origin, birthplace, native language, accent	Authorization to work in the U.S.; language ability where the job genuinely requires it
Disability, health, medical history, prior workers' compensation claims, prescriptions	Ability to perform the essential functions with or without accommodation
Salary history (prohibited in many jurisdictions)	The candidate's compensation expectations, after disclosing the range
Arrest record; conviction record before the point permitted by local law	Nothing at interview; screening occurs post-offer per §16
Military discharge type, union membership, political affiliation, sexual orientation, gender identity, credit or bankruptcy	Job-related skills and experience only

14.6 Pay transparency in recruiting

Job postings include the good-faith pay range and a general description of benefits and other compensation. Recruiters disclose the range at or before the first substantive conversation and do not ask for or rely on prior salary history in setting an offer. Where a candidate volunteers salary history, it is not recorded and not used.

14.7 Selection documentation

The hiring manager records in the ATS the basis for advancing or declining each interviewed candidate in job-related terms, the selection rationale for the finalist, and the offer approvals. These records support OFCCP compliance and are retained per §21.5. Feedback such as "not a fit," "low energy" or "seemed overqualified" is not acceptable documentation.

14.8 Offers

Only Talent Acquisition may extend an offer, and only in writing on the approved template after Compensation approval. Offer letters state at-will status, base pay, pay frequency, exempt/non-exempt classification, bonus or commission eligibility, start date, contingencies (background check, I-9, reference verification, drug screen where applicable), and required agreements.

Managers must not make oral commitments about job security, guaranteed bonuses, future promotions, "permanent" employment, or benefits not in the plan documents.

14.9 Employee referrals and nepotism

Referrals are encouraged and eligible for the referral bonus described on the People Portal. Employees may not participate in the requisition, interview, selection, offer or compensation decisions for a relative or a person with whom they have a romantic relationship. See §83.

14.10 Rescission of offers

An offer may be withdrawn if a contingency is not satisfied, if material misrepresentation is discovered, or if business conditions change. Any rescission requires People Team and, where a start date has been set and the candidate has resigned other employment, Legal review.

15. Employment Agreements and Restrictive Covenants

As a condition of employment all employees sign the Employee Proprietary Information and Inventions Agreement, which covers confidentiality, assignment of inventions, and return of property. Certain roles additionally sign non-solicitation or, where lawful and appropriate, narrowly drawn post-employment restrictions.

15.1 Enforceability by jurisdiction

Restrictive covenants are governed by state law and vary substantially. XYZ Corporation does not present, enter into or enforce non-compete agreements with employees in jurisdictions where they are void — including California, Minnesota, North Dakota and Oklahoma — and observes compensation thresholds, notice requirements and duration limits in states such as Washington, Colorado, Illinois, Massachusetts, Maine, Maryland, Oregon, Rhode Island, Virginia and the District of Columbia. Agreements are jurisdiction-specific and must be issued by Legal; managers must never draft or promise one.

15.2 Advance notice

Where any restrictive covenant is required, the candidate receives it with the offer and at least the statutorily required advance notice (fourteen days in several states) before the start date, and is advised in writing of the right to consult counsel.

15.3 Preserved employee rights

COMPLIANCE NOTE — CARVE-OUTS REQUIRED IN ALL AGREEMENTS

Every confidentiality, non-disparagement and separation agreement issued by XYZ Corporation includes carve-outs preserving the employee's right to: (a) report possible violations of law to any government agency and participate in agency proceedings without notice to the Company; (b) receive a whistleblower award (Dodd-Frank §922, SEC Rule 21F-17); (c) discuss wages, hours and working conditions with coworkers (NLRA §7); (d) disclose facts underlying claims of harassment, discrimination or retaliation where state law protects such disclosure; and (e) the immunity for disclosure of a trade secret to an attorney or government official in connection with reporting a suspected violation of law (Defend Trade Secrets Act, 18 U.S.C. §1833(b)). Agreements lacking these carve-outs must not be used.

16. Background Screening and Reference Checks

16.1 Scope and timing

Background checks are conducted after a conditional offer is extended and accepted, through an approved consumer reporting agency. Scope is calibrated to the role: identity and right-to-work for all; employment and education verification for all; criminal history where permitted; credit history only for roles with fiduciary, treasury or significant financial authority and only where state law permits; motor vehicle records for roles that drive on Company business; professional license verification where licensure is required; and enhanced screening (including sanctions and politically-exposed-person checks) for executives and roles handling regulated data.

16.2 FCRA process

Step	Requirement
Disclosure	Clear and conspicuous standalone written disclosure that a consumer report may be obtained. No liability waiver or other content may appear in the disclosure document.
Authorization	Written authorization obtained from the candidate before the report is ordered.
Pre-adverse action	If the report may lead to an adverse decision, the candidate receives a copy of the report, the CFPB "Summary of Your Rights Under the FCRA," and a written notice identifying the concerning information.
Waiting period	Minimum five business days (longer where local law requires) for the candidate to dispute accuracy or provide context, including evidence of rehabilitation.
Individualized assessment	Consideration of the nature and gravity of the offense, the time elapsed, the nature of the job, and any evidence of rehabilitation, before any decision.
Adverse action	Final written notice identifying the CRA, stating the CRA did not make the decision, and restating dispute and free-file-copy rights.

16.3 Fair-chance requirements

The Company does not ask about criminal history on applications or at interview, does not consider arrests not resulting in conviction, expunged or sealed records, juvenile adjudications, participation in diversion programs, or convictions beyond the lookback window permitted by local law, and does not maintain blanket exclusions. A conviction is disqualifying only where there is a direct and specific relationship to the duties of the position or where exclusion is required by law or by a customer contract.

16.4 References

Talent Acquisition conducts reference checks with candidate consent, limited to job-related questions. Employees who receive reference requests about former XYZ colleagues must forward them to the People Team; the Company's practice is to confirm dates of employment, position held and, with the former employee's written authorization, final compensation (§23.8).

17. Job Classification: Exempt and Non-Exempt Status

Every position is classified as exempt or non-exempt from overtime under the Fair Labor Standards Act and applicable state law. Classification is determined by Compensation based on actual duties and salary, not on job title, education, pay method, or the employee's or manager's preference.

17.1 Non-exempt employees

Non-exempt employees are paid for all hours worked, must record time accurately (§28), and receive overtime premium pay (§29). They may not perform work off the clock under any circumstances.

17.2 Exempt employees

Exempt employees must satisfy both a salary basis test and a duties test. The Company applies the higher of the federal threshold or the applicable state threshold — several states, including California, New York, Colorado and Washington, set substantially higher salary floors than federal law. Exempt employees receive a predetermined salary for each workweek in which any work is performed, regardless of hours or quantity of work.

17.3 Duties tests summarized

Exemption	Primary duty
Executive	Managing the enterprise or a customarily recognized department; regularly directing two or more full-time employees; authority to hire and fire or particular weight given to such recommendations.
Administrative	Office or non-manual work directly related to management or general business operations, including the exercise of discretion and independent judgment on matters of significance.
Learned professional	Work requiring advanced knowledge in a field of science or learning customarily acquired by prolonged specialized instruction.
Computer employee	Systems analysis, program or system design, development, documentation, testing or modification, at the required salary or hourly rate. Note that help-desk and hardware-repair roles typically do <i>not</i> qualify.
Outside sales	Making sales or obtaining orders, customarily and regularly away from the employer's place of business. No salary threshold applies.
Highly compensated	Total annual compensation at or above the federal threshold, performing office work and customarily and regularly performing at least one exempt duty. Not recognized in all states.

17.4 Improper deductions and safe harbor

XYZ Corporation prohibits improper deductions from exempt employees' salaries. Permissible deductions are limited to full-day absences for personal reasons, full-day absences for sickness under a bona fide plan, offsets for jury/witness/military pay, penalties for major safety rule infractions, unpaid disciplinary suspensions of one or more full days for workplace conduct rule violations, the first and last weeks of employment, and unpaid FMLA leave. If you believe an improper deduction was made, report it to Payroll immediately; the Company will investigate and reimburse any improper deduction.

17.5 Classification review

Compensation reviews classification when a job description materially changes, when a role is created, when salary thresholds change, and on a rolling audit of at least 20% of job codes annually. Employees who believe their duties do not match their classification should contact Compensation; raising the question is protected activity.

IMPORTANT — MANAGERS MAY NOT RECLASSIFY

Managers may not change an employee's classification, agree to pay a non-exempt employee a "salary" in lieu of overtime, offer comp time in place of overtime pay, or ask a non-exempt employee to "just finish it up at home." Misclassification exposes the Company to back wages, liquidated damages, penalties and attorney's fees, and is grounds for manager discipline.

18. Employment Categories

Category	Definition and benefit eligibility
Full-time regular	Regularly scheduled 30 or more hours per week with no defined end date. Eligible for the full benefits program and all leave policies.
Part-time regular	Regularly scheduled fewer than 30 hours per week with no defined end date. Eligible for statutory benefits, sick leave, retirement plan participation subject to plan terms, and pro-rated PTO. Not eligible for medical, dental or vision unless hours measured under the ACA look-back method establish full-time status (§51.2).
Fixed-term / project	Employed for a defined period or project. Benefit eligibility per the offer letter. Fixed-term employment does not alter at-will status and does not guarantee employment for the stated term.
Temporary (XYZ payroll)	Short-term, generally under six months. Eligible for statutory benefits and sick leave only. Continuous assignments approaching twelve months must be converted or ended.
Intern / apprentice	Paid positions tied to a structured learning program. Paid at or above the applicable minimum wage and non-exempt unless a specific exemption applies. Unpaid internships are not used at XYZ.
Seasonal	Recurring defined-season employment. Benefit eligibility per the ACA seasonal employee rules.
Per-diem / on-call	No guaranteed hours; paid for hours worked plus any applicable reporting-time or call-in premium under state law.
Rehire / boomerang	Former employees rehired within twelve months may have prior service recognized for PTO accrual and 401(k) vesting per §23.9 and plan terms.

19. Onboarding and Orientation

19.1 Pre-start

Talent Acquisition initiates onboarding no later than five business days before the start date: background check clearance confirmed, I-9 scheduled, equipment ordered, access requests submitted with manager-approved role-based entitlements (§97), payroll and benefits enrollment opened, and buddy assigned.

19.2 Day one

Form I-9 Section 1 completed; direct deposit and tax withholding elections; required agreements signed; state and local notices delivered (including wage-theft-prevention notices where required); security and privacy training assigned; handbook issued with acknowledgment due within five business days.

19.3 First 90 days

Milestone	Manager owns	Employee owns
Week 1	Role expectations conversation, team introductions, first 1:1 scheduled as recurring	Complete all compliance training; set up tools; read Parts I, II, VIII, IX, X
Day 30	Written 30-day expectations check-in; confirm access and equipment adequate	Draft initial goals; identify learning gaps
Day 60	Feedback on early work; connect to cross-functional partners	Own first deliverable end-to-end
Day 90	Documented review against expectations; goals finalized in the performance system	Complete onboarding survey

20. Introductory Period

The first ninety calendar days of employment are an introductory period during which the employee and the Company assess fit. Managers should provide explicit written feedback at 30 and 90 days. The introductory period may be extended once, in writing, by up to sixty days with People Partner approval.

The introductory period does not alter at-will employment, is not a probationary period conferring rights upon completion (except in Montana, §3), and does not delay eligibility for statutory benefits, paid sick leave, workers' compensation or accommodation. Employees may be separated during, at the end of, or after the introductory period.

21. Personnel Records, Employee Privacy and Data Rights

21.1 Record structure

File	Contents and access
Personnel file	Offer letter, job history, compensation actions, performance documents, discipline, training, acknowledgments. Access: employee, their management chain, People Team, Legal.
Confidential medical file	Accommodation records, medical certifications, FMLA paperwork, fitness-for-duty, workers' compensation, drug test results. Access: Accommodations, Benefits, Legal only.
I-9 file	Stored separately from personnel files for all employees to permit audit without exposing other records.
Payroll file	Time records, wage statements, tax elections, garnishments. Access: Payroll, Finance controls, Legal.
Investigation file	Per §13.4. Not part of the personnel file.
Benefits / plan file	Enrollment and claims data, protected under HIPAA (§59).

21.2 Employee access to records

Employees may inspect and request copies of their personnel file by submitting Form 19.11. The Company responds within thirty calendar days, or sooner where state law requires (many states set 7-21 day deadlines and some limit copying fees). Employees may submit a written statement of disagreement with any document, which is retained in the file. Employees may not remove or alter documents.

21.3 Keeping information current

Employees must maintain current legal name, address, phone, emergency contacts, tax withholding elections, direct deposit details and beneficiary designations in the HRIS. Address changes affect tax withholding, benefit plan availability and which state's employment laws apply; failure to report a change of work state is a policy violation because it prevents correct withholding and leave administration.

21.4 Employee privacy

The Company collects and processes employee personal data only for legitimate employment, benefits, safety, security and legal-compliance purposes; limits collection to what is necessary; restricts internal access on a need-to-know basis; requires contractual safeguards from vendors processing employee data; and provides the notices required by state privacy laws. California employees receive an annual CCPA/CPRA employee privacy notice describing categories collected, purposes, retention and rights, and may exercise access, correction and deletion rights subject to statutory exceptions. Similar notices are provided in other states with applicable statutes.

21.5 Retention schedule (employment records)

Record	Minimum retention
Applications, resumes, interview notes, selection records (non-hires)	3 years (federal contractor); longer if litigation anticipated
Payroll records, time cards, wage computations	3 years (payroll) / 2 years (basis records) federal; 4-6 years in several states
Personnel file after termination	7 years
Form I-9	3 years after hire or 1 year after termination, whichever is later
FMLA records	3 years
Benefit plan and ERISA records	6 years after filing; participant records permanently where needed to determine benefits
OSHA 300 logs and 301 incident reports	5 years following the year covered
Records of exposure to hazardous substances and related medical records	30 years / duration of employment plus 30 years
Investigation files	7 years after closure
Affirmative action programs and supporting data	Current and prior program year

21.6 References to legal holds

A litigation hold notice suspends all routine destruction of covered records (§95.4). Deleting material subject to a hold — including chat messages, drafts and text messages — is serious misconduct and may constitute spoliation of evidence.

22. Internal Mobility, Promotion and Transfer

22.1 Eligibility to apply internally

Employees may apply for posted internal roles after six months in their current position, with satisfactory performance and no active written warning or performance improvement plan. Exceptions require the current manager's and receiving manager's People Partner approval.

22.2 Process

Employees apply through the internal career site and are encouraged, but not required, to inform their current manager before applying; recruiters notify the current manager once the employee reaches the interview stage. Managers may not block an employee's application, retaliate for applying, or share that an employee applied. Transition timing is normally two to four weeks after acceptance, up to six weeks for critical roles, negotiated between managers with People Partner arbitration if needed.

22.3 Promotion

Promotions require demonstrated sustained performance at the next level, an open role or approved level in the structure, calibration across the organization, and compensation review to place the employee appropriately in the new range. Promotion is never automatic on tenure. Promotion decisions are documented with the evidence relied upon.

22.4 Lateral transfer and temporary assignment

Lateral moves ordinarily do not change base pay. Temporary assignments longer than sixty days receive a written scope, duration, reporting line and any acting differential; acting differentials end when the assignment ends and are not part of base pay for severance or bonus calculations.

22.5 Relocation

Company-initiated relocations are supported under the relocation program; employee-initiated relocations are considered case-by-case and may require pay adjustment to the market of the new location under the geographic pay structure (§25.4), tax registration in the new state, and confirmation the Company is registered to employ there. Employees must not relocate without written approval — working from a state or country where XYZ is not registered creates tax, payroll and immigration exposure.

23. Separation of Employment

23.1 Resignation

Employees are asked to provide at least two weeks' written notice, and four weeks for director-level and above. The Company may accept a resignation effective immediately or shorten the notice period; where it does so for business reasons it will ordinarily pay through the original notice date. Employees who fail to report for three consecutive scheduled workdays without authorization or contact are treated as having voluntarily resigned (job abandonment), subject to leave, accommodation and safety considerations.

23.2 Involuntary termination for cause or performance

All involuntary terminations require People Partner review before the decision is communicated, and Legal review where the employee is on or recently returned from leave, has raised a complaint in the previous twelve months, is over 40 in a multi-employee action, is on an immigration sponsorship, or where the facts are contested. The manager and a People Team representative deliver the message together, in a brief, factual, private conversation.

23.3 Reduction in force

Reductions are planned with Legal from the outset. Requirements include: documented business rationale; objective, consistently applied selection criteria; adverse impact analysis by age, sex, race and disability status before finalization; consideration of redeployment; WARN analysis; and, where releases are sought, ADEA/OWBPA-compliant consideration and revocation periods with the required disclosure of the decisional unit, eligibility factors, and ages and job titles of selected and non-selected employees.

COMPLIANCE NOTE — WARN ACT

The federal WARN Act generally requires 60 calendar days' advance written notice of a plant closing affecting 50+ employees at a single site, or a mass layoff affecting 500+ employees, or 50–499 employees where they comprise at least 33% of the active workforce at the site. Several states have "mini-WARN" statutes with lower thresholds and longer notice: New York (90 days, 25+ employees), New Jersey (90 days plus mandatory severance), California (60 days, 75+ employees at a covered establishment, no 33% test), Illinois, Maryland, Wisconsin, Tennessee, Hawaii, Maine, Minnesota and others. Remote employees are generally counted at the site to which they report. Notice analysis must begin before any decision is announced.

23.4 Final pay

Final wages are paid within the deadline set by the employee's work state — which may be immediately upon termination (for example, California for involuntary termination; Colorado; Massachusetts), within 24–72 hours, on the next regular payday, or another statutory period. Payroll must be notified of any separation at least three business days in advance where possible so that final pay, accrued PTO payout where required, commissions and expense reimbursements are correct. Deductions from final pay for unreturned property are unlawful in many states and require Legal approval.

23.5 Accrued PTO at separation

Whether unused PTO is paid out depends on state law and plan design; see §36.7 and Appendix A. In states where vacation is treated as earned wages (California, Colorado, Illinois, Massachusetts, Louisiana, Nebraska, North Dakota and others), accrued unused vacation is paid at separation regardless of the reason for separation, and "use-it-or-lose-it" forfeiture is prohibited.

23.6 Benefits at separation

Medical, dental and vision coverage ends on the last day of the month of separation. COBRA election notices are issued by the administrator within fourteen days of the qualifying-event notice (§58). Life and disability coverage ends on the separation date with conversion or portability options where available. FSA claims must be submitted by the plan run-out deadline. 401(k) distribution and rollover materials are issued by the recordkeeper; outstanding plan loans become due per plan terms. Unvested equity is forfeited; vested options remain exercisable for the post-termination window in the grant agreement.

23.7 Offboarding obligations

Departing employees must return all Company property (laptop, phone, monitors, badge, keys, credit card, tokens, printed materials), certify deletion of Company data from any personal device, transfer files to Company systems, complete knowledge transfer documentation, and settle outstanding expenses and travel advances within five business days. See the offboarding SOP at §110.

23.8 References for former employees

Employment verification requests are handled centrally by the People Team, which confirms dates of employment and position held, and compensation only with the former employee's written authorization. Employees must not provide personal references on Company letterhead or in a way implying they speak for the Company; personal references given in a personal capacity should be clearly identified as such.

23.9 Rehire

Former employees in good standing are eligible for rehire. Employees terminated for cause, for integrity violations, or who abandoned their position are ineligible; the ineligibility flag is set by Employee Relations and may be reviewed only by the Chief People Officer. Rehires within twelve months may have prior service bridged for PTO accrual tiers and service-based benefits, subject to plan terms.

23.10 Exit interviews

Voluntary exit interviews are offered by the People Team, separate from the manager. Themes are reported to leadership in aggregate quarterly. An exit interview that surfaces harassment, discrimination, safety or ethics concerns is escalated immediately and investigated under §13 even though the employee is leaving.

24. Workforce Composition and Contingent Workers

24.1 Worker classification (contractor vs. employee)

Engaging an individual as an independent contractor requires review by Legal and Procurement against the applicable tests, including the FLSA economic-reality factors, the IRS common-law control test, and stricter state tests such as the ABC test in California, Massachusetts and New Jersey. Misclassification exposes the Company to back taxes, wage claims, benefit claims and penalties.

24.2 Prohibited practices

- Engaging a former employee as a contractor to perform substantially the same work within twelve months.
- Directing a contractor's hours, methods or day-to-day sequence of work as if they were an employee.
- Paying an individual through accounts payable rather than payroll to avoid classification review.
- Extending Company benefits, performance reviews or job titles to contingent workers.

24.3 Staffing agency workers

Agency workers are engaged through approved suppliers under master services agreements. Assignments longer than eighteen months require conversion review. XYZ may be a joint employer for certain purposes, so managers must apply harassment, safety and accommodation protections to agency workers and route any complaint by or about an agency worker to Employee Relations.

24.4 Contingent worker access and offboarding

Contingent workers receive time-bound accounts tied to a contract end date, the minimum access necessary, and mandatory completion of security, privacy and AI-use training. Sponsoring managers must certify quarterly that each contingent worker still requires access and must trigger deprovisioning within one business day of assignment end.

24.5 Volunteers and unpaid work

XYZ does not accept unpaid labor for its commercial benefit. Employee participation in Company-organized charitable volunteering is voluntary; for non-exempt employees, time spent volunteering at the Company's request or during scheduled hours is paid.

24.6 Contingent Worker Standards

All non-employee personnel with access to XYZ systems, facilities or data must: sign a confidentiality and IP agreement through their supplier; comply with Parts VIII, IX and X of this handbook; complete assigned security and privacy training; use Company-managed accounts for all XYZ work; and report incidents through the same channels as employees.

PART IV

Compensation, Payroll and Timekeeping

Pay philosophy and structure, pay transparency and equity, payroll mechanics, timekeeping, overtime, meal and rest periods, deductions, and variable compensation.

25. Compensation Philosophy and Structure

25.1 Philosophy

XYZ Corporation pays competitively for the work performed, differentiates on performance and scope, and applies the same framework consistently to everyone. Compensation is designed to be externally competitive, internally equitable, performance-differentiated, financially sustainable, and explainable — any employee should be able to have their pay explained to them in terms of level, market range and performance.

25.2 Components

Component	Purpose and mechanics
Base salary	Fixed cash for the role, positioned within the range for the level and location based on scope, experience and sustained performance.
Annual incentive	Target bonus expressed as a percentage of base, funded on Company performance and allocated on individual performance (§32).
Sales incentive	Commission or quota-based variable pay under a written annual plan document (§32.4).
Long-term incentive	Equity grants for eligible levels (§33).
Premiums and differentials	Shift differential, on-call pay, hazard pay, bilingual differential, acting differential — each defined in the pay practices addendum.
Recognition awards	Spot awards and program awards (§68). Cash awards are taxable wages and, for non-exempt employees, non-discretionary awards must be included in the regular rate for overtime.

25.3 Levels and ranges

Roles are mapped to a job architecture of career tracks (individual contributor, manager, executive) and levels. Each level has a salary range with a minimum, midpoint and maximum. Ranges are benchmarked annually against third-party market survey data for the relevant labor market and refreshed effective the start of the fiscal year.

25.4 Geographic differentials

Ranges are set by geographic tier reflecting local labor market cost. An employee's tier is determined by their approved primary work location. A voluntary relocation to a lower-cost tier may result in a prospective base pay adjustment with at least sixty days' written notice; relocation to a higher-cost tier does not automatically increase pay but triggers a range review. Tier changes never reduce pay below the minimum of the new range or below the applicable minimum wage.

25.5 Position in range

Employees new to a level typically start in the lower third of the range; those with sustained strong performance at level move toward the midpoint and above. Pay above the range maximum requires CPO approval and is normally addressed through lump-sum awards rather than base increases. Pay below the range minimum is corrected at the next cycle or sooner.

26. Pay Transparency and Pay Equity

26.1 Right to discuss pay

Employees have the right to inquire about, discuss and disclose their own wages and the wages of other employees, and to ask the Company about their pay. XYZ Corporation will not discharge, discipline, or in any other manner discriminate against any employee or applicant because the employee or applicant inquired about, discussed or disclosed their compensation or the compensation of another employee or applicant. Employees who have access to compensation information as part of their essential job functions (People Team, Payroll, Finance, managers) may not disclose other employees' pay obtained through that access, except in the course of legal proceedings, an investigation, or when otherwise required — this limited restriction is permitted by law and does not restrict employees' discussion of their own pay.

26.2 Pay range disclosure

Pay ranges are disclosed in all job postings, provided to employees on request for their own role and level, and provided for a role an employee is being considered for. The Company does not rely on prior salary history in setting pay.

26.3 Pay equity analysis

Compensation, with outside counsel under privilege, conducts an annual pay equity analysis comparing similarly situated employees by sex, race and ethnicity, controlling for legitimate factors (level, function, location, tenure at level, performance). Unexplained differences are remediated in the same cycle. Managers may not resolve individual pay concerns outside this process; escalate to Compensation. Where state law requires (California, Illinois and others), the Company files the required pay data reports.

26.4 Equal Pay Act compliance

Pay differences between employees performing substantially similar work may be justified only by a bona fide seniority system, merit system, system measuring earnings by quantity or quality of production, or another bona fide factor such as education, training or experience that is job-

related and consistent with business necessity — never by salary history, negotiation skill, or the market rate for the individual.

27. Payroll Administration

27.1 Pay periods and paydays

Non-exempt employees are paid biweekly on alternate Fridays for the two-week period ending the preceding Saturday. Exempt employees are paid semi-monthly on the 15th and the last business day of the month. Where a payday falls on a holiday or weekend, payment is made on the preceding business day. Certain states mandate more frequent payment for certain employee groups; those requirements are met where applicable.

27.2 Payment method

Direct deposit is strongly encouraged and elected in the HRIS. Where an employee does not elect direct deposit, a pay card or check is provided as permitted by state law. The Company never conditions employment on accepting a particular payment method or a specific financial institution.

27.3 Wage statements

Each payment is accompanied by an itemized statement showing gross wages, total hours worked and all applicable rates for non-exempt employees, all deductions itemized, net wages, the inclusive dates of the pay period, the employee's name and last four digits of identifier, the employer's legal name and address, and accrued paid sick leave where required. Statements are available in the HRIS; employees may request paper copies.

27.4 Payroll error correction

Situation	Resolution
Underpayment	Report to Payroll immediately. Errors of more than one hour's pay or \$100 are corrected by off-cycle payment within two business days; smaller amounts are corrected on the next regular payroll unless state law requires faster. Underpayment corrections are never delayed to the following period without the employee's written agreement where law permits.
Overpayment	The Company notifies the employee in writing with the amount, cause and proposed recovery schedule, and obtains written authorization before any deduction. Recovery is spread to avoid reducing pay below minimum wage. Several states restrict or prohibit unilateral recoupment; Legal review is required.
Missed payday	Escalate to the Controller. Emergency manual payment is issued the same day.
Missed meal or rest period	Premium paid automatically where state law requires (\$30.4).

27.5 Payroll tax and withholding

Employees complete federal Form W-4 and applicable state withholding forms at hire and may update at any time. The Company withholds and remits federal income tax, Social Security and Medicare, state and local income taxes, state disability and paid family leave contributions, and any other legally mandated amounts. Employees are responsible for the accuracy of their elections; the Company does not provide personal tax advice. Form W-2 is furnished by January 31.

27.6 Multi-state and remote taxation

Withholding follows the state where work is physically performed, subject to reciprocity agreements and convenience-of-the- employer rules in a few states. Employees must record their actual primary work location and report any change immediately (§21.3). Working temporarily from another state — including a "workcation" — may create withholding and business-registration obligations; any such arrangement exceeding ten consecutive business days requires prior approval through Form 19.19.

27.7 Garnishments, levies and support orders

The Company complies with valid wage garnishments, tax levies, child support and bankruptcy orders, applying the protections of the Consumer Credit Protection Act and any more protective state limits, and honoring the priority rules among competing orders. Employees are notified when an order is received and directed to the issuing authority with questions. The Company will not discharge an employee because their earnings are subject to garnishment for any one indebtedness.

27.8 Permissible deductions

Beyond legally mandated withholding, deductions are limited to those authorized in writing by the employee for their own benefit (benefit premiums, retirement contributions, HSA/FSA, charitable giving, commuter benefits, voluntary insurance) and those specifically permitted by law. The Company does not deduct for cash shortages, breakage, lost equipment, uniforms where the state prohibits it, business expenses, or training costs, and never makes a deduction that reduces pay below the applicable minimum wage or cuts into overtime pay.

28. Timekeeping and Hours Worked

28.1 Non-exempt recording obligation

Non-exempt employees must record their actual start time, the start and end of each unpaid meal period, and their actual stop time, each day, in the approved timekeeping system. Records are certified by the employee and approved by the manager each pay period. Estimating, rounding by hand, entering scheduled rather than actual hours, or recording another employee's time is prohibited.

28.2 What counts as hours worked

- All time the employee is required or permitted to work, whether or not requested and whether or not authorized.
- Work performed before or after the scheduled shift, including startup, boot-up, logon and shutdown time.
- Reading and responding to work email, chat or calls outside scheduled hours, including from a personal device.
- Required training, meetings and mandatory events.
- Travel time as described in §28.5.
- Short rest breaks of 20 minutes or less.
- On-call time where the employee is not free to use the time effectively for their own purposes (§28.6).
- Time spent donning and doffing required protective equipment integral to the work.

IMPORTANT — OFF-THE-CLOCK WORK IS PROHIBITED

No non-exempt employee may perform any work without recording it, and no manager may request, suggest, permit or tacitly accept unrecorded work. This includes checking messages "just for a minute" in the evening, finishing a task after clocking out, working through an unpaid meal period, or skipping recording to stay under an overtime budget. Employees who performed unrecorded work must report it so it can be paid — reporting it will never result in discipline for the employee. Managers who allow off-the-clock work will be disciplined.

28.3 Rounding

The Company records time to the minute. Where any rounding is used in a legacy system, it is neutral and never systematically favors the Company; several states prohibit rounding for meal periods entirely.

28.4 Timecard corrections

Corrections are made by the employee where possible with a note explaining the change; where the manager makes a correction, the employee must be notified and must acknowledge it. Managers may never reduce recorded hours without the employee's knowledge, and may never delete recorded time. All edits are logged with user, timestamp and prior value, and edit reports are reviewed monthly by Payroll controls.

28.5 Travel time for non-exempt employees

Scenario	Compensable?
Ordinary home-to-work commute	No
Travel between worksites during the workday	Yes
Special one-day assignment in another city	Yes, excluding the ordinary commute equivalent and bona fide meal periods
Overnight travel — time as a passenger during normal working hours (including on a non-workday)	Yes
Overnight travel — time as a passenger outside normal working hours	No, unless working
Driving at the Company's direction at any hour	Yes
Working while traveling (laptop, calls) at any hour	Yes

Some states apply broader rules than federal law. When in doubt, record the time and let Payroll apply the correct rule.

28.6 On-call

Employees who must remain on premises, or whose freedom of movement and activity is so restricted that they cannot use the time effectively, are paid for all on-call time. Employees who may carry a device and are otherwise free are paid an on-call stipend plus actual time worked when called, with a minimum call-out increment of one hour. On-call rotations must be scheduled with at least seven days' notice and distributed equitably.

28.7 Scheduling and predictive scheduling

Schedules for shift-based roles are posted at least fourteen calendar days in advance. In jurisdictions with fair workweek or predictive scheduling ordinances, the Company provides good-faith estimates of hours at hire, pays predictability premiums for employer-initiated changes inside the notice window, honors the right to decline hours that would create a "clopening" without the required rest period, and offers additional hours to existing part-time employees before hiring new staff.

28.8 Attendance recording for exempt employees

Exempt employees do not record hours worked but must record full-day absences and use of PTO, sick leave and other leave so that balances and leave entitlements are administered correctly.

29. Overtime

29.1 Entitlement

Non-exempt employees receive overtime at one and one-half times their regular rate for all hours worked over 40 in a workweek. Where state law provides greater benefits, the greater applies — including daily overtime after 8 hours and double time after 12 hours in a day and after 8 hours on the seventh consecutive day of work in a workweek (California), daily overtime rules in Alaska, Nevada and Colorado, and the seventh-consecutive-day rules in several states.

29.2 Workweek

The standard workweek runs Sunday 12:00 a.m. through Saturday 11:59 p.m. Overtime is calculated per workweek and is never averaged across two weeks of a biweekly pay period.

29.3 Regular rate

The regular rate includes base wages plus non-discretionary bonuses, shift differentials, on-call stipends, production and attendance bonuses, and the value of certain prizes. It excludes discretionary bonuses, gifts, PTO and other paid non-working time, reimbursed expenses, and employer contributions to bona fide benefit plans. Non-discretionary bonuses covering a multi-week period must be retroactively allocated and the overtime recomputed; Payroll performs this automatically.

29.4 Authorization

Overtime requires advance manager approval whenever practicable. However, overtime worked without approval is still paid. Working unapproved overtime repeatedly may be addressed as a performance or conduct matter, but never by withholding pay.

29.5 No comp time

Private-sector employers may not substitute compensatory time off for overtime pay. Offering or accepting "time off instead" is prohibited. Within a single workweek, a manager may adjust an employee's remaining schedule to manage total hours before overtime is triggered, provided no hours already worked go unrecorded.

29.6 Reporting-time and call-in pay

Where state law requires (for example California's reporting-time pay), employees who report for a scheduled shift and are furnished less than half the scheduled hours are paid a minimum premium. Employees required to call in to learn whether to report may be entitled to reporting-time pay for that call.

30. Meal and Rest Periods

30.1 Meal periods

Non-exempt employees receive an unpaid, uninterrupted meal period of at least thirty minutes when working more than five hours (state thresholds vary), to begin before the end of the fifth hour of work where state law so requires, and a second meal period where the shift exceeds ten hours. Employees must be fully relieved of all duty; a meal period during which the employee works, monitors messages, or must remain reachable is paid time and does not satisfy the requirement.

30.2 Rest breaks

Where state law provides, non-exempt employees receive paid rest breaks — commonly ten minutes for each four hours worked or major fraction thereof — that are counted as hours worked and may not be combined with meal periods, used to arrive late or leave early, or forfeited for pay.

30.3 Waivers

Meal period waivers are permitted only where the applicable state law allows, only in writing on the approved form, only revocable at any time by the employee, and only with People Team approval. On-duty meal period agreements are permitted only where the nature of the work prevents relief from all duty and are documented individually.

30.4 Premiums for missed periods

Where state law requires a premium for a missed, late or interrupted meal or rest period, the premium is paid automatically based on time records without the employee needing to request it. Employees must accurately record actual meal periods so premiums can be identified. In California the premium is one additional hour of pay at the regular rate of compensation per category per day.

MANAGER ACTION — §§28-30

- Approve timecards every period by the Payroll deadline. Do not approve a timecard you know is inaccurate.
- Never ask a non-exempt employee to work outside recorded hours, and never message them expecting a response outside their schedule without recording that time.
- Actively schedule and protect meal and rest periods; do not book meetings over them; do not contact employees during them.
- Watch for the manager who is "always" under budget on overtime — that is usually a sign of unrecorded work.
- Escalate every pay discrepancy the same day you hear about it. Pay errors are the fastest-escalating employee-relations issue there is.

31. Minimum Wage, Tips and Special Pay Rules

All employees are paid at least the highest applicable federal, state or local minimum wage for their work location. Where a city or county minimum exceeds the state rate, the local rate applies. XYZ does not use the tip credit, does not take deductions from tips, and does not include managers or supervisors in any tip pool. Employees whose pay is affected by a minimum wage increase receive an adjustment effective on the statutory date without needing to request it.

32. Variable Compensation: Bonus and Incentive Plans

32.1 Annual incentive plan

Eligible employees have a target incentive expressed as a percentage of eligible base earnings. The pool is funded on Company financial and strategic performance as approved by the Compensation Committee; individual awards are modified by performance rating and, where applicable, business unit results. Awards are discretionary until approved and paid.

32.2 Eligibility conditions

- Hired on or before September 30 of the plan year; awards are pro-rated for partial-year service.
- Employed and in good standing on the payment date, except where state law or a written agreement provides otherwise, and except in cases of death, disability or a qualifying retirement, where a pro-rated award is paid.
- Not on a performance improvement plan or active final written warning at the time of determination, unless the People Team approves an exception.
- Leaves of absence: incentive-eligible earnings continue to accrue during paid leave and during protected leave to the extent required by law.

32.3 Payment timing

Annual incentives are normally paid in the second full payroll cycle following the close of the fiscal year audit. Incentives are wages subject to withholding and, for non-exempt employees, are included in the regular rate where non-discretionary (§29.3).

32.4 Sales compensation

Sales roles are governed by an annual written plan document specifying quota, rate tables, accelerators, caps if any, crediting and splitting rules, draw terms, timing of commission earning and payment, chargeback and clawback conditions, and the treatment of leaves and territory changes. Commissions are earned when the plan's stated conditions are met; once earned, commissions are wages and are paid at separation for closed business regardless of the reason for separation. Plans are issued before the start of the plan year and require written acknowledgment. Mid-year quota or territory changes require Sales Operations, Finance and Legal approval and at least thirty days' notice.

32.5 Clawback and recoupment

Incentive compensation paid to executive officers is subject to the Company's mandatory recoupment policy in the event of an accounting restatement, as required by SEC rules and the listing standards of the exchange on which the Company's securities are listed. Incentive compensation for any employee may be recouped where it was based on fraudulently reported results or where the employee engaged in misconduct causing material harm.

33. Long-Term Incentives and Equity

Equity awards are granted under the shareholder-approved equity incentive plan. Award type, size and eligibility are set by level and are approved by the Compensation Committee or its delegate. Grants typically vest over four years with a one-year cliff for new-hire awards and annual or quarterly vesting for refresh awards, subject to continued service through each vesting date.

33.1 Key terms

Topic	Treatment
Grant date	The date of approval by the Committee or delegate. Managers may not promise a grant, a size or a price.
Vesting during leave	Continues during paid and legally protected leave; may be suspended during extended unpaid personal leave per the plan and applicable law.
Termination	Unvested awards are forfeited on the termination date. Vested options remain exercisable for the window in the grant agreement (commonly 3 months; longer for death or disability).
Taxation	RSUs are taxed as ordinary income on vest with shares withheld for taxes by default. Options are taxed per their type. The Company does not provide individual tax advice; consult your own adviser.
Trading	All transactions are subject to the Insider Trading Policy, blackout periods and, for designated insiders, preclearance (§75).

34. Compensation Review Cycle

The annual compensation cycle runs concurrently with performance reviews. Merit increase budgets are set by Finance and allocated by organization; managers recommend increases within guidelines linked to performance rating and position in range, subject to calibration and second-level approval. Off-cycle increases are limited to promotions, internal equity corrections, market range adjustments, and retention cases approved by the CPO. Managers must not disclose another employee's increase or the budget details of others, and must be able to explain each of their own employees' outcomes in terms of level, range position and performance.

34.1 Communication

Every employee receives a written total compensation statement at the close of the cycle showing base, incentive target, equity outstanding and benefit values. Managers deliver the message

personally before the statement is released and should never let an employee learn a pay outcome from a system notification.

PART V

Leave of Absence and Time Off

Paid time off, sick leave, holidays, FMLA, state paid family and medical leave, parental leave, bereavement, civic and military leave, disability leaves, and how multiple entitlements interact.

35. Leave Principles and Administration

Leave is administered centrally by the Leave Administration team with a third-party administrator. Managers do not approve or deny statutory leave, do not collect medical documentation, and do not decide eligibility; they support the employee, maintain coverage, and route the request. Employees are responsible for requesting leave as far in advance as practicable and for complying with certification and reporting requirements.

35.1 How to request leave

Leave type	How to initiate
PTO / vacation	HRIS request to manager, advance notice per §36.3
Sick leave (short)	Notify manager per team practice as soon as practicable; record in HRIS
Any absence expected to exceed 3 consecutive days for a health reason	Contact the Leave Administrator directly — this may trigger FMLA and state leave rights
Parental, family care, medical, military family	Leave Administrator, at least 30 days in advance where foreseeable
Accommodation-related	Accommodations team (§9)
Bereavement, jury duty, voting, military	Manager plus HRIS record; documentation to Leave Administration

MANAGER ACTION — LEAVE TRIGGER AWARENESS

You do not need to know the statutes. You need to recognize a trigger and route it. If an employee tells you *anything* suggesting a serious health condition affecting them or a family member, a pregnancy, a birth or adoption, a military family event, or that they will be out more than three days for health reasons — even in passing, even by text, even if they say "don't worry about it" — you must notify Leave Administration within one business day. The Company's FMLA obligations begin when it has notice, not when a form is filed. Do not ask for a diagnosis, do not ask what is wrong, do not ask to see records. Ask only: "How long do you expect to be out, and what do you need from me for coverage?"

36. Paid Time Off (Vacation)

36.1 Accrual

Completed years of service	Annual PTO (full-time)	Accrual per biweekly period
0 – 2 years	15 days (120 hours)	4.62 hours
3 – 5 years	20 days (160 hours)	6.15 hours
6 – 9 years	23 days (184 hours)	7.08 hours
10+ years	25 days (200 hours)	7.69 hours
Director and above	25 days (200 hours) from hire	7.69 hours

Part-time employees accrue pro rata based on scheduled hours. Accrual begins on the first day of employment and PTO may be used as it accrues, subject to approval. New tiers take effect at the start of the pay period following the service anniversary.

36.2 Carryover and caps

Employees may carry over up to one year's accrual into the following calendar year. Total accrued balance is capped at 1.5 times the annual accrual; accrual stops when the cap is reached and resumes when the balance falls below it. The Company does not operate a use-it-or-lose-it forfeiture; in states where such forfeiture is prohibited, accrual caps rather than forfeiture are used, consistent with law.

36.3 Requesting and approving PTO

Requests should be submitted at least two weeks in advance for absences of a week or more, and as early as practicable otherwise. Managers approve based on business coverage and respond within three business days. Managers must not deny PTO arbitrarily or as a form of discipline, must not require employees to remain reachable while on PTO, and should not contact employees on PTO absent a genuine emergency. Where multiple requests conflict, managers apply a consistent, documented approach.

36.4 Negative balances and advances

PTO may not be taken in advance of accrual except with People Partner approval in exceptional circumstances, documented in writing, and not exceeding 40 hours.

36.5 PTO and other leave

PTO does not run concurrently with paid sick leave, which is a separate entitlement (§37). Where an employee is on unpaid FMLA or state leave, they may elect, and in some cases the Company may require, use of accrued PTO to receive pay during the leave, except where a state paid leave program prohibits requiring such use or where required use would reduce a statutory benefit.

36.6 Company shutdowns

If the Company designates a shutdown period, exempt employees may be required to use accrued PTO; where an exempt employee has insufficient accrual, salary is not reduced for a shutdown of less than a full workweek. Non-exempt employees are not paid for shutdown days but may use accrued PTO.

36.7 PTO at separation

Accrued, unused PTO is paid out at separation at the employee's final base rate in every state where required by law, and as a matter of Company practice in all other states, except that employees terminated for gross misconduct forfeit payout only where state law permits. See Appendix A.

37. Paid Sick and Safe Leave

37.1 Entitlement

All employees — full-time, part-time and temporary — accrue paid sick leave at one hour for every thirty hours worked, with a minimum annual availability of 56 hours (7 days) for full-time employees, frontloaded at the start of each calendar year. Where a state or local ordinance provides a greater entitlement, faster accrual, a larger cap, broader covered reasons, or broader family definitions, the more generous provision applies automatically without the employee needing to request it.

37.2 Permitted uses

- The employee's own mental or physical illness, injury, health condition, diagnosis, care, treatment or preventive care.
- The same for a family member — defined broadly to include spouse, domestic partner, child (of any age, including in loco parentis relationships), parent (including parent-in-law and step-parent), sibling, grandparent, grandchild, and, where state law provides, a designated person of the employee's choosing.
- Absence due to domestic violence, sexual assault or stalking affecting the employee or a family member, including obtaining medical attention, victim services, counseling, relocation, or legal or court assistance ("safe leave").

- Closure of the workplace, or of a child's school or place of care, by order of a public official for a public health reason.
- Bereavement, where state law includes it.

37.3 Notice and documentation

Employees give notice as soon as practicable, and for foreseeable use may be asked for reasonable advance notice. Documentation may be requested only for absences exceeding three consecutive scheduled workdays, and only in a manner permitted by the applicable ordinance. The Company does not require employees to find their own coverage as a condition of using sick leave, does not require disclosure of the nature of the condition, and does not count protected sick leave use against attendance under §78.

37.4 Carryover and payout

Unused sick leave carries over up to 80 hours, or a greater amount where required by ordinance. Sick leave is not paid out at separation unless state law requires; if an employee is rehired within twelve months, previously accrued unused sick leave is reinstated where required by law.

37.5 Interaction with PTO and short-term disability

Sick leave is used before PTO for a qualifying reason. For absences extending beyond seven calendar days, short-term disability may apply (§47.2) and Leave Administration coordinates so the employee is not paid twice for the same period and does not have a gap in pay.

38. Holidays

38.1 Company-observed holidays

Holiday	Observance
New Year's Day	January 1
Martin Luther King, Jr. Day	Third Monday in January
Presidents' Day	Third Monday in February
Memorial Day	Last Monday in May
Juneteenth National Independence Day	June 19
Independence Day	July 4
Labor Day	First Monday in September
Thanksgiving Day and the day after	Fourth Thursday and Friday in November
Winter holiday	December 24 and 25
New Year's Eve	December 31

When a holiday falls on a Saturday it is observed the preceding Friday; when it falls on a Sunday it is observed the following Monday. Employees in other countries observe their local statutory holiday calendar.

38.2 Holiday pay

Full-time employees receive their regular day's pay for observed holidays. Part-time employees receive holiday pay pro-rated to their scheduled hours if the holiday falls on a normally scheduled workday. Non-exempt employees required to work an observed holiday receive holiday premium pay of 1.5 times their regular rate for hours worked in addition to holiday pay, or may elect an alternate day off. Holiday pay is not counted as hours worked for overtime purposes.

38.3 Floating holidays

Each employee receives two floating holidays per calendar year, available for religious observances, cultural holidays, personal or family days, or civic participation. Floating holidays require the same advance notice as PTO, do not carry over, and are not paid out at separation. Floating holidays exist in part to support religious accommodation (§10.1).

39. Family and Medical Leave Act (FMLA)

39.1 Eligibility

An employee is eligible for FMLA leave if they have been employed by XYZ Corporation for at least twelve months (not necessarily consecutive), have worked at least 1,250 hours in the twelve months immediately preceding the start of leave, and work at a location where the Company employs at least fifty employees within seventy-five miles. Remote employees are assessed against the site to which they report.

39.2 Entitlement

Eligible employees receive up to twelve workweeks of job-protected leave in a rolling twelve-month period measured backward from the first day of leave, for:

- The birth of a child and to care for the newborn within one year of birth.
- Placement of a child with the employee for adoption or foster care, and to bond within one year of placement.
- To care for a spouse, child (under 18, or 18+ and incapable of self-care due to disability) or parent with a serious health condition.
- The employee's own serious health condition making them unable to perform an essential function of their job.
- A qualifying exigency arising from a spouse, child or parent's covered active duty or call to covered active duty in the Armed Forces.

Additionally, up to twenty-six workweeks in a single twelve-month period is available to care for a covered servicemember with a serious injury or illness where the employee is the spouse, child, parent or next of kin (military caregiver leave).

39.3 Serious health condition

An illness, injury, impairment, or physical or mental condition involving inpatient care, or continuing treatment by a health care provider — including incapacity of more than three consecutive full calendar days plus two provider visits or one visit plus a continuing regimen of treatment, pregnancy and prenatal care, chronic conditions, permanent or long-term conditions, and conditions requiring multiple treatments. Mental health conditions are treated identically to physical conditions.

39.4 Intermittent and reduced-schedule leave

FMLA may be taken intermittently or on a reduced schedule where medically necessary. Intermittent leave is tracked in the smallest increment used by the timekeeping system. Employees must follow call-in procedures for each intermittent absence and should, where possible, schedule planned treatment to minimize disruption. The Company may temporarily transfer an employee on foreseeable intermittent or reduced-schedule leave to an alternative position with equivalent pay and benefits that better accommodates the schedule.

39.5 Notice, designation and certification

Step	Requirement and timing
Employee notice	30 days in advance for foreseeable leave; as soon as practicable otherwise. Employees must provide enough information for the Company to determine that FMLA may apply.
Eligibility notice	The Company issues the Notice of Eligibility and Rights & Responsibilities (WH-381) within five business days of learning of the need for leave.
Certification	Employee returns the medical certification within fifteen calendar days. The Company may seek authentication or clarification, and at its expense a second and third opinion where it doubts the certification.
Designation notice	Issued within five business days of receiving sufficient information (WH-382), stating whether leave is designated FMLA and the amount counted against the entitlement.
Recertification	May be requested every six months in connection with an absence, or sooner if circumstances change significantly or the Company receives information casting doubt on the stated reason.
Return to work	Fitness-for-duty certification may be required for the employee's own serious health condition where uniformly required for similarly situated employees.

39.6 Pay and benefits during FMLA

FMLA leave is unpaid, but employees receive income replacement through short-term disability (\$47.2), state paid family and medical leave (\$40), paid parental leave (\$41), or accrued PTO and sick leave, coordinated by Leave Administration. Group health coverage continues on the same terms as if the employee were working; the employee remains responsible for their share of premiums, arranged through direct payment or catch-up deductions. Failure to pay the employee share after a thirty-day grace period and fifteen days' written notice may result in coverage lapse.

39.7 Job restoration

On return from FMLA, employees are restored to the same position or to an equivalent position with equivalent pay, benefits, shift, location and other terms and conditions. Taking FMLA leave may not result in the loss of any benefit accrued before leave. Employees are not entitled to accrue seniority or PTO during unpaid leave unless the Company's practice for other unpaid leaves provides it — XYZ suspends PTO accrual during unpaid leave and reinstates it on return.

39.8 Prohibited acts

The Company will not interfere with, restrain or deny the exercise of FMLA rights, will not count FMLA-protected absences against attendance or performance, will not consider FMLA use in performance ratings, promotion or bonus decisions except to pro-rate for actual time worked in a manner applied to all leaves, and will not discharge or discriminate against anyone for opposing an unlawful practice or participating in an FMLA proceeding.

39.9 Both spouses employed by XYZ

Spouses who both work for XYZ Corporation are limited to a combined twelve weeks for bonding leave and care of a parent, and a combined twenty-six weeks for military caregiver leave, under federal law. Where state law provides separate individual entitlements, the state rule applies.

40. State Paid Family and Medical Leave Programs

Many states operate insurance programs providing partial wage replacement for family and medical leave, funded through employee and/or employer contributions. Where the Company operates in such a state, contributions are withheld as required and appear on wage statements, and employees apply for benefits directly to the state agency or the Company's approved private plan. State program leave generally runs concurrently with FMLA where the reason qualifies under both.

Jurisdiction	Program	Notes
California	SDI + Paid Family Leave; CFRA	SDI for own disability including pregnancy; PFL for bonding, family care and military exigency. CFRA provides job protection up to 12 weeks with a broader family definition than FMLA and may run consecutively with pregnancy disability leave.
New York	DBL + Paid Family Leave	PFL for bonding, family care and military exigency; job protection and continued health coverage guaranteed.
New Jersey	TDI + Family Leave Insurance; NJFLA	Wage replacement plus separate state job-protected leave.
Massachusetts	PFML	Up to 20 weeks medical, 12 weeks family, 26 weeks military caregiver, with a combined annual cap; job protection and benefit continuation.
Washington	PFML	Combined cap with additional weeks for pregnancy complications; job protection for employees with 12 months and 1,250 hours at employers of 50+.

Colorado	FAMLI	Up to 12 weeks, plus 4 additional for pregnancy complications.
Oregon	Paid Leave Oregon; OFLA	Includes safe leave for survivors of violence.
Connecticut, Rhode Island, Delaware, Maryland, Minnesota, Maine	State PFML programs	Contribution and benefit start dates vary; Leave Administration maintains the current schedule.
District of Columbia	Paid Family Leave	Employer-funded; employee applies to DOES.
Hawaii, Puerto Rico	TDI programs	Own-disability wage replacement.

This table is a summary for orientation only. Program parameters, contribution rates and benefit maximums change annually. Leave Administration maintains the authoritative matrix on the People Portal, and the applicable state notice is provided to every employee at hire and at the time of a leave request.

41. Paid Parental Leave

XYZ Corporation provides sixteen weeks of fully paid parental leave to eligible employees following the birth, adoption or foster placement of a child. This is a Company benefit provided in addition to, and coordinated with, statutory entitlements.

41.1 Eligibility and use

- All regular full-time and part-time employees with ninety days of service. There is no distinction between birthing and non-birthing parents, or between biological, adoptive and foster parents.
- Must be used within twelve months of the birth or placement. May be taken in up to three continuous blocks of at least two weeks each to support phased return.
- Runs concurrently with FMLA and state family leave where the reasons overlap; the Company tops up state benefits so the employee receives 100% of base pay, and does not require use of PTO or sick leave for the paid parental leave period.
- Birthing parents additionally receive medical recovery leave under short-term disability or state disability (typically 6–8 weeks) **before** parental leave begins, so total time away is commonly 22–24 weeks.
- Both parents may take leave concurrently or sequentially. Where both parents are XYZ employees, each receives the full individual entitlement under this Company benefit, subject to the federal limitation in §39.9 for the FMLA portion.
- An employee who experiences pregnancy loss, stillbirth or a failed adoption or surrogacy is eligible for up to four weeks of paid leave under this section.

41.2 Return-to-work support

Returning parents are offered a phased return of up to four weeks at 80% schedule with full pay, lactation accommodation (§11.2), a re-onboarding conversation with their manager, and a check-in

with their People Partner at 30 and 90 days. Managers may not reduce scope, remove accounts or change reporting lines because an employee took parental leave.

42. Bereavement Leave

Relationship	Paid leave
Spouse, domestic partner, child, stepchild, parent, stepparent, legal guardian, sibling	Up to 10 business days
Grandparent, grandchild, parent-in-law, child-in-law, sibling-in-law, or any person who was the equivalent of family	Up to 5 business days
Miscarriage, stillbirth, failed adoption or surrogacy, or termination for medical reasons (employee or partner)	Up to 20 business days (see also §41.1)
Other relative, close friend or colleague	Up to 2 business days

Leave need not be taken consecutively and may be used within twelve months of the death, recognizing that grief and practical obligations extend beyond the funeral. Additional unpaid leave or PTO is available on request. Managers may ask for the expected duration but must not require proof such as a death certificate or funeral program. Several states now mandate bereavement leave; where the statutory entitlement is greater, it applies.

43. Jury Duty, Witness Duty and Court Appearances

Employees are granted time off to serve on a jury, to respond to a subpoena, or to appear as a witness. The Company pays full base salary for up to fifteen business days of jury service per year and unpaid thereafter for non-exempt employees; exempt employees' salaries are not reduced for any partial week of service. Employees keep any jury fees. Employees must provide the summons promptly, report to work on days or partial days when service is not required if practicable, and provide documentation of service. The Company will not discharge, discipline, threaten or otherwise penalize an employee for jury service, for responding to a subpoena, or for attending court to obtain or enforce a protective order.

44. Military Leave (USERRA)

Employees who leave to perform voluntary or involuntary service in the uniformed services are granted unpaid military leave with reemployment rights under USERRA, for cumulative service of up to five years plus statutory exceptions.

44.1 Company supplement

XYZ Corporation pays the difference between military base pay and allowances and the employee's XYZ base salary for up to twelve months of active duty (differential pay), and provides full base pay for up to twenty-one days per year of annual training or drill duty. Health coverage

continues for up to twenty-four months of leave at active-employee rates for the first thirty-one days and thereafter at the rate permitted by USERRA.

44.2 Notice, reemployment and protections

Employees should give advance written or verbal notice unless military necessity prevents it. Application for reemployment must be made within the statutory window based on the length of service (same/next business day for under 31 days; 14 days for 31–180 days; 90 days for over 180 days), with extensions for service-connected injury. Employees are reemployed in the position they would have attained had they remained continuously employed (the "escalator principle"), with pension service credited and seniority-based benefits restored. Protection from discharge except for cause applies for one year after reemployment for service over 180 days, and 180 days for service of 31–180 days.

44.3 Military family leave

Qualifying exigency leave and military caregiver leave are available under FMLA (§39.2). The Company additionally provides five paid days for deployment, homecoming and reintegration events for the spouse, domestic partner, parent or child of a servicemember.

45. Voting, Civic and Volunteer Leave

Employees are provided paid time off to vote in any public election where they do not have sufficient time outside working hours, in the amount required by their state (commonly two to three hours), and unpaid time to serve as an election official or poll worker. Employees should give notice at least two working days in advance where their state requires it. The Company also provides up to sixteen hours of paid volunteer time annually for service with a recognized nonprofit, and paid leave for emergency service as a volunteer firefighter, emergency medical responder or civil air patrol member where state law requires. Employees who are elected to public office should consult the People Team and Compliance regarding conflicts (§87).

46. Personal Leave of Absence

An unpaid personal leave of up to ninety days may be granted at the Company's discretion where statutory and paid leave options are exhausted or unavailable, based on the reason, the employee's record, and business impact. Requests are submitted to Leave Administration at least thirty days in advance where foreseeable. Benefits continuation, PTO accrual suspension, equity vesting treatment and reinstatement expectations are set out in the individual leave letter. Reinstatement to the same position is not guaranteed for discretionary personal leave, although the Company will make reasonable efforts. Personal leave may not be used to work for another employer or to start a competing venture.

47. Disability, Workers' Compensation and Extended Medical Leave

47.1 Reporting an injury or illness

All work-related injuries and illnesses, however minor, must be reported to the manager and to Environmental Health & Safety the same day using Form 19.16. Prompt reporting protects the employee's benefits and enables the Company to meet OSHA recordkeeping obligations (§120).

47.2 Short-term disability

Company-paid short-term disability provides 100% of base pay for the first six weeks and 70% for weeks seven through twenty-six of a covered disability, after a seven-calendar-day elimination period that may be covered by sick leave or PTO. Claims are filed with the disability administrator, not the manager. In states with statutory disability insurance, the Company plan coordinates so total replacement does not exceed 100% of base pay.

47.3 Long-term disability

Company-paid long-term disability provides 60% of monthly base earnings up to the plan maximum after twenty-six weeks of continuous disability, subject to the plan's definition of disability, offsets and limitations, including limits on mental-health and substance-use claims. Employees may purchase buy-up coverage during enrollment.

47.4 Workers' compensation

Workers' compensation insurance covers medical treatment and wage replacement for work-related injuries and illnesses in accordance with state law, at no cost to the employee. Benefits and procedures vary by state; the claims administrator directs the process. The Company will not retaliate against any employee for filing a claim, and will not require an employee to use personal medical insurance for a work-related injury. Modified or transitional duty is offered where medically appropriate; refusal of a bona fide offer of suitable modified work may affect wage replacement benefits under state law.

47.5 Coordination and end of protected leave

Leave Administration coordinates FMLA, state leave, disability, workers' compensation and accommodation so that entitlements run concurrently where permitted and the employee is not disadvantaged. When an employee approaches exhaustion of protected leave, the case is transferred to the Accommodations team for interactive-process review before any employment decision (§9.4). No employee is separated at the expiration of leave without Accommodations and Legal review.

47.6 Return to work

Employees returning from medical leave provide a release identifying any work restrictions. The Company evaluates whether restrictions can be accommodated, may offer transitional duty, and does not require an employee to be "100%" before returning — a full-duty release requirement applied inflexibly violates the ADA.

48. Domestic Violence, Sexual Assault and Stalking Leave

Employees who are victims of domestic violence, sexual assault, stalking or other crimes, or whose family member is a victim, may take leave to seek medical attention, obtain services from a shelter or victim services program, obtain counseling, participate in safety planning or relocation, or pursue legal action including obtaining a restraining order or attending proceedings. Up to twelve weeks per year is available, using paid sick and safe leave (§37.2) and PTO first and unpaid leave thereafter, or a greater entitlement where state law provides.

The Company will provide reasonable safety accommodations on request — including a changed work number or email address, a modified schedule, relocation of workspace, escort to and from parking, screening of calls, and support in obtaining a workplace restraining order. Requests and all related information are kept strictly confidential and shared only as necessary for safety. Employees may bring these matters to their People Partner or Global Security. Documentation may be requested but a broad range is accepted, including the employee's own written statement.

49. Leave Interaction Summary

Situation	How entitlements stack
Own serious illness or surgery	Sick leave → STD (with state SDI/PFML where applicable) → FMLA and state medical leave run concurrently for job protection → ADA accommodation review at exhaustion → LTD after 26 weeks
Pregnancy and childbirth (birthing parent)	PWFA accommodations during pregnancy → STD/state disability for 6–8 weeks recovery, concurrent with FMLA and state pregnancy disability leave → paid parental leave 16 weeks → phased return → lactation accommodation
Non-birthing parent	Paid parental leave 16 weeks, concurrent with FMLA bonding and state family leave
Adoption or foster placement	Paid parental leave 16 weeks, concurrent with FMLA and state family leave; adoption assistance benefit (§57.3)
Caring for a seriously ill family member	Paid sick and safe leave → state PFML wage replacement → FMLA and state family leave for job protection → personal leave if exhausted
Work-related injury	Workers' compensation medical and indemnity → FMLA runs concurrently → modified duty → ADA review; STD does not apply to work-related injury
Military deployment	USERRA leave with differential pay → benefit continuation → escalator reemployment
Family member deployed	FMLA qualifying exigency → 5 paid days under §44.3
Death of a family member	Bereavement (§42) → PTO → personal leave; EAP support
Domestic violence	Safe leave (§48) → safety accommodations → confidentiality protections

PART VI

Employee Benefits

Eligibility and enrollment, health and welfare plans, tax-advantaged accounts, retirement, insurance, wellbeing programs, education and other benefits, and COBRA and HIPAA administration.

50. Benefits Eligibility, Enrollment and Plan Governance

50.1 Eligibility

Employees regularly scheduled to work thirty or more hours per week are eligible for the full benefits program. Part-time employees scheduled under thirty hours are eligible for statutory benefits, paid sick leave, the retirement plan subject to plan terms, the employee assistance program, and voluntary benefits. Coverage for medical, dental and vision begins on the first day of employment; other coverages begin as stated in the benefits guide.

50.2 Dependent eligibility

Eligible dependents include a legal spouse, a domestic partner (with completed affidavit), children up to age twenty-six regardless of student or marital status, and a child of any age incapable of self-support due to disability that began before age twenty-six. Documentation is required. Enrolling an ineligible dependent is benefits fraud and grounds for termination and recovery of claims paid.

50.3 Enrollment windows

Window	Detail
New hire	Thirty days from the date of hire to elect. Elections are effective on the date of hire. Failure to elect results in default coverage of employee-only medical at the base plan, or no coverage where a positive election is required by the plan.
Annual open enrollment	Two weeks each November for the following January 1 plan year. This is the only time elections may be changed without a qualifying event. Flexible spending account elections do not roll over and must be re-elected annually.
Qualifying life event	Thirty-one days from the event to make a consistent change: marriage, divorce or legal separation, birth or adoption, death of a dependent, a dependent gaining or losing eligibility, a spouse's gain or loss of coverage, a change in employment status affecting eligibility, a court order, entitlement to Medicare or Medicaid, or a significant change in the cost or coverage of a spouse's plan. Sixty days applies for CHIP/Medicaid special enrollment events.

50.4 Cost sharing

XYZ Corporation pays approximately 85% of the premium for employee-only medical coverage and 75% for dependent coverage. Employee contributions are deducted pre-tax through the Section 125 cafeteria plan, except that domestic partner coverage may be partly after-tax where the partner is not a tax dependent, and imputed income may apply.

50.5 Total rewards statement

Each employee receives an annual statement showing base pay, incentive target, equity, employer benefit contributions, retirement match and paid time off value.

50.6 Plan documents control

COMPLIANCE NOTE — THIS PART IS A SUMMARY ONLY

The descriptions in Part VI are summaries provided for convenience. The official plan documents, insurance contracts, trust agreements and Summary Plan Descriptions govern in all respects, including eligibility, benefits, exclusions, limitations, claims and appeals. In any conflict between this handbook and a plan document, the plan document controls. The Company reserves the right to amend, modify or terminate any plan at any time, subject to ERISA and the plan's amendment procedures. Nothing here creates a vested right to any benefit. Required notices — Summary Plan Descriptions, Summary of Benefits and Coverage, Summary Annual Report, Women's Health and Cancer Rights Act, Newborns' and Mothers' Health Protection Act, CHIP, Medicare Part D creditable coverage, HIPAA privacy notice, mental health parity, No Surprises Act and transparency-in-coverage disclosures — are distributed annually and available on the benefits portal.

51. Medical, Prescription, Dental and Vision

51.1 Plan options

Plan	Structure	Best suited to
PPO Premium	Low deductible, broad national network, out-of-network coverage, copay structure	Employees expecting significant or specialist care
PPO Standard	Moderate deductible and premium, in- and out-of-network	Typical utilization
HDHP with HSA	IRS-qualified high deductible with Company HSA seed contribution and preventive care covered at 100% pre-deductible	Lower utilization; employees maximizing tax-advantaged saving
HMO (select markets)	Local network, primary care coordination, no out-of-network coverage except emergency	Employees in covered metro areas preferring lower premiums

All medical options include prescription drug coverage, preventive care with no cost sharing as required by the ACA, mental health and substance use disorder benefits at parity with medical/surgical benefits, telemedicine, and an annual out-of-pocket maximum. Dental includes preventive,

basic and major services with orthodontia for children; vision includes an annual exam and a materials allowance.

51.2 Affordable Care Act administration

As an applicable large employer, XYZ Corporation offers minimum essential coverage providing minimum value and meeting the affordability safe harbor to all full-time employees and their dependent children. Full-time status for variable-hour employees is determined using a twelve-month look-back measurement period, a limited administrative period, and a corresponding stability period. Employees receive Form 1095-C annually. The Company files Forms 1094-C and 1095-C with the IRS.

51.3 Additional health programs

- Second-opinion and expert medical review service at no cost.
- Centers-of-excellence program for major surgical procedures, with travel support.
- Fertility, family-forming and maternity support program including a lifetime maximum benefit for treatment.
- Gender-affirming care covered consistent with medical necessity criteria and applicable law.
- Diabetes, hypertension and musculoskeletal condition management programs.
- Advocacy service to help resolve claim and billing issues.

52. Tax-Advantaged Accounts

Account	Use and rules
Health Savings Account (HSA)	Available with the HDHP only. Employee contributions pre-tax through payroll; Company contributes an annual seed. Funds roll over indefinitely, are portable, and may be invested. Not available if enrolled in Medicare, claimed as a dependent, or covered by a disqualifying plan including a general-purpose FSA.
Health Care FSA	Pre-tax reimbursement of eligible medical, dental and vision expenses. Annual election is fixed; funds are use-or-lose subject to the plan's limited carryover. Full annual election is available from January 1.
Limited Purpose FSA	Dental and vision only; compatible with an HSA.
Dependent Care FSA	Pre-tax reimbursement of childcare and eldercare expenses enabling the employee to work. Subject to the statutory annual limit and to nondiscrimination testing that may require refunds to highly compensated employees.
Commuter accounts	Pre-tax transit and parking up to the monthly IRS limit; balances roll over while employed.

53. Retirement Savings (401(k))

The XYZ Corporation 401(k) Plan is a qualified defined contribution plan under ERISA.

53.1 Participation and contributions

- Eligibility on the first day of employment. Automatic enrollment at 6% of eligible compensation on a pre-tax basis after thirty days, with automatic annual escalation of 1% to a 15% ceiling. Employees may opt out or change elections at any time.
- Pre-tax, Roth and after-tax contribution types available, subject to the IRS annual limits and catch-up contributions for employees age 50 and over.
- Company match: 100% of the first 4% of eligible compensation plus 50% of the next 2%, for a maximum match of 5%. Match is calculated per pay period with an annual true-up.
- Company may make a discretionary profit-sharing contribution.

53.2 Vesting

Employee contributions and rollovers are always 100% vested. The Company match vests on a three-year cliff schedule; profit-sharing contributions vest on a six-year graded schedule. Vesting accelerates to 100% on death, disability, attainment of normal retirement age, or plan termination.

53.3 Investments, loans and withdrawals

A tiered menu of index and actively managed funds, target date funds and a self-directed brokerage window is offered. Participants may take up to two loans at a time subject to plan limits, and hardship withdrawals for statutory safe-harbor reasons. Loans in default are treated as taxable distributions. In-service withdrawals are available at age 59½. Required minimum distributions apply per the Internal Revenue Code.

53.4 Fiduciary governance

The Retirement Plan Committee is the named fiduciary, meets quarterly, reviews investment performance against an investment policy statement, benchmarks fees, documents its process, and engages an independent investment adviser. Participants receive annual fee disclosures, a quarterly statement, and the Summary Annual Report.

53.5 Nonqualified deferred compensation

Eligible executives may participate in a nonqualified deferred compensation plan subject to Internal Revenue Code §409A. Elections are irrevocable for the plan year and must be made before the applicable deadline. Amounts deferred are unfunded and subject to the Company's general creditors.

54. Life, Accident and Disability Insurance

Coverage	Company-provided / Voluntary
Basic life	2× annual base salary up to the plan maximum, Company-paid. Imputed income applies to coverage above \$50,000 as required by the IRC.
Basic AD&D	2× annual base salary, Company-paid.
Supplemental life	Employee may purchase up to 5× salary; spouse and child coverage available. Evidence of insurability may be required above the guaranteed issue amount.
Short-term disability	Company-paid per \$47.2.
Long-term disability	Company-paid core at 60% with voluntary buy-up per \$47.3.
Business travel accident	Company-paid, applies while traveling on Company business (\$113.7).
Voluntary	Critical illness, accident, hospital indemnity, legal plan, identity protection, pet insurance, auto and home group rates.

Employees must designate and maintain beneficiaries in the HRIS. Beneficiary designations override any contrary provision in a will. Review designations after any life event.

55. Employee Assistance, Mental Health and Wellbeing

The Employee Assistance Program provides confidential, no-cost support to employees and household members, twenty-four hours a day: short-term counseling sessions per issue per year, crisis support, financial and legal consultation, eldercare and childcare referral, substance use resources, and manager consultation. Use of the EAP is confidential and is not reported to the Company except in aggregate, de-identified utilization data or where disclosure is legally required to prevent imminent harm.

55.1 Additional mental health support

- Digital mental health platform with self-guided programs, coaching and licensed therapy, at no cost for a defined number of sessions annually.
- Mental health parity in medical plan coverage; no separate treatment limits.
- Manager training on recognizing distress and routing to support without diagnosing.
- Two Company-wide wellbeing days each year on which meetings are not scheduled.

55.2 Wellbeing programs

Annual wellness reimbursement for fitness, equipment and mindfulness subscriptions; biometric screening and flu vaccination at no cost; ergonomic assessment for office and home workspaces; tobacco cessation; and financial wellness education. Participation in any wellness program is voluntary; the Company does not require disclosure of health information as a condition of a benefit, and any incentive complies with ADA, GINA and HIPAA wellness rules.

PRACTICAL GUIDANCE — IF YOU OR A COLLEAGUE IS STRUGGLING

You are not expected to diagnose anyone, including yourself. If work is becoming unmanageable, start with the EAP or your own clinician; if the issue is workload or environment, tell your manager or People Partner what you need. Managers: if a team member seems to be in distress, express concern, ask what support would help, offer the EAP and accommodation process, and do not attempt to counsel or to inquire into medical details. If there is any indication of risk of harm, contact Global Security and your People Partner immediately — do not attempt to manage it alone.

56. Education and Professional Development Benefits

56.1 Tuition assistance

Employees with six months of service may receive up to \$10,000 per calendar year for job-related coursework and degree programs at accredited institutions, and up to \$5,250 of that may be provided tax-free under an educational assistance program under IRC §127. Advance approval is required before enrollment. Reimbursement requires a passing grade of C or better for undergraduate and B or better for graduate coursework, and continued employment; employees who voluntarily resign within twelve months of reimbursement repay a pro-rated portion where state law permits.

56.2 Certifications, licenses and conferences

The Company pays for required licenses, certifications and continuing education necessary to perform the job, plus exam fees for one attempt and one retake. Conference attendance is approved by the manager within the team's development budget and is booked under the travel policy.

56.3 Student loan support

The Company contributes \$100 per month toward eligible student loan principal for employees with active qualifying loans, and provides refinancing education. Employees may also receive Company matching contributions to the 401(k) on qualified student loan payments as permitted by law and plan terms.

56.4 Learning platforms and coaching

All employees have access to the Company learning platform, technical and leadership curricula, and a mentoring program. Managers at director level and above are eligible for external coaching. Employees may use up to four hours per month of work time for learning with manager agreement.

57. Additional Benefits and Perquisites

Benefit	Summary
Home office stipend	\$750 initial and \$250 annually for remote and hybrid employees, per \$116.4.
Adoption and surrogacy assistance	Up to \$20,000 per event for qualified expenses, plus paid parental leave.
Backup and emergency care	Subsidized backup childcare and eldercare days per year.
Charitable gift matching	Company matches employee donations to eligible nonprofits up to \$2,500 annually.
Sabbatical	Four weeks paid at ten years of service and every five years thereafter, scheduled with the manager at least ninety days in advance.
Referral bonus	Paid after the referred hire completes ninety days, per the program terms.
Service awards	Recognition at five-year milestones.
Relocation	Tiered packages for Company-initiated moves; taxable elements grossed up per policy.
Employee discount program	Third-party marketplace; the Company does not endorse specific vendors.

58. COBRA Continuation Coverage

Employees and covered dependents who lose group health coverage due to a qualifying event may elect to continue coverage at their own expense under COBRA.

Qualifying event	Maximum continuation
Termination of employment (other than for gross misconduct) or reduction in hours	18 months
Disability of a qualified beneficiary during the first 60 days of continuation	29 months
Second qualifying event during continuation	36 months total
Divorce or legal separation; death of the employee; child ceasing to be a dependent; employee's Medicare entitlement	36 months for dependents

The Company notifies the administrator within thirty days of an employment-related qualifying event, and the administrator issues the election notice within fourteen days. Employees and dependents must notify the administrator within sixty days of a divorce, legal separation or loss of dependent status — failure to do so forfeits continuation rights. Election must be made within sixty days; the initial premium is due within forty-five days of election and subsequent premiums within a thirty-day grace period. Coverage is retroactive to the date of loss. Marketplace coverage may be less expensive than COBRA; the administrator provides comparison information.

59. HIPAA Privacy, Security and Special Enrollment

The Company's group health plan complies with HIPAA privacy and security rules. Protected health information is used and disclosed only as permitted for treatment, payment and health care operations, or with authorization. Firewalls separate plan administration functions from employment functions: employees performing plan administration may not use PHI for any employment purpose. The Privacy Officer designated in the HIPAA policy handles complaints and individual rights requests (access, amendment, accounting of disclosures, restriction and confidential communications). Employees receive the Notice of Privacy Practices at enrollment and on request.

HIPAA also provides special enrollment rights: an employee who declines coverage and later loses other coverage, or who gains a new dependent through marriage, birth, adoption or placement for adoption, may enroll within thirty-one days (sixty days for Medicaid/CHIP events). The plan imposes no preexisting condition exclusions and does not discriminate in eligibility or premiums based on health status.

60. Benefits During Leave and Other Status Changes

Status	Benefit treatment
Paid leave	All benefits continue; contributions continue through payroll deduction; PTO and sick leave continue to accrue.
FMLA / state protected leave	Group health continues on the same terms; employee pays their share by direct payment or catch-up deduction. Life, disability and voluntary coverages continue per plan. PTO accrual suspends during unpaid portions. 401(k) contributions stop with no pay but resume automatically.
Personal leave (unpaid, discretionary)	Group health may continue for up to ninety days with the employee paying the full premium unless otherwise stated in the leave letter; PTO accrual suspends; equity vesting may suspend per plan.
Military leave	Health coverage continues up to twenty-four months per USERRA; pension service credited on reemployment; no waiting period on return.
Workers' compensation	Benefits continue during the period FMLA runs concurrently and thereafter per the leave letter.
Reduction in hours below 30	Loss of eligibility is a COBRA qualifying event unless the ACA stability period preserves full-time status.
Separation	Per §23.6 and §58.

PART VII

Performance Management and Development

The performance cycle, goal setting, feedback, ratings and calibration, performance improvement, progressive discipline, talent review, recognition and career development.

61. Performance Management Framework

Performance management at XYZ Corporation has three purposes: to make expectations explicit, to give people the feedback they need to improve, and to allocate rewards and opportunity fairly. It is a continuous process supported by two formal checkpoints a year, not an annual form-filling exercise.

61.1 Annual cycle

Period	Activity	Detail
January	Goal setting	Goals cascaded from Company and organization objectives; individual goals agreed and recorded within thirty days of cycle open or of hire.
Continuous	1:1s and feedback	Weekly or biweekly 1:1s; in-the-moment feedback; goal progress updated at least monthly.
June-July	Mid-year review	Written self-assessment and manager assessment; goals revised; no rating assigned; development plan refreshed.
November	Feedback collection	Self-assessment, peer and cross-functional feedback, upward feedback for managers.
December	Manager assessment and calibration	Draft ratings; calibration sessions by organization; second-level approval.
January	Delivery	Review conversations held; compensation decisions communicated after ratings are final; new cycle goals set.

61.2 What is assessed

Two dimensions, weighted equally in the overall assessment: **results** — the outcomes achieved against agreed goals and the scope of impact; and **how** — demonstration of the core values (§2.2)

and the competencies for the level. A strong result achieved through conduct inconsistent with our values does not produce a strong overall rating.

62. Goal Setting

Every employee has between three and six goals per cycle. Goals should be specific, measurable or otherwise verifiable, aligned to a Company or organization objective, within the employee's genuine influence, and time-bound. At least one goal should address the employee's own development.

62.1 Quality standards for goals

Weak	Stronger
"Improve customer satisfaction."	"Raise post-resolution CSAT for tier-2 tickets from 4.1 to 4.4 by Q3 by implementing the revised escalation runbook."
"Be a better communicator."	"Deliver written decision memos for all three platform decisions this half; solicit feedback from two peers on clarity after each."
"Support the migration."	"Own migration of the twelve legacy reporting jobs to the new pipeline with zero data-loss incidents and documented runbooks by June 30."

62.2 Changing goals

Goals should change when the business changes. A goal that has become irrelevant is retired with a note, not carried as a failure. Managers must record goal changes in the system when they happen, not reconstruct them at review time.

63. Reviews, Ratings and Calibration

63.1 Rating scale

Rating	Definition
Transformative	Impact substantially beyond the expectations of the level; changed how the team or Company operates; a clear model of our values. Rare.
Exceeds	Consistently delivered more than the goals required, with quality and scope above level expectations.
Achieves	Delivered the goals of the role at the expected standard. This is a good outcome and the expected result for the large majority of employees.
Partially achieves	Met some goals but fell short on others, or met results with significant concerns about how. Requires a documented improvement plan (\$65).
Does not achieve	Substantially failed to meet the requirements of the role. Requires a formal performance improvement plan or, where the shortfall is severe, immediate separation review.

63.2 No forced distribution

XYZ Corporation does not apply a forced ranking or a mandatory distribution curve. Calibration exists to align standards across managers, not to fit a quota. Reference distributions may be shared as a sanity check, and a manager whose ratings diverge markedly from peers should expect to explain the evidence — in either direction.

63.3 Calibration

Managers present their proposed ratings to peers with evidence. Calibration tests: are we applying the same standard to comparable work? Is any rating driven by recency, a single incident, likability or proximity to leadership rather than the year's evidence? Are we penalizing anyone for protected leave, accommodation, part-time schedule or reduced availability during a protected absence? Are outcomes for employees in underrepresented groups, remote employees, and employees who took leave consistent with the evidence? People Partners attend every session and are responsible for flagging bias, inconsistency and legal risk. Calibration outcomes and rationale are recorded.

63.4 Fair assessment requirements

- Assess the whole cycle, using contemporaneous notes and documented feedback — not the last six weeks.
- Do not rate down for time on protected leave; assess the work performed during active time and pro-rate goals.
- Separate performance from potential; do not let assumptions about someone's ambitions or family circumstances affect the rating.
- Do not use "attitude," "presence," "polish" or "executive presence" as a rating rationale without concrete, job-related behavioral evidence.
- Nothing in a written review should surprise the employee; if it does, that is a manager failure.

63.5 The review conversation

Reviews are delivered in person or by video, never by document alone, in a scheduled meeting of at least forty-five minutes. The manager states the rating early in the conversation rather than burying it, gives the two or three pieces of evidence that drove it, invites the employee's reaction, and closes on development and next-cycle goals. Compensation is discussed in a separate conversation after ratings are final.

63.6 Disagreement

Employees may add a written comment to their review, which becomes part of the record. An employee who believes a rating was based on inaccurate information, inconsistent standards or a protected characteristic may request People Partner review within fifteen days; the People Partner reviews the evidence with the second-level manager and responds in writing. Ratings are not subject to a formal appeal that substitutes another person's judgment on the merits, but they will be corrected where the process was flawed.

64. Continuous Feedback and One-on-Ones

Managers must hold a recurring 1:1 with each direct report at least every two weeks, and weekly for new hires, employees new to a role, and employees on an improvement plan. The employee owns the agenda; the manager owns making the time happen. Cancelling 1:1s repeatedly is a performance issue for the manager.

64.1 Giving useful feedback

Effective feedback is specific, timely, focused on observable behavior and its effect, and separated from judgments about character. A workable structure: state the situation, describe the specific behavior, describe the impact, and agree what changes. Feedback on conduct should be private; recognition can be public if the person welcomes it.

64.2 Upward and peer feedback

All managers receive aggregated upward feedback annually, with results shared with their manager and used in their own review. Peer feedback is solicited through the performance system; feedback is attributed to the author for the manager and shared with the employee in summarized form.

65. Performance Improvement Plans

A performance improvement plan (PIP) is a structured, time-bound effort to help an employee return to the standard of the role. It is not a formality preceding a predetermined termination, and it may not be used as one.

65.1 Prerequisites

Before a PIP is issued, the manager must have given the employee clear, documented feedback identifying the gap and an opportunity to correct it, and must review the draft with their People Partner. The People Partner checks for confounding factors: unclear expectations, missing training, inadequate tools, workload, an unaddressed accommodation need, a leave situation, a team-environment problem, or recent protected activity.

65.2 Contents

- The specific performance gaps, with examples and dates.
- The measurable standard that constitutes success, stated so that a neutral observer could determine whether it was met.
- The support the Company will provide — training, mentoring, revised priorities, more frequent feedback.
- Duration, normally thirty, sixty or ninety days, appropriate to the complexity of the work.
- Weekly written check-ins with documented progress.
- A plain statement of the consequence if the standard is not met, including possible termination.

65.3 Outcomes

At the end of the period the manager, with People Partner review, determines that the standard was met (the plan closes and the employee returns to normal management), partially met with genuine trajectory (one extension is permitted), or not met (reassignment, demotion or termination). The outcome is communicated in writing within five business days of the end date.

65.4 Employee rights during a PIP

An employee on a PIP may still request accommodation, take protected leave, apply for internal roles with People Partner approval, and raise a concern about the fairness of the plan. Placing an employee on a PIP shortly after they engaged in protected activity requires documented evidence that the performance concerns predated the activity, and Legal review.

66. Progressive Discipline and Corrective Action

Corrective action addresses conduct — rule-breaking, unprofessional behavior, attendance, policy violations — as distinct from performance capability, which is addressed under §65.

66.1 Ordinary sequence

Step	Description
Verbal coaching	An informal conversation identifying the issue and the expected change. Documented by the manager in a brief note to file shared with the employee.
Written warning	Formal document stating the conduct, the policy involved, prior discussions, the required change and the consequence of recurrence. Employee signature acknowledges receipt, not agreement.
Final written warning	Used for repeat or serious conduct. May include suspension, loss of bonus eligibility, or removal from a role.
Suspension	Investigatory suspension is paid. Disciplinary suspension of exempt employees must be for one or more full days and for a workplace conduct rule violation (§17.4).
Termination	Following People Partner review and, in the categories listed in §23.2, Legal review.

66.2 Immediate termination categories

The following ordinarily result in termination without progressive steps: violence, credible threats or possession of a weapon on Company property; theft, fraud, embezzlement or falsification of records including time and expense records; harassment involving physical contact or abuse of authority; deliberate unauthorized access to or disclosure of confidential, personal or customer data; intentional circumvention of security controls; being under the influence of alcohol or illegal drugs while performing safety-sensitive work; bribery or kickbacks; serious insider trading violations; deliberate destruction of evidence subject to a legal hold; and retaliation against a complainant or witness.

66.3 Consistency

Employee Relations maintains a discipline register so that comparable conduct receives comparable outcomes across the Company. Managers must not impose discipline beyond verbal coaching without People Partner review. Disparate treatment of similarly situated employees is one of the most common sources of successful discrimination claims.

66.4 Documentation standards

Every corrective action document must state facts and dates, not characterizations; cite the policy; record what the employee said in response; state the required change and the timeline; and avoid any reference to protected activity, leave, medical information or personal characteristics. Assume every document will be read aloud in a deposition.

67. Talent Review and Succession Planning

Twice a year, leaders review their teams for performance, readiness for larger scope, retention risk and development needs. Succession plans identify at least two candidates for each critical role and the development actions needed to close their gaps. Talent review discussions are confidential, evidence-based, and reviewed by People Partners for consistency and bias. Being identified as a successor is not a promise of promotion, and not being identified is not a ceiling; employees receive development feedback from the process without being told their placement on any grid.

68. Recognition

Program	Detail
Peer recognition	Any employee may recognize another through the recognition platform; points redeemable for awards. Non-cash awards of nominal value are generally not taxable; cash and cash-equivalent awards are taxable wages.
Spot awards	Manager-nominated cash awards from \$250 to \$2,500 for exceptional contribution, approved one level up.
Values awards	Quarterly awards for demonstrated core values, nominated by peers and selected by a cross-functional panel.
Patent and publication awards	Awards at invention disclosure, filing and issuance.
Service milestones	Recognition at five-year intervals.

Recognition budgets must be distributed on merit; People Partners review distribution annually for patterns of exclusion.

69. Career Development, Training and Required Compliance Training

69.1 Development ownership

Employees own their development; managers are accountable for enabling it. Every employee should have a written development plan covering the skills to build, the experience needed, and the specific opportunities agreed for the cycle. Development happens mostly through work — stretch assignments, rotations, leading a project, teaching others — not primarily through courses.

69.2 Career frameworks

Level expectations for each track and discipline are published so employees can see what the next level requires. Movement between the individual contributor and manager tracks is supported in both directions and carries no stigma.

69.3 Required training

Course	Audience	Frequency
Code of Conduct and Ethics	All employees and contingent workers	At hire; annually
Preventing Harassment and Discrimination	All employees	At hire; every 2 years (annually where required)
Preventing Harassment — Supervisor module	All people managers	Within 30 days of becoming a manager; every 2 years (CA: 2 hours biennially)
Security Awareness and Phishing	All employees and contingent workers	At hire; annually; plus quarterly simulations
Data Privacy and Handling	All employees	At hire; annually
Responsible AI Use	All employees	Before first use of an AI tool; annually
Insider Trading and MNPI	Designated insiders and Finance	Annually
Anti-Bribery and FCPA	Sales, Procurement, international roles, managers	Annually
Antitrust and Competition	Sales, Marketing, Product, executives	Annually
Health and Safety / Emergency Procedures	All employees; role-specific modules for site staff	At hire; annually
Interviewer Certification	Anyone conducting interviews	Before first interview; every 2 years
Manager Fundamentals (incl. leave, accommodation, wage-hour)	New people managers	Within 90 days
Secure Development / OWASP	Engineers	Annually
HIPAA (plan administration)	Benefits and designated staff	Annually

Required training is assigned in the learning system with a completion deadline. For non-exempt employees, all required training is paid time and, where it pushes hours over the threshold, generates overtime. Failure to complete required training by the deadline is a policy violation; repeated failure results in corrective action and, for managers, is reflected in their performance rating. System access may be suspended for overdue security or privacy training.

PART VIII

Code of Business Conduct and Ethics

The ethical standards that apply to everyone at XYZ Corporation: conflicts of interest, gifts, anti-corruption, competition law, insider trading, confidentiality and intellectual property, whistleblower protection, and standards of workplace conduct.

70. The Code of Ethics

70.1 Our commitment

XYZ Corporation competes on the merits of its products and the quality of its people. We do not need to cheat to win, and we will not. This Code applies to every employee, officer and director, and to contingent workers and business partners acting on our behalf. It is approved by the Board of Directors, and the Board's Audit Committee oversees compliance with it.

70.2 The six commitments

Commitment	What it requires
We are honest	We do not misrepresent our products, our results, our credentials or our intentions — to customers, investors, regulators, auditors or each other. We do not create misleading documents or omit material facts.
We follow the law	We comply with the laws of every jurisdiction where we operate. Where laws conflict, we seek Legal guidance rather than choosing the convenient interpretation.
We avoid conflicts	We make decisions in the Company's interest, and we disclose any interest that could reasonably be seen to compromise that.
We protect what is entrusted to us	Customer data, personal data, confidential information, intellectual property and Company assets.
We keep accurate records	Every book, record, account, report and expense claim reflects the truth of the underlying transaction.
We speak up	We raise concerns without fear, and we never retaliate against someone who does.

70.3 When you are unsure

Ask these questions: Is it legal? Is it consistent with this Code and our policies? Would I be comfortable if a customer, a regulator, a journalist or my family knew? Am I being asked to do something because it is right, or because it is expedient? Would I be willing to put it in writing? If

any answer is troubling, stop and consult Compliance or Legal. The absence of a specific rule is not permission.

IMPORTANT — RESULTS NEVER JUSTIFY A VIOLATION

No business objective, revenue target, deadline, customer demand or instruction from a manager justifies violating this Code. An employee who is directed to do so must decline and report it. Following an unlawful or unethical instruction is not a defense, and giving one is grounds for termination.

71. Conflicts of Interest

A conflict of interest exists whenever an employee's personal, financial, family or other outside interest could reasonably interfere with — or appear to interfere with — their duty to act in the Company's best interest. The appearance of a conflict damages trust as effectively as an actual one, which is why disclosure rather than self-assessment is the rule.

71.1 Situations requiring disclosure

- A financial interest in a customer, supplier, reseller, competitor or business partner, other than holdings under 1% in a publicly traded company held through a diversified fund.
- A family member or household member employed by, consulting for, or holding a significant interest in a customer, supplier or competitor.
- Any role in selecting, negotiating with, evaluating or managing a vendor where a relationship exists.
- Outside employment, consulting, advisory board seats, board directorships or business ownership (§84).
- Serving as an officer or director of any for-profit entity, and of a nonprofit that does business with XYZ.
- Personal relationships within a reporting line or in a position of influence (§83).
- Investment in a company an employee learns about through their work at XYZ.
- Accepting anything of value from a party seeking to do business with XYZ beyond the limits in §72.
- Diverting a business opportunity discovered through employment to personal benefit (corporate opportunity).
- Hiring or contracting with a relative's business.

71.2 Disclosure and management

Disclose in writing through the Conflicts Disclosure Form (Form 19.05) as soon as the situation arises, and re-certify annually. Compliance evaluates the disclosure and, where the conflict can be managed, documents a mitigation: recusal from the decision, transfer of a vendor relationship, reassignment of a reporting line, divestment, or a firewall on information. Undisclosed conflicts are the violation; a disclosed and managed interest usually is not.

71.3 Annual certification

All employees at manager level and above, all employees in Procurement, Finance, Sales and Legal, and all employees with purchasing authority complete an annual conflicts certification. False certification is a terminable offense.

72. Gifts, Entertainment and Hospitality

72.1 General standard

Business courtesies may be given or accepted only if they are modest in value, infrequent, customary in the industry, transparent, not cash or cash equivalent, not intended or likely to influence a decision, lawful, and would not embarrass the Company if disclosed.

72.2 Thresholds

Situation	Rule
Gifts received, per source per year	Up to \$150 aggregate may be accepted without approval; \$150–\$500 requires manager and Compliance approval and is logged; above \$500 must be declined, returned or donated.
Gifts given	Up to \$150 per recipient per year with manager approval; above requires Compliance approval.
Meals and entertainment	Reasonable and occasional; a business representative of the host must attend. Per-head cost above \$250 requires VP approval.
Travel and lodging paid by a third party	Not permitted without Compliance approval. Travel for XYZ business is paid by XYZ (Part XI).
Cash, gift cards, loans, discounts on personal purchases, stock	Never permitted, in any amount.
Anything during an active competitive procurement	Never permitted, in any amount, in either direction.
Government officials and employees	Nothing of value without prior written Legal approval — including a cup of coffee. See §73 and §87.3.
Healthcare professionals, or where a customer's own rules are stricter	The stricter rule applies. Many customers prohibit their employees from accepting anything; ask before offering.

72.3 Charitable and political contributions

Company charitable contributions require Community Affairs approval and may never be made at a customer's request in connection with a pending transaction. Company political contributions are addressed in §87.

73. Anti-Bribery and Anti-Corruption

XYZ Corporation prohibits bribery and corruption in all forms, whether involving government officials or commercial counterparties, and whether direct or through an intermediary.

73.1 Prohibited conduct

- Offering, promising, giving, requesting or accepting anything of value to obtain or retain business, to secure an improper advantage, or to influence any act or decision.
- Facilitation or "grease" payments to expedite routine government action. These are prohibited by Company policy even where a narrow legal exception might exist.
- Kickbacks of any kind, including to or from customer or supplier employees.
- Engaging a third party — agent, distributor, consultant, customs broker, lobbyist — where there is reason to believe they may make an improper payment. Willful blindness is not a defense.
- Charitable donations, sponsorships, internships or employment offered to relatives of officials as a means of influence.
- Recording any payment inaccurately or maintaining an off-book account.

COMPLIANCE NOTE — FCPA AND RELATED LAWS

The U.S. Foreign Corrupt Practices Act prohibits corrupt payments to foreign officials and requires issuers to maintain accurate books and records and adequate internal accounting controls. "Foreign official" is broad and includes employees of state-owned or state-controlled enterprises, political party officials, candidates, and officials of international organizations. The Company is also subject to the UK Bribery Act (which covers commercial bribery and creates a corporate offense of failing to prevent bribery), and to domestic anti-kickback and commercial bribery statutes. Penalties include criminal fines, imprisonment for individuals, disgorgement, and debarment. Individual liability is real: the Company cannot indemnify an employee for criminal conduct.

73.2 Third-party due diligence

Every third party who will interact with government officials or customers on XYZ's behalf must be onboarded through risk-based due diligence, contract with anti-corruption representations, audit and termination rights, and be paid only by traceable means to an account in the party's own name in the country of performance. Commissions must be commercially reasonable and documented.

73.3 Red flags

Requests for cash, payment to a third country or third party, unusually large commissions, a partner recommended by the official making the decision, refusal to accept anti-corruption contract terms, vague invoices, reluctance to be identified, or unexplained urgency. Any red flag must be reported to Compliance before proceeding.

74. Fair Competition and Antitrust

The Company competes vigorously and lawfully. Antitrust violations can be criminal, and per-se offenses require no proof of harm.

74.1 Never, with a competitor

- Agree or discuss prices, discounts, margins, credit terms, or future pricing intentions.
- Allocate customers, territories, products or market share.
- Agree to boycott or refuse to deal with a customer or supplier.
- Rig bids, coordinate bid strategy, or agree who will bid.
- Agree not to solicit or hire each other's employees, or exchange compensation information ("no-poach" and wage-fixing agreements are prosecuted criminally).
- Exchange competitively sensitive non-public information of any kind.

74.2 Care in specific settings

Trade associations and standards bodies: attend only meetings with a published agenda and legal oversight; if a conversation turns to any topic above, object, leave, and report it to Legal immediately in writing. **Benchmarking:** only through an independent third party that aggregates and anonymizes. **Customer and reseller relationships:** resale price maintenance, exclusivity, tying, bundling, loyalty rebates and most-favored-nation clauses require Legal review. **Dominant-position markets:** conduct lawful for a small competitor may be unlawful for a leading firm.

74.3 Competitive intelligence

Gather intelligence only from lawful public sources. Never misrepresent your identity to obtain information; never induce anyone to breach a confidentiality obligation; never accept a competitor's confidential information from a new hire, a customer or a departing employee, and never ask a candidate about their current employer's confidential information. If you receive competitor confidential information, do not read or circulate it — notify Legal.

75. Insider Trading and Material Non-Public Information

Employees may not buy or sell XYZ securities, or the securities of any company, while aware of material non-public information (MNPI) about that company, and may not disclose MNPI to anyone who might trade on it ("tipping"), including family members and friends. This prohibition applies to derivatives, and it applies after employment ends for as long as the information remains material and non-public.

75.1 What is material and non-public

Information is material if a reasonable investor would consider it important in making an investment decision. Examples: financial results or guidance before release; a pending merger, acquisition or divestiture; the gain or loss of a major customer or contract; significant product developments, launches or failures; a cybersecurity incident of significance; senior executive changes; a significant legal or regulatory proceeding; a restatement; a change in dividend or

buyback; an impending financing. Information is non-public until it has been broadly disseminated and the market has had time to absorb it — ordinarily one full trading day after a press release or filing.

75.2 Trading windows and preclearance

All employees are subject to quarterly blackout periods beginning at the close of business on the fifteenth day of the last month of each fiscal quarter and ending after the first full trading day following the earnings release. Designated insiders must additionally preclear every transaction with the Legal Department and may trade only in an open window. Special event-driven blackouts may be imposed and are themselves confidential. Rule 10b5-1 trading plans require Legal approval and a mandatory cooling-off period; they must be adopted while not aware of MNPI and outside a blackout.

75.3 Prohibited transaction types

Short sales of XYZ securities, transactions in puts, calls and other derivatives on XYZ securities, hedging or monetization transactions, holding XYZ securities in a margin account or pledging them as collateral, and standing or limit orders that extend beyond a trading window (other than under an approved 10b5-1 plan).

76. Confidential Information, Intellectual Property and Company Assets

76.1 Confidential information

Confidential information includes business and technical information not publicly known: product plans and roadmaps, source code, architecture, algorithms and models, pricing and cost data, customer lists and usage data, contracts and terms, financial results before release, forecasts, strategy, marketing plans, employee and compensation data, supplier terms, security architecture, incident details, litigation strategy, and any information a third party has entrusted to us under an obligation of confidence. The obligation to protect confidential information survives the end of employment indefinitely.

76.2 Handling requirements

- Access, use and share only as needed for your job, and only with those authorized.
- Store only in approved Company systems (§94). Never in personal cloud storage, personal email, personal notes apps, or an unapproved AI tool (§93).
- Do not discuss confidential matters in public places, on public transport, in shared workspaces, on unsecured calls, or where a home smart speaker or a household member could overhear.
- Apply the correct classification label to documents you create (§94).
- Disclose to a third party only under an executed non-disclosure agreement approved by Legal.
- Return or destroy all confidential information on separation, and do not retain copies of anything — including your own work product, contact lists, presentations or code.

76.3 Intellectual property and inventions

Inventions, discoveries, works of authorship, software, designs, know-how and other intellectual property conceived or developed by an employee in the course of employment, using Company resources, or relating to the Company's business or anticipated research and development, are the property of XYZ Corporation and are assigned under the Proprietary Information and Inventions Agreement, subject to the statutory exclusions in states such as California, Washington, Illinois, Minnesota, Delaware, Kansas, North Carolina and Utah that carve out inventions developed entirely on the employee's own time without Company resources and unrelated to the Company's business. Employees must promptly disclose inventions through the invention disclosure process, cooperate in obtaining patent protection, and identify pre-existing inventions in the schedule to their agreement at hire.

76.4 Respecting others' intellectual property

Do not use third-party software, images, fonts, music, datasets, text or code without a valid license permitting the intended use. Open-source components may be used only through the approved review process, with license obligations recorded; copyleft licenses require Legal review before use in distributed products. Do not copy competitor materials, and do not paste third-party content into Company products or into AI tools where the license does not permit it (§93.7).

76.5 Company assets

Company property — equipment, facilities, funds, supplies, software, data, brand and time — is provided for business use. Limited, incidental personal use of equipment and networks is permitted where it does not interfere with work, incur meaningful cost, or violate any policy. Personal use of Company funds is never permitted. Removing Company property from the premises requires authorization, and employees are accountable for equipment issued to them.

77. Raising Concerns and Whistleblower Protection

77.1 Obligation to report

Every employee must promptly report any conduct they reasonably believe violates law, this Code or Company policy. Failure to report known serious misconduct is itself a violation. Managers who receive a report must escalate it (§XVII).

77.2 The Integrity Line

The Integrity Line is operated by an independent third party, available twenty-four hours a day in multiple languages by telephone and web. Reports may be made anonymously where local law permits. Reports are routed to the Chief Compliance Officer, and reports concerning accounting, internal accounting controls, auditing matters, or senior management are routed directly to the Audit Committee of the Board.

77.3 How reports are handled

Acknowledgment within two business days (or by the anonymous case number); assessment and assignment to an independent investigator; investigation under §13 principles; findings and

remediation; and a summary of all reports and outcomes provided quarterly to the Audit Committee. Anonymous reporters can retrieve follow-up questions and status through the case number.

77.4 Protection

Retaliation against anyone who reports in good faith, or who participates in an investigation, is prohibited and results in discipline up to termination (§8). Good faith means the reporter honestly believes the information to be true; a report that turns out to be mistaken is protected.

77.5 External reporting rights preserved

COMPLIANCE NOTE — STATUTORY WHISTLEBLOWER PROTECTIONS

Nothing in this Code, any agreement, or any Company policy limits an employee's right to report possible violations of law to a government agency, to participate in an agency investigation or proceeding, or to receive a whistleblower award, and no prior notice to or authorization from the Company is required. Protections include the Sarbanes-Oxley Act §806 (retaliation protection for reporting securities fraud, with reinstatement and back pay remedies), the Dodd-Frank Act §922 and SEC Rule 21F-17 (which prohibits impeding communication with the SEC, including through confidentiality agreements), the False Claims Act, OSHA §11(c) and the more than twenty whistleblower statutes OSHA administers, the National Labor Relations Act, the Taxpayer First Act, the Anti-Money Laundering Act, and state whistleblower statutes. The Company also maintains the internal reporting channels required by NYSE and Nasdaq listing standards and Exchange Act Rule 10A-3.

78. Attendance, Punctuality and Availability

Employees are expected to be present and ready to work at their scheduled times, to notify their manager as early as possible when they will be late or absent, and to follow their team's call-in procedure. Excessive unscheduled absence or lateness, or failure to follow notification procedures, may result in corrective action.

Absences that are protected — approved leave, paid sick and safe leave, disability accommodation, jury duty, military service, voting leave, and legally protected time off — are never counted against an employee under this section, are never used as a factor in performance ratings, and are never included in attendance point systems. Managers must not maintain their own informal attendance tallies.

79. Dress and Appearance

XYZ Corporation's standard is business casual, with the practical test being whether your appearance is appropriate for the people you will encounter that day. Employees meeting customers or attending formal events should dress to the standard of the occasion; site and lab roles must wear required protective equipment without exception.

The dress standard is applied without regard to sex or gender identity and accommodates religious dress and grooming, natural and protective hairstyles, cultural attire, and disability-

related needs; requests are granted as accommodations without the employee needing to justify them (§10, §9). Prohibited in all settings: clothing with profane, harassing, discriminatory or political messaging; attire that creates a safety hazard; and anything that would violate a customer site's rules.

80. Drug- and Alcohol-Free Workplace

80.1 Standard

Employees may not manufacture, distribute, dispense, possess or use illegal drugs, or be impaired by any substance including alcohol, cannabis or misused prescription medication, while working, on Company premises, in Company vehicles, or while conducting Company business. Employees taking prescribed medication that may impair their ability to perform safety-sensitive work must notify Occupational Health — not their manager, and without disclosing the medication or condition — so that accommodation can be assessed.

80.2 Alcohol at Company events

Where alcohol is served at a Company event, attendance and consumption are voluntary, non-alcoholic options are always provided, consumption is limited, no employee is pressured to drink, drink tickets or a service cutoff are used, and transportation is arranged. Managers hosting an event are responsible for these controls. Employees remain subject to all conduct policies at Company events, including §7.

80.3 Testing

Testing is conducted only where permitted by law and is limited to: safety-sensitive positions and DOT-regulated roles as required by federal regulation; post-accident testing where permitted; and reasonable-suspicion testing based on specific, documented, articulable observations, authorized by a People Partner, and never on hunch or reputation. Employees are transported home and never permitted to drive when reasonable suspicion exists.

COMPLIANCE NOTE — CANNABIS AND OFF-DUTY USE

A growing number of states — including California, New York, New Jersey, Washington, Nevada, Connecticut, Montana, Rhode Island, Minnesota, Illinois and the District of Columbia — restrict employers from taking adverse action based on lawful off-duty cannabis use, or from relying on tests that detect only non-psychoactive metabolites, with exceptions for safety-sensitive and federally regulated roles. Many states also protect registered medical cannabis patients and may require accommodation of the underlying condition. Because federal contractors remain subject to the Drug-Free Workplace Act and DOT rules for covered roles, this area is genuinely complex: no adverse action based on a cannabis result may be taken without Legal and People Team review.

80.4 Voluntary disclosure and support

An employee who comes forward voluntarily about a substance use disorder before any incident or test will be supported through the EAP, medical leave and accommodation, and will not be

disciplined for the disclosure itself. Substance use disorder is a recognized medical condition; the Company's aim is treatment and safe return to work.

81. Workplace Violence, Threats and Weapons

XYZ Corporation has zero tolerance for violence, threats, intimidation, stalking or menacing behavior in the workplace, whether by employees or third parties, and whether in person or through electronic communication. Prohibited conduct includes any physical assault, threatening statements (including conditional and "joking" threats), destruction of property, intimidating gestures, following or surveilling a colleague, and bringing a weapon onto Company property or to a Company event, except where a state's parking-lot statute protects lawfully stored firearms in a locked private vehicle.

Report any threat or act immediately: call 911 if there is any immediate danger, then notify Global Security and your People Partner. Threats are assessed by a threat assessment team including Security, People Team and Legal, which may impose access restrictions, arrange escorts, seek a workplace restraining order, or involve law enforcement. Employees must inform Global Security if they obtain a protective order naming a person who might come to a Company location — this information is handled confidentially and only for safety planning.

82. Solicitation, Distribution and Use of Company Space

To limit disruption, non-employees may not solicit or distribute literature on Company property. Employees may not solicit other employees during either person's working time, or distribute literature in working areas during working time. Working time does not include meal periods, rest breaks or other non-work time.

COMPLIANCE NOTE — NLRA SECTION 7

This policy is applied uniformly regardless of the subject matter of the solicitation and does not restrict employees' rights under Section 7 of the National Labor Relations Act to discuss wages, hours, working conditions, unionization or other terms and conditions of employment with each other on non-work time, including through Company communication systems consistent with §90. Nothing in this handbook is intended to interfere with, restrain or coerce employees in the exercise of those rights.

83. Personal Relationships, Nepotism and Fraternization

Romantic or familial relationships are not prohibited, but they may not exist within a direct or indirect reporting line, and they must not affect employment decisions. Any employee in a romantic or close familial relationship with another employee in their reporting chain, or where one has influence over the other's compensation, evaluation, promotion, assignments or discipline, must disclose it promptly to the People Team, which will arrange a reporting or assignment change. Executives must disclose any relationship with any employee. Relationships with subordinates by anyone in a position of authority carry a presumption that the more senior person is responsible for disclosure; failure to disclose is itself a violation and a common basis for

termination of the senior person. Relationships with a customer or supplier contact where the employee influences the commercial relationship must be disclosed under §71.

84. Outside Employment and Business Activities

Employees may hold outside employment or run a business provided it does not compete with XYZ, does not use Company time, information, equipment, brand or relationships, does not create a conflict of interest, does not involve a customer or supplier without disclosure, does not impair the employee's performance or availability, and does not create a claim on intellectual property developed in the scope of XYZ employment. Outside activity must be disclosed through Form 19.05 before it begins, and approval may be withdrawn if circumstances change. Board seats and advisory roles at for-profit companies require Compliance approval; teaching, writing, speaking and open-source contribution are encouraged and require disclosure where the subject relates to the Company's business (§86).

85. Social Media and Personal Online Activity

XYZ Corporation respects employees' right to use social media personally. The following applies when your activity touches the Company.

- Never disclose confidential, customer, personal or material non-public information — including screenshots, internal slides, office photos showing whiteboards or screens, or "we're working on something big" hints.
- Speak for yourself, not the Company. Where you identify your employer and discuss matters related to XYZ's business, include a clear statement that views are your own. Only Communications may speak for the Company (§86).
- Do not harass, threaten or discriminate against colleagues, customers or partners online. Conduct online that creates a hostile work environment is treated the same as conduct in the office (§7.1).
- Follow FTC endorsement rules: if you post about XYZ products, disclose that you work for XYZ. Do not write fake reviews, astroturf, or post about a competitor while concealing your affiliation.
- Use Company brand assets only per the brand guidelines and never in a way suggesting official endorsement of your personal views.

COMPLIANCE NOTE — PROTECTED ONLINE SPEECH

This policy does not restrict employees from discussing wages, hours or working conditions with coworkers or others, including on social media; from engaging in protected concerted activity; from reporting concerns to government agencies; or from engaging in lawful off-duty political speech where state law protects it. Overbroad social media rules have repeatedly been found unlawful by the NLRB, and this policy is to be interpreted narrowly and consistently with Section 7 rights. If you believe a manager has applied this policy to restrict protected speech, contact Employee Relations.

86. External Communications, Media and Speaking

All media inquiries — from any reporter, analyst, blogger or podcaster — must be referred to Corporate Communications without comment, including "no comment" and off-the-record remarks. Investor and analyst inquiries go to Investor Relations only; Regulation FD prohibits selective disclosure of material non-public information. Government and regulator inquiries go to Legal immediately. Requests for testimony, subpoenas, litigation-related inquiries and law enforcement requests go to Legal before any response.

Conference talks, published articles, podcasts and social content about XYZ's technology or business require review by Communications and, where technical or legal content is involved, by Legal and the relevant technical leader, at least ten business days in advance. Employees may contribute to open source under §76.4 with manager and Legal approval.

87. Political Activity, Lobbying and Government Interaction

Employees may participate in the political process on their own time, with their own resources, and in their own name. The Company does not restrict lawful personal political activity and does not consider political affiliation in employment decisions.

- Do not use Company funds, facilities, equipment, email, brand or work time for personal political activity, and do not imply Company endorsement of a candidate or position.
- Personal political contributions are never reimbursable and are never a factor in any employment or business decision.
- Corporate political contributions and any lobbying activity require Government Affairs and Legal approval, are made only where lawful, and are reported as required. Many jurisdictions have "pay-to-play" rules under which even a personal contribution by certain employees can disqualify the Company from government contracts — employees in covered roles must preclear personal contributions.
- Any interaction with a government official on the Company's behalf must be coordinated with Government Affairs, recorded, and conducted consistently with §72.2 and §73.
- Employees who wish to run for or accept public office must notify the People Team and Compliance in advance.

88. Records, Accuracy and Financial Integrity

All Company books, records and accounts must accurately and fairly reflect transactions in reasonable detail and in accordance with the Company's accounting policies and generally accepted accounting principles. Prohibited without exception: recording revenue in the wrong period or on unmet conditions; side letters or undisclosed oral agreements altering contract terms; unrecorded liabilities or reserves used to manage earnings; false or inflated expense claims; falsifying time records; backdating documents; creating a record to support a conclusion that the underlying facts do not support; and any off-book account or fund.

Employees must cooperate fully and honestly with internal audit, external auditors, internal investigations and regulators, must never mislead or attempt to influence an auditor improperly,

and must not destroy or alter records subject to a legal hold (§95.4). Concerns about accounting, internal controls or auditing may be reported confidentially and anonymously to the Audit Committee through the Integrity Line (§77.2).

PART IX

Information Technology and Artificial Intelligence

Acceptable use of Company technology, devices and BYOD, communications, monitoring, software procurement, the artificial intelligence usage policy, data classification and records management.

89. Acceptable Use of Company Technology

Company technology — networks, devices, accounts, applications, storage and data — is provided to do XYZ's work. Access is a privilege conditioned on compliance with this Part and Part X.

89.1 Permitted and expected use

- Use your own named account. Never share credentials, never use another person's account, and never allow another person — including a family member, a contractor or a colleague — to use your session.
- Use Company-managed devices and Company-approved services for all Company work and data.
- Keep devices patched, encrypted and enrolled in management. Do not disable security agents, EDR, VPN or logging.
- Limited incidental personal use of Company devices and networks is permitted where it is lawful, brief, does not consume meaningful resources, does not create risk, and does not interfere with work.

89.2 Prohibited use

Prohibited	Why
Storing or sending Company data through personal email, personal cloud storage, personal messaging apps or personal note-taking tools	Data leaves Company control, cannot be secured, retained, held for litigation or deleted on separation
Installing unapproved software, browser extensions, agents or AI assistants	Unvetted code and unvetted data flows; browser extensions in particular can read everything on screen
Connecting unapproved devices, USB storage or personal hotspots to Company networks	Bypasses network controls

Circumventing security controls — disabling MFA, using unapproved VPNs or proxies, tunneling, jailbreaking, rooting	Defeats the entire control set and is treated as serious misconduct
Accessing systems, records or data you have no business need to see, including out of curiosity about a colleague, a public figure or a customer	"Snooping" is a terminable offense and is detectable in audit logs
Sharing files or links publicly or with "anyone with the link" where the content is not Public classified	Most data leaks are misconfigured sharing, not attacks
Using Company systems to access, store or distribute pornographic, harassing, discriminatory, hateful or illegal material	Creates a hostile environment and legal liability
Cryptocurrency mining, running a personal business, torrenting, unlicensed streaming or media piracy	Misuse of assets and legal exposure
Attempting to test, scan or exploit Company or third-party systems without written authorization from Security	May be a crime even with good intent; authorized testing is coordinated by Security (§108.5)
Auto-forwarding Company email to a personal address	Blocked technically; attempting it is a violation

90. Communications Systems, Email and Collaboration Tools

Email, chat, video conferencing, ticketing systems and document comments are Company business records. Write accordingly.

- Assume anything you write may be read by a regulator, an opposing lawyer, a journalist or the person you are writing about.
- Do not use chat to make significant decisions without recording them in a durable system; do not use ephemeral or auto-deleting messaging for Company business, which defeats retention obligations (§95).
- Do not speculate in writing about legal liability, safety defects, competitor conduct or an individual's character. If a matter is legally sensitive, involve Legal and mark communications appropriately for privilege.
- Do not record a meeting, call or conversation without informing all participants and obtaining consent; several states require the consent of every party. Recording of any conversation involving personnel matters requires People Team approval.
- Use the correct channel: customer-identifiable data, personal data and Restricted material stay in approved systems, never in general chat channels.
- Respect working hours; schedule non-urgent messages to arrive during recipients' working hours, and remember that for non-exempt employees, responding is work time (§28.2).

91. Company Devices, BYOD and Remote Access

91.1 Company-issued devices

Employees are issued a laptop and, where the role requires, a mobile device. Devices are enrolled in Company management with full-disk encryption, endpoint detection and response, patch enforcement, screen lock, and remote wipe capability. Employees must report loss or theft within one hour of discovery (§105.2), must not leave devices unattended in public or visible in a vehicle, must not use them for another employer's work, and must return them on separation or on request.

91.2 Bring your own device

Personal devices may access a limited set of Company services — email, calendar, chat and MFA — only after enrollment in mobile application management, which creates a managed container. The Company can see and manage only the Company container: it can wipe the container without touching personal data, and it does not access personal photos, messages, browsing history or location. Company data may not be moved out of the container, and Company documents may not be stored in personal apps. Employees using personal devices must maintain a device passcode, current OS version, and device encryption, and must permit container wipe on separation. BYOD is a convenience, not a right, and may be withdrawn.

91.3 Remote access

Remote access to Company systems requires Company-managed devices, MFA and the Company VPN or zero-trust access broker. Public and hotel Wi-Fi may be used only with the VPN active. Access from a country not on the approved list requires prior Security and Legal approval because of export control, sanctions and data-transfer restrictions (§114.6).

92. Monitoring and Limited Privacy Expectations

IMPORTANT — NO EXPECTATION OF PRIVACY IN COMPANY SYSTEMS

Employees should have no expectation of privacy in anything created, stored, sent, received or accessed using Company systems, devices, accounts or networks, including personal use of them. To the extent permitted by law, the Company may access, monitor, review, copy, retain and disclose such content, with or without notice, and without the employee's consent.

92.1 What is monitored and why

Monitoring is conducted for defined purposes only: security threat detection, data loss prevention, system performance and capacity, license and cost management, legal hold and discovery, investigation of suspected policy violations, and regulatory compliance. Routine monitoring is automated and aggregated; review of an individual employee's content requires documented approval from Security leadership together with Legal or the People Team.

92.2 Categories

Network traffic and DNS logs; email and file transfer metadata with content inspection by data loss prevention rules; endpoint telemetry; authentication and privileged-access logs; application and database access logs; badge access records; video surveillance in common and secure areas (never in restrooms, changing areas or lactation rooms); and, where a role requires and law permits, call recording with notice to all parties.

92.3 Limits and notice

The Company does not monitor the content of an employee's protected concerted activity or union communications, does not use monitoring to track protected leave or medical matters, does not use keystroke logging or webcam activation on employee devices, and does not monitor employees' personal devices or personal accounts. Where state law requires prior written notice of electronic monitoring — including New York, Connecticut and Delaware — that notice is provided at hire and posted. Employees in jurisdictions with works councils or additional privacy requirements receive the applicable local notice.

93. Artificial Intelligence Usage Policy

XYZ Corporation encourages the use of artificial intelligence to do better work faster. This policy is permissive by design: the goal is to make good use easy and unsafe use clearly identifiable. Every employee is accountable for what they produce with AI to exactly the same standard as work produced without it.

93.1 Scope

This section applies to all generative and predictive AI tools — chat assistants, coding assistants, AI features embedded in approved SaaS products, meeting transcription and summarization tools, image and video generators, agentic tools that take actions, and any model accessed through an API — used for any Company purpose, on any device, by employees and contingent workers.

93.2 The four rules

Rule	Detail
1. Approved tools only	Use AI tools on the Approved AI Tools List, accessed through your Company account with single sign-on. The list, with the data classification each tool is cleared for, is maintained by the AI Governance Council on the Technology Portal. Personal accounts on consumer AI services must never be used for Company work.
2. Respect the data class	Never input data above the classification the tool is approved for. When in doubt, do not paste it — describe the problem abstractly instead.
3. Human review before it counts	A person must review and take responsibility for any AI output before it is used in a decision, sent externally, published, committed to a production system, or relied upon.
4. Disclose where it matters	Disclose AI involvement where a reader or recipient would reasonably want to know, and always in the situations listed in §93.6.

93.3 What you may put into an approved AI tool

Data	Permitted?
Public information	Yes — published marketing copy, public documentation, public code, public research.
Internal information	Yes, in tools approved for Internal use with a zero-retention or Company-tenant configuration — internal drafts, meeting notes, non-sensitive plans, internal documentation, most first-party code.
Confidential information	Only in tools explicitly approved for Confidential data, and only for the purpose approved. Includes unreleased product plans, pricing models, financial forecasts, security architecture.
Personal data of any individual	No, unless the specific use case has completed a privacy impact assessment and appears on the approved use-case register. Includes customer contact data, employee data, candidate resumes and health information.
Customer data or content	No, unless the customer contract and the Data Processing Agreement permit AI processing and the tool is on the approved list for that purpose. Many contracts prohibit it outright.
Regulated data — payment card, health, biometric, children's data, export-controlled technical data	No, without written Legal and Security approval.
Restricted data — credentials, keys, secrets, source code for security controls, M&A material, MNPI, privileged legal advice, live investigation material, security incident detail	Never, in any tool.
Third-party confidential information received under NDA	No, unless the NDA permits it.

93.4 Encouraged uses

Drafting and editing your own writing; summarizing long internal documents and meetings; brainstorming and challenging your own thinking; writing, explaining, refactoring and testing code; generating test data; translating internal content; drafting queries and scripts; converting formats; building prototypes; explaining unfamiliar technical material; preparing first drafts of routine documents; and research where you verify the sources yourself.

93.5 Uses requiring approval or prohibited

Use	Status
Screening, ranking, scoring or rejecting job applicants; recommending hiring, promotion, discipline or termination decisions	Prohibited without formal AI Governance Council approval, a bias audit, candidate notice, and an accommodation alternative — and never as the sole basis for a decision (§93.9)

Determining or influencing compensation, performance ratings or PIP decisions	Prohibited as a determinant. Managers may use AI to help draft language for a decision they have already made on their own analysis.
Monitoring, scoring or profiling individual employees' productivity or behavior	Prohibited without Legal, Security and People Team approval
Generating legal advice, financial statements, regulatory filings, safety-critical analysis, or medical guidance for external use	Prohibited without review and sign-off by the accountable qualified professional
Automated decisions affecting customers' rights, credit, pricing or access to services	Requires Governance Council approval, documented human oversight, an appeal path and, where applicable, disclosure to the individual
Cloning or synthesizing any person's voice or likeness	Requires that person's written consent plus Legal approval. Deepfakes of employees, customers, executives or public figures are prohibited outright
Publishing AI-generated content externally under the Company name	Requires Communications review and human editing; must be factually verified
Agentic tools that can send email, modify systems, spend money or transact	Requires Security review, scoped credentials, an approval gate for consequential actions, and a full audit log
Training or fine-tuning a model on Company, customer or personal data	Requires Legal, Security and Governance Council approval; data rights must be confirmed in writing
Uploading source code to a tool not approved for code	Prohibited
Using AI to circumvent a control, generate deceptive content, impersonate anyone, or produce material that would violate any other policy	Prohibited ; treated as serious misconduct

93.6 Mandatory disclosure situations

- Any material deliverable provided to a customer, partner, regulator or auditor that contains substantially AI-generated content — disclose in the document.
- Code contributed to a repository with AI assistance — note it in the commit or pull request per engineering standards.
- Externally published writing, imagery, audio or video that is substantially AI-generated.
- Research, analysis or data used to support a decision by others, where AI produced the analysis.
- Meeting transcription or note-taking assistants — announce and obtain agreement at the start of the meeting, every time. Do not use them in interviews, performance conversations, investigations, legal discussions or any conversation involving personal or medical information.
- Anything you would be uncomfortable having the recipient discover afterward.

93.7 Accuracy, bias and intellectual property

- **Hallucination.** Models produce fluent, confident, false output, including invented citations, cases, statistics, APIs, library functions and quotations. Verify every factual claim, number, citation, name and code reference against a primary source before relying on it. "The AI said so" is never an acceptable explanation for an error.
- **Bias.** Outputs can reflect and amplify bias in training data. Scrutinize any output that characterizes people, groups or populations, or that is used in an evaluative context.
- **IP risk in inputs.** Do not paste third-party copyrighted material, licensed content or another company's confidential information into a tool.
- **IP risk in outputs.** AI output may closely reproduce training data. Run code through the license-scanning pipeline; do not use generated images, music or text that appears to imitate an identifiable style, artist or trademark. Purely AI-generated material may not be copyrightable, which matters for product assets — consult Legal before relying on it.
- **Security of generated code.** AI-generated code must pass the same review, static analysis, dependency scanning and testing as any other code. Generated code frequently contains insecure patterns, outdated dependencies and hallucinated package names — the last of which is actively exploited by attackers who register those names.
- **Prompt injection.** Treat content retrieved from documents, email or the web by an AI tool as untrusted input; an attacker can plant instructions in it. Never let an agent act on instructions found in content without human review.

93.8 Governance

The AI Governance Council — chaired by the Chief Information Officer, with the CISO, General Counsel, Chief Privacy Officer, Chief People Officer, Chief Compliance Officer and business representation — owns this policy, maintains the Approved AI Tools List, maintains the register of approved higher-risk use cases, reviews new tools and use cases, sets risk tiers, and reports to the Audit Committee semi-annually. The Council maintains an inventory of every AI system in use, including AI features inside third-party SaaS products, with an owner, purpose, data classes, risk tier and review date for each.

93.9 Higher-risk AI and required assessments

Any AI use that materially affects an individual's employment, access to services, credit, price, safety or legal rights is classified higher-risk and requires, before deployment: a documented purpose and necessity assessment; a data protection impact assessment; a bias and validity assessment with a named methodology; documented human oversight with authority to override; an explanation capability; notice to affected individuals; an appeal or human-review path; ongoing monitoring with defined drift and fairness metrics; and an owner accountable for retirement of the system if metrics degrade.

COMPLIANCE NOTE — AI REGULATION

Requirements applicable to AI in employment and consumer contexts are expanding quickly. Among them: NYC Local Law 144 requires an annual independent bias audit, publication of results, and candidate notice for automated employment decision tools; Illinois regulates AI video interview analysis and, under amendments to its Human Rights Act, AI use in employment decisions; Colorado, California and other states have enacted AI and automated-decision rules affecting employment and consumer decisions; the EU AI Act imposes obligations on high-risk systems, including employment-related systems, with transparency duties for general-purpose models; and existing law applies regardless — Title VII disparate impact analysis, the ADA (an AI screening tool that disadvantages people with disabilities is unlawful even if unintentional), the FCRA where a vendor's output functions as a consumer report, and state privacy statutes granting rights to opt out of profiling. Because this landscape changes faster than this handbook is revised, the Approved AI Tools List and use-case register on the Technology Portal are the operative controls; consult them, not your memory of this page.

93.10 Reporting AI problems

Report to the AI Governance Council mailbox: any output that appears to expose personal or confidential data; any suspicion that data was submitted to an unapproved tool; any biased, harmful or unsafe output; any tool behaving outside its described function; and any case where AI output was relied upon and turned out to be wrong in a way that affected someone. Reports made promptly and in good faith about your own mistake will be handled as a learning matter, not a disciplinary one — the exception being deliberate submission of Restricted data or deliberate concealment.

94. Data Classification and Handling

Class	Examples	Handling requirements
Public	Published marketing, public docs, press releases, job postings	No restriction. Only Communications may move content into this class.
Internal	Internal announcements, org charts, most project documents, internal wiki	Share within XYZ; external sharing requires an NDA and owner approval. Do not post publicly.
Confidential	Financials before release, roadmaps, pricing, contracts, source code, security architecture, most personal data	Need-to-know only; encrypted in transit and at rest; approved systems only; access reviewed quarterly; labeled; no removable media; DLP-monitored.
Restricted	Credentials and keys, payment card data, health data, biometric data, government-classified or export-controlled data, M&A and MNPI, privileged legal material, live investigation and incident material	Explicit named authorization; strong encryption; hardware-backed key storage where applicable; separate enclave; full audit logging; never in email, chat, ticket systems or any AI tool; access approved by the data owner and the CISO.

Employees must label documents they create at Confidential and Restricted levels, use the classification-aware sharing controls, and re-classify when content changes. When you cannot determine the class, treat data as Confidential and ask the owner.

94.1 Personal data specifics

Personal data — any information relating to an identifiable individual — is at minimum Confidential. Collect the minimum necessary, use it only for the purpose disclosed, retain it only as long as needed, honor individual rights requests routed through the Privacy Office, and never export it to a personal device or unapproved tool. Sensitive categories (health, biometric, precise geolocation, race or ethnicity, religion, sexual orientation, union membership, immigration status, children's data, financial account numbers) require additional controls and Privacy Office approval for any new use.

95. Records Management and Retention

95.1 Principles

Records are retained as long as they are needed for business, legal, tax, regulatory or contractual purposes, and are disposed of securely and consistently thereafter. Keeping everything forever is not a safe default: it increases breach exposure, discovery cost and privacy risk.

95.2 The retention schedule

The Company's records retention schedule, maintained by Legal, assigns a retention period to every record class. Employment records are in §21.5; illustrative business classes below. Where multiple periods apply, the longest governs.

Record class	Retention
General correspondence and email not otherwise classified	3 years from creation (automatic deletion)
Chat and instant messages	1 year (automatic deletion) unless on legal hold or in a designated retained channel
Contracts and amendments	7 years after expiry or termination
Accounting records, ledgers, invoices, tax returns and support	7 years (permanent for tax returns)
Audit workpapers and SOX control evidence	7 years
Board and committee minutes, charters, stock records	Permanent
Product design records, specifications, safety and test records	Life of product plus 10 years
Security logs and audit trails	1 year online, 2 years archived (longer for privileged access)
Privacy consents, notices and rights requests	5 years
Marketing materials and substantiation for claims	5 years after last use

95.3 Employee obligations

Store records in the designated system of record rather than personal drives; do not create shadow copies; do not use personal accounts, ephemeral messaging or auto-deleting settings for Company business; and dispose of physical records through secure shredding.

95.4 Legal holds

IMPORTANT — LEGAL HOLD OBLIGATIONS

When the Company receives a legal hold notice from the Legal Department, every recipient must immediately suspend deletion of all potentially relevant material — email, documents, chat, text messages, voicemail, notes, drafts, calendar entries, photographs, source code, tickets and data in any system — and preserve it until Legal releases the hold in writing. Do not "clean up," edit, reorganize or delete anything covered, and do not discuss the hold outside the recipient list. Destruction of material under hold may constitute spoliation of evidence or obstruction of justice, carries serious consequences for the Company and potentially for the individual, and is grounds for immediate termination. If you are unsure whether something is covered, preserve it and ask.

PART X

Cybersecurity Standards

The security program and governance, identity and access management, authentication, endpoint and network security, encryption, physical security, third-party risk, incident response, privacy operations, secure development, and security awareness.

96. Security Program and Governance

XYZ Corporation maintains an information security program aligned to the NIST Cybersecurity Framework and ISO/IEC 27001, with controls mapped to SOC 2 Trust Services Criteria and to customer and regulatory requirements. The Chief Information Security Officer owns the program and reports to the Chief Executive Officer with independent reporting access to the Audit Committee of the Board at least quarterly.

96.1 Structure

Body / role	Responsibility
Board Audit Committee	Oversight of cyber risk, review of the program, material incident oversight, and approval of the risk appetite. Receives quarterly reporting and immediate notice of material incidents.
Security Steering Committee	Cross-functional prioritization, exception approval, policy approval. Meets monthly.
CISO / Security team	Policy, architecture, engineering, operations, detection and response, governance, risk and compliance, awareness.
Data and system owners	Named accountable owner for every system and data set: classification, access approval, quarterly access review, risk acceptance for their scope.
All employees	Follow this Part; complete training; report incidents promptly.

96.2 Risk management

Risks are identified through assessments, penetration tests, vulnerability scans, threat intelligence, audit findings and incident lessons; recorded in the risk register with owner, severity, treatment and due date; and accepted only at the authority level matching the severity. Critical risk acceptance requires CISO and CEO sign-off and Audit Committee notification.

96.3 Policy exceptions

Exceptions to any security standard require a documented business justification, a compensating control, a named owner, an expiry date not exceeding twelve months, and Security Steering Committee approval. Expired exceptions are automatically revoked.

97. Identity and Access Management

- **Least privilege.** Access is granted at the minimum level needed to perform the role, through role-based entitlements tied to the position in the HRIS.
- **Approval.** Every access grant requires the manager's request and the system owner's approval. Access to Restricted data requires additional CISO approval.
- **Joiner-mover-leaver.** Access is provisioned on start, adjusted within two business days of a role change with removal of no-longer-needed entitlements, and revoked within one hour of termination (immediately and before notification for involuntary terminations of privileged users).
- **Quarterly review.** System owners certify every user's continued need. Uncertified access is removed automatically.
- **Unique accounts.** Every account is attributable to one person. Shared and generic accounts are prohibited; service accounts are non-interactive, owned by a named individual, and have credentials rotated automatically.
- **Separation of duties.** No individual may both initiate and approve a payment, deploy their own code to production without review, grant themselves access, or administer both a system and its audit log.
- **Privileged access.** Administrative access is issued separately from the day-to-day account, requires phishing-resistant MFA, is granted just-in-time with automatic expiry where technically possible, is session-recorded for Restricted systems, and is reviewed monthly.

98. Authentication, Passwords and Multi-Factor Authentication

Requirement	Standard
Single sign-on	All applications must authenticate through the Company identity provider. Applications that cannot are subject to Security review and may be denied.
Passphrase length	Minimum 16 characters for user accounts, 25 for privileged and service accounts. Length matters far more than character-class complexity.
Composition and rotation	No forced periodic rotation for user accounts; rotation is required on suspicion of compromise, on the appearance of the credential in a breach corpus, and on privileged account handover. Consistent with NIST SP 800-63B guidance.
Breached and weak credential screening	Passwords are checked against known-compromised credential lists at set and at authentication.
Reuse	Never reuse a Company password anywhere else, and never use a personal password for a Company account.
Storage	Use the Company password manager. Never store credentials in documents, spreadsheets, code, repositories, configuration files, tickets, chat, browser-saved passwords outside the manager, or on paper.
MFA	Required for all accounts and all remote access. Phishing-resistant methods — FIDO2/WebAuthn security keys and platform passkeys — are required for privileged accounts, Finance, Executive, IT and Security roles, and are the default for all users. SMS and voice one-time codes are being retired and may not be used for privileged access.
MFA fatigue	Never approve a push notification you did not initiate. Report unexpected prompts immediately — they mean someone has your password.
Session controls	Screen lock after 10 minutes idle; re-authentication for sensitive actions; conditional access based on device posture, location and risk score; automatic session revocation on high-risk signals.

99. Endpoint and Mobile Device Security

- All endpoints are Company-managed, encrypted with full-disk encryption, and running the approved endpoint detection and response agent, host firewall and DNS filtering. These may not be disabled, uninstalled or bypassed.
- Operating system and application patches: critical vulnerabilities within 72 hours, high within 7 days, medium within 30 days. Devices out of compliance lose network access until remediated. Do not defer restarts indefinitely.
- Only software from the approved catalog or self-service portal may be installed. Local administrator rights are granted by exception with justification and expiry.
- Removable media is blocked by default; where a business need exists, encrypted Company-issued media only.
- Do not connect Company devices to untrusted peripherals, public charging ports, or unknown USB devices.

- Mobile devices require a passcode of at least six digits or biometrics, current OS, and enrollment per §91.2. Jailbroken or rooted devices are blocked.
- Printing of Confidential material requires secure release printing; collect output immediately; use cross-cut shredders or secure destruction bins for disposal.

100. Network, Cloud and Remote Access Security

- The Company operates a zero-trust model: no network location is inherently trusted; every access request is authenticated, authorized and evaluated against device posture.
- Network segmentation isolates production, corporate, guest, build and lab environments. Guest wireless is isolated and may not be used for Company work.
- Remote access uses the Company VPN or zero-trust broker with MFA. Split tunneling is configured centrally and may not be altered.
- Cloud environments are governed by infrastructure-as-code with mandatory peer review, guardrail policies, encryption by default, private networking by default, and continuous posture management. Public exposure of any storage bucket, database or management interface requires CISO approval.
- Home networks used for remote work must have the default router administrative password changed, current firmware, WPA2 or WPA3 encryption, and a guest network for smart-home devices. See §116.5.
- Personal hotspots, personal VPNs, proxies, tunneling tools and unapproved remote-access software are prohibited on Company devices.
- Firewall and access-control changes follow change management with peer review; emergency changes are documented within 24 hours.

101. Email, Phishing and Social Engineering

Most successful intrusions begin with a person, not a system. The Company deploys email authentication (SPF, DKIM and DMARC at enforcement), attachment sandboxing, URL rewriting, impersonation protection and external-sender banners — and still relies on employees to be the last control.

101.1 Recognize the pattern

Nearly every social engineering attempt combines **urgency**, **authority** and an **unusual request**. Specific warning signs: a request to bypass a normal process "just this once"; a payment or bank-detail change; a request for credentials, an MFA code or an approval; a message from an executive sent outside working hours asking for secrecy; a mismatch between display name and actual address; an unexpected attachment or a link to a login page; a new external contact who already knows internal details; a caller claiming to be from IT who asks you to install something, read a code, or approve a prompt; a QR code in an email or on a poster; a job or investment offer sent to your work address; or a message that pressures you not to verify.

101.2 What to do

- Do not click, do not reply, do not open the attachment, do not scan the code. Use the "Report Phishing" button, which forwards to Security and removes the message from other mailboxes.
- Verify any financial, credential or access request out of band, through a known channel and a number you already have — never a number in the message. This applies to requests appearing to come from executives.
- Vendor bank-detail changes are verified by Finance by callback to a previously known contact, always, without exception (§118.6).
- If you clicked, entered credentials or approved a prompt: disconnect from the network, do not power off, and call the Security Operations hotline immediately. Fast reporting usually prevents the incident entirely; delay is what causes harm.

PRACTICAL GUIDANCE — REPORTING A MISTAKE

Nobody at XYZ Corporation is disciplined for reporting that they clicked a link, entered credentials on a fake page, lost a laptop, or sent a file to the wrong person. Those things happen to careful people. What is treated as misconduct is concealing it, delaying the report, or deliberately bypassing controls. When in doubt, call Security — a false alarm costs ten minutes; a hidden compromise can cost the Company its customers' trust.

101.3 Simulations

The Company runs quarterly phishing simulations. Results are used for education, not punishment; repeated failures trigger additional coaching and targeted training rather than discipline, unless combined with a policy violation.

102. Encryption and Key Management

Control	Standard
Data at rest	AES-256 or equivalent for all endpoints, servers, databases, backups and removable media.
Data in transit	TLS 1.2 minimum, TLS 1.3 preferred, with strong cipher suites; deprecated protocols disabled. Internal service-to-service traffic is encrypted (mutual TLS where supported).
Email	Opportunistic TLS for all mail; enforced TLS with defined partners; message-level encryption for Confidential and Restricted content sent externally.
Key management	Keys generated and stored in the approved key management service or HSM; never in code, configuration, repositories or documents. Automated rotation on defined intervals; separation of duties for key administration; documented escrow and recovery.
Secrets in code	Pre-commit and repository scanning for secrets; any exposed secret is treated as compromised and rotated immediately regardless of whether exposure appears external.
Cryptographic agility	Approved algorithms only; the Company tracks post-quantum migration guidance and maintains an inventory of cryptographic dependencies.

103. Physical and Environmental Security

- Badge required for entry; wear your badge visibly; never lend it; report loss immediately.
- Do not hold doors, prop doors, or allow anyone to follow you through a controlled door. Tailgating is the single most common physical bypass. Politely direct anyone without a badge to reception.
- All visitors sign in, are escorted at all times, wear a visitor badge, and sign an NDA where they will see Confidential material. Hosts are responsible for their visitors.
- Clear desk and clear screen: lock your screen whenever you step away; secure Confidential documents in locked storage at the end of the day; use privacy screens in open and public spaces.
- Data centers, wiring closets, labs and secure areas require separate authorization, logged entry, and escort for non-authorized personnel.
- Equipment removal requires a property pass. Equipment disposal follows certified data destruction with a certificate of destruction retained.
- Report unfamiliar people in secure areas, propped doors, missing equipment, unattended devices, and unexpected "maintenance" or "delivery" personnel to Global Security.

104. Third-Party and Supply Chain Risk

No third party may receive Company or customer data, or connect to Company systems, without completing security review.

Stage	Requirement
Intake	Requesting owner submits the vendor with a description of data, integration and criticality. Tier is assigned (critical / high / moderate / low) based on data classification and business dependency.
Assessment	Security questionnaire; review of SOC 2 Type II, ISO 27001 certification or equivalent; penetration test summary; architecture and data-flow review for critical vendors; subprocessor list; AI feature review where applicable (§93.8).
Privacy review	Data processing agreement, international transfer mechanism, purpose limitation, retention, deletion on termination, and the applicable state-law contractual terms.
Contract terms	Security requirements, breach notification within 24–72 hours, audit rights, subprocessor controls, insurance, indemnity, right to terminate for security failure, secure deletion on exit.
Onboarding	Least-privilege integration, dedicated credentials, SSO/SCIM where available, logging of vendor access, named vendor owner at XYZ.
Monitoring	Annual reassessment for critical and high tiers; continuous external monitoring; review on any publicly reported incident; ad hoc reassessment on material change.
Offboarding	Access revoked, data returned or deleted with written certification, integration removed, records retained per §95.

Software supply chain: dependencies come from approved registries with integrity verification; software bills of materials are generated for released products; build pipelines are hardened with signed artifacts and provenance attestation; and dependency vulnerabilities are triaged within the SLAs in §107.4. Engaging a vendor outside this process ("shadow IT," including signing up for a free tier with a Company email address) is a policy violation, whether or not money changes hands.

105. Security Incident Response

105.1 What to report

Report anything that might be a security or privacy incident, including: suspected phishing you interacted with; lost or stolen device, badge or documents; credentials entered on a suspicious page; unexpected MFA prompts; malware alerts; data sent to the wrong recipient; a file or link shared too broadly; discovery of Confidential data in an unapproved location; unusual system behavior or unexplained access; a vendor notifying you of their incident; a customer reporting a security concern; a physical intrusion; an extortion or ransomware message; and any suspicion that personal data has been exposed.

105.2 How and when

Immediately, and no later than one hour after discovery. Call the Security Operations hotline (published on the intranet and on the back of every badge) or use the incident button in the Company chat tool. Do not investigate on your own, do not attempt to delete evidence or "fix" it, do not power off a compromised device (disconnect from the network instead), do not notify the suspected attacker or a vendor, and do not discuss the incident outside the response channel.

105.3 Response lifecycle

Phase	Activities
Detect and triage	24×7 monitoring and intake; severity assigned within 30 minutes of triage; incident commander named; war room opened for Sev-1 and Sev-2.
Contain	Isolate affected systems and accounts, revoke sessions and tokens, rotate credentials and keys, block indicators, preserve forensic images before remediation.
Eradicate and recover	Remove the root cause, patch, rebuild from known-good, validate integrity, restore service in a defined order, monitor for recurrence.
Notify	Legal leads all notification analysis: regulators, affected individuals, customers under contract, insurers, law enforcement, and the Board. See §105.5.
Learn	Blameless post-incident review within ten business days, with a written timeline, root cause, contributing factors and dated corrective actions tracked to closure.

105.4 Severity definitions

Severity	Definition	Escalation
Sev-1	Confirmed breach of Restricted or personal data at scale; ransomware affecting production; material customer-impacting compromise	CISO, CEO, GC, Board notification; external counsel and forensics engaged
Sev-2	Confirmed compromise of a single account or system with Confidential data; targeted attack in progress	CISO and GC; executive briefing within 4 hours
Sev-3	Contained malware, limited misdirected data, policy violation with no confirmed exposure	Security leadership; daily summary
Sev-4	Suspicious activity, failed attack, single reported phishing message	Standard queue

105.5 Regulatory notification awareness

COMPLIANCE NOTE — NOTIFICATION OBLIGATIONS

Notification deadlines are short and overlapping. All fifty U.S. states, the District of Columbia and U.S. territories have breach notification statutes with differing definitions of personal information, notice content and deadlines (some as short as 30 days), and most require notice to the state attorney general at defined thresholds. Sector rules add more: HIPAA (60 days to individuals; immediate for large breaches), GLBA Safeguards Rule (30 days for certain events), the SEC's requirement for public companies to disclose material cybersecurity incidents on Form 8-K within four business days of determining materiality plus annual disclosure of risk management and governance, state insurance and financial-services rules including NYDFS Part 500 (72 hours), and GDPR (72 hours to the supervisory authority). Customer contracts frequently impose 24-hour notice, shorter than any statute. **Because of this, no employee other than Legal and authorized Communications staff may communicate about an incident to any external party, including a customer asking a direct question.** Route it to Legal the same hour.

106. Privacy Operations and Individual Rights

The Chief Privacy Officer maintains the Company's privacy program: a data inventory and mapping, privacy notices, lawful bases and consent records, data protection impact assessments for new or higher-risk processing, vendor and international transfer controls, and the individual rights process.

106.1 Individual rights requests

Requests from consumers, customers, employees or job applicants to access, correct, delete, port, limit use of sensitive data, opt out of sale/sharing or targeted advertising, or opt out of profiling must be forwarded to the Privacy Office the same day. Statutory response deadlines are typically 45 days (extendable) under U.S. state laws and one month under GDPR. Never respond directly, never delete data in response to a request without Privacy Office direction (deletion may conflict with a legal hold or retention obligation), and never charge a fee or require unnecessary identity information.

106.2 Privacy by design

New products, features, integrations and internal tools that process personal data require a privacy review before launch: purpose specification, data minimization, retention definition, transparency, security controls, and the ability to honor individual rights. Retro-fitting privacy after launch is far more expensive than designing for it.

107. Secure Development and Change Management

- **Design.** Threat modeling for new services and significant changes; security requirements defined with the feature; security architecture review for anything handling Confidential or Restricted data or exposed to the internet.
- **Code.** Peer review required on every change with no self-approval; secure coding standards addressing the OWASP Top Ten and API risks; no secrets in code; input validation and output encoding; parameterized queries; safe deserialization; authorization checks enforced server-side.
- **Test.** Static analysis, software composition analysis, secret scanning and container image scanning in CI, blocking on critical findings; dynamic testing for internet-facing applications; annual third-party penetration test for critical products.
- **Deploy.** Separate development, test and production environments with no production data in lower environments unless anonymized or tokenized; change management with approval, rollback plan and audit trail; least-privilege deployment credentials; no manual production changes outside break-glass procedure, which is logged and reviewed.
- **Vulnerability SLAs.** Critical remediated within 7 days, high within 30, medium within 90, low within 180, measured from discovery. Internet-facing critical vulnerabilities under active exploitation are treated as incidents.
- **Coordinated disclosure.** External researchers report through the published security.txt and disclosure program; the Company commits to acknowledge within 3 business days and not to

pursue legal action against good-faith research within the program's scope. Employees receiving a researcher report must forward it to Security and not respond.

108. Business Resilience Controls, Backup and Security Awareness

108.1 Backup and recovery

Critical data is backed up on a defined schedule with at least one immutable and one logically isolated copy, encrypted in transit and at rest, with restoration tested at least quarterly and documented. Backup infrastructure uses separate credentials from production so that a compromise of production cannot destroy backups — the failure mode that turns a ransomware incident into an existential one. Recovery time and recovery point objectives are defined per system in the business impact analysis (§123).

108.2 Logging and monitoring

Security-relevant events from endpoints, identity, network, cloud and applications are centralized in the SIEM with tamper-resistant storage, correlated detections, and 24×7 monitoring. Log integrity is protected and administrators cannot alter their own audit trail. Detection coverage is tested through purple-team exercises at least semi-annually.

108.3 Security awareness

Required annual training (§69.3), quarterly phishing simulations, targeted role-based training for engineers, finance, executives and administrators, monthly security communications, and just-in-time nudges within tools. Executives and their assistants receive additional training because they are the highest-value targets for impersonation and business email compromise.

108.4 Employee security responsibilities summary

You must	Because
Use MFA and a unique passphrase in the password manager	Credential reuse and stolen passwords remain the leading initial access vector
Keep your device patched and enrolled	Unpatched endpoints are exploited within days of a disclosure
Lock your screen and keep a clear desk	Physical access defeats most technical controls
Keep Company data in Company systems	Data outside the perimeter cannot be protected, retained or deleted
Verify unusual financial or access requests out of band	Business email compromise causes more direct loss than any other attack type
Report anything suspicious within one hour	Containment speed determines whether an event becomes a breach
Complete your training on time	It is a control, and a contractual and regulatory requirement

108.5 Prohibited security activity

Employees may not scan, probe, test or attempt to exploit any Company or third-party system without written authorization from the CISO; may not attempt to access another employee's account or data; may not use security tools (password crackers, network sniffers, exploitation frameworks) on Company networks outside an authorized role; and may not research a colleague, customer or public figure in Company systems out of curiosity. Authorized testing is scoped in writing with defined targets, timing and rules of engagement.

IMPORTANT — CONSEQUENCES

Deliberate circumvention of a security control, unauthorized access to data, exfiltration of Company or customer data, or concealment of a security incident will result in termination and may be referred to law enforcement. Departing employees who copy Company data — including "just my own work" — face civil action under the Defend Trade Secrets Act and potential criminal exposure under the Computer Fraud and Abuse Act. Every file copy, sync, upload and USB write is logged.

PART XI

Travel Policy

Authorization, booking, air, lodging, ground transport, meals and per diem, international travel, safety and duty of care, and non-reimbursable items.

109. Travel Principles and Authorization

Travel is authorized when the business objective cannot reasonably be achieved remotely and the expected value exceeds the cost, including the cost of the traveler's time. The Company books travel that is safe, reasonably comfortable and economical — in that order.

109.1 Approval

Trip type	Approval required
Domestic, under \$2,500 total	Direct manager, in the travel tool before booking
Domestic, \$2,500 and above	Manager plus department head
International	Department head plus VP; plus Immigration review for work authorization and Legal review for sanctions and export control (\$114.6)
Conference or event attendance	Manager, within the team development budget
Group travel of five or more employees to one location	VP approval; travel on separate flights where practical for key-person risk
Travel to a location under a government travel advisory of Level 3 or 4, or on the Company's restricted list	Chief Operating Officer and Global Security

109.2 Booking

All air, hotel and rail must be booked through the Company's online booking tool or designated travel agency. Booking outside the tool forfeits negotiated rates, defeats duty-of-care traveler tracking, and may result in non-reimbursement. Book at least fourteen days in advance for domestic and twenty-one for international travel; bookings inside seven days require manager justification. Travelers must select the lowest logical fare presented, defined as the lowest fare within a two-hour window of the preferred departure on an acceptable routing.

110. Air Travel

- **Class of service.** Economy for all flights with a scheduled duration under six hours. Premium economy is permitted for flights of six hours or more. Business class requires VP approval and is permitted for scheduled flights over eight hours, for overnight flights where the traveler works the following day, or as a documented medical accommodation (§9). First class is not reimbursable.
- **Routing.** Nonstop is preferred where the fare premium is under \$250 domestically or \$500 internationally, recognizing the cost of connection risk and traveler time.
- **Baggage.** One checked bag reimbursed each way, two for trips over seven days or where equipment is carried.
- **Changes and cancellations.** Change fees are reimbursable where the change is business-driven or beyond the traveler's control. Cancel unused bookings promptly; unused non-refundable tickets must be reported so the value can be recaptured.
- **Loyalty and upgrades.** Travelers keep personal frequent-flyer miles, status and hotel points. Miles may not be purchased with Company funds, and travel may not be routed less economically to accrue status. Travelers may upgrade at their own expense or with their own miles.
- **Seat selection.** Standard seat fees and extra-legroom fees up to \$100 per segment are reimbursable; premium cabin buy-ups are not.
- **Personal travel combined with business.** Permitted where the traveler documents the airfare that would have been incurred for the business-only itinerary and claims no more than that amount; all incremental costs, including additional lodging and meals, are personal.
- **Private, charter and personal aircraft.** Charter requires CEO approval. Employees may not pilot a personal aircraft for Company travel.

111. Lodging

Book from the Company's preferred hotel program, which reflects negotiated rates and vetted safety standards. Standard single occupancy rooms only. Nightly caps by city tier are published quarterly in the travel tool; where the cap cannot be met, the traveler documents the reason and obtains manager approval. Reimbursable incidentals include internet, one laundry service charge for trips of five nights or more, parking, and reasonable gratuities. Not reimbursable: room upgrades, in-room bar and entertainment, spa and fitness charges beyond a standard hotel gym, and no-show charges without a documented reason.

Home-sharing and short-term rental platforms may be used for stays of seven nights or more, or where they are materially less expensive, provided the property is professionally managed, has verified reviews, offers a private unit (not a shared room), and meets the safety criteria in the travel tool. Staying with friends or family in lieu of a hotel may be reimbursed at a flat \$60 per night in appreciation, with no receipts required.

112. Ground Transportation and Vehicles

Mode	Rules
Rail	Standard class; business class permitted on journeys over three hours or where it is the only reserved-seat option.
Ride-hailing and taxi	Standard service class. Premium or luxury tiers are not reimbursable except where standard service is unavailable or for safety reasons (documented). Use the Company account where available.
Rental car	Intermediate class or smaller unless three or more travelers or equipment requires larger. Decline the rental company's collision and liability coverage in the United States, where the corporate program provides it; accept the offered coverage for international rentals unless the travel team confirms coverage. Refuel before return rather than prepaying. Report any accident to the travel team and Risk Management immediately.
Personal vehicle	Reimbursed at the current IRS standard business mileage rate, which covers fuel, maintenance, insurance and depreciation — fuel is not separately reimbursable. Deduct the normal commute for trips beginning or ending at home. Tolls and parking are reimbursable. The employee must hold a valid license and personal auto insurance meeting state minimums, and is responsible for their own deductible.
Airport parking and transfers	Long-term or economy lots for trips over two days; compare against round-trip ride-hailing and choose the lower.
Traffic and parking violations	Never reimbursable, including in rental and Company vehicles.

IMPORTANT — DRIVING SAFETY

Employees may not use a handheld mobile device while driving on Company business, in any jurisdiction, regardless of local law. Hands-free calls are discouraged and prohibited for any call requiring note-taking or sustained concentration. Do not read or send messages, use apps, or join video meetings while driving. Do not drive when impaired by alcohol, medication or fatigue — expense a hotel or a car service instead; that cost will always be approved. No manager may create schedule pressure that requires unsafe driving.

113. Meals, Per Diem and Incidentals

113.1 Method

The Company uses per diem for domestic travel and actual-cost reimbursement with caps for international travel, at the traveler's election per trip (not per day). Per diem rates follow the GSA schedule for the destination and are paid at 75% on travel days. Per diem requires no receipts.

113.2 Actual-cost caps (where elected)

Meal	Standard city	High-cost city
Breakfast	\$20	\$28
Lunch	\$28	\$38
Dinner	\$55	\$75
Daily maximum incl. tax and tip	\$103	\$141

Caps are per person and include tax and gratuity up to 20%. Meals provided by the airline, hotel, conference or a host are deducted. Alcohol is reimbursable only with a customer or partner present, limited to two drinks per person, and must be itemized separately for tax treatment.

113.3 Business meals with others

Business meals require the names and organizations of all attendees and the business purpose recorded in the expense report — this is an IRS substantiation requirement, not a formality. Where a government official is present, §72.2 and §73 apply and Legal preclearance is required. Team meals are permitted for defined occasions (team offsites, milestone celebrations, working sessions over a meal period) within the manager's budget.

113.4 Incidentals

Reimbursable: reasonable gratuities for baggage handling and housekeeping, in-flight and hotel internet, currency exchange fees and foreign transaction fees, visa and entry fees, required vaccinations and travel health consultations, and reasonable personal phone charges attributable to travel. Not reimbursable: personal entertainment, minibar, movies, saunas, personal grooming, clothing, pet care, childcare (except as provided by the caregiver support benefit), airport lounge memberships (except for travelers exceeding fifty segments annually with VP approval), and travel loyalty program fees.

113.5 Non-exempt employees

Travel time for non-exempt employees is compensable per §28.5. Managers must ensure travel time is recorded, and per diem or meal reimbursement does not substitute for wages.

113.6 Extended and relocation travel

Assignments exceeding thirty consecutive days at one location require a long-term assignment letter, may trigger tax residency and payroll obligations in the destination, and are reimbursed on a corporate-housing basis rather than per diem. Under IRS rules, an assignment expected to last more than one year is not "temporary" and reimbursements become taxable wages — Tax must be consulted before any assignment approaching that length.

113.7 Traveler safety and duty of care

- All Company travel must be booked through approved channels so that travelers can be located and assisted in an emergency.

- Travelers are enrolled automatically in the Company's travel risk management and medical assistance program, which provides 24/7 medical, security and evacuation assistance. Program numbers are in the travel app and on the traveler card.
- Business travel accident insurance applies while traveling on Company business (\$54).
- Register your itinerary; check the destination risk briefing before departure; complete high-risk destination training where required.
- Report any incident — theft, injury, illness, harassment, detention, accident, civil unrest — to Global Security immediately, and to local emergency services first if there is danger.
- Employees may decline travel to a destination where they have a reasonable, specific safety concern, including concerns related to their own protected characteristics or personal circumstances. Raise it with your manager and People Partner; there will be no adverse consequence, and an alternative arrangement will be found.
- Travelers should carry a copy of their passport separately, know the local emergency number, and keep the Company's assistance number offline on their phone.

COMPLIANCE NOTE — INTERNATIONAL TRAVEL

Before any international trip: confirm the correct visa or entry status for the business activity intended — attending meetings, delivering services and performing installation work are treated differently by immigration authorities, and entering on the wrong status can result in denial of entry or a bar. Confirm export control compliance: taking controlled technical data, software or encryption on a laptop can be a "deemed export" requiring a license, and travel to sanctioned or embargoed countries requires Legal approval and may be prohibited outright. Use loaner devices, cleaned of Company data, for travel to countries designated high-risk by Security; assume any device may be inspected or imaged at a border and never resist lawful inspection — instead, notify Legal and Security immediately afterward so the device can be quarantined and credentials rotated.

PART XII

Procurement Policy

Purchasing authority, the sourcing process, contracting, supplier standards, purchase orders and receiving, supplier diversity and sustainability, and prohibited practices.

114. Purchasing Authority and Principles

All commitments of Company funds must be made through Procurement using an approved purchase requisition and, where required, a signed contract. Only individuals holding delegated signature authority may bind the Company; no employee may agree to terms — including by clicking "I accept" on an online agreement, signing an order form, or confirming by email — without that authority.

114.1 Approval thresholds

Annual contract value	Required approvals
Under \$5,000	Manager; purchase card or requisition; no competitive bid required
\$5,000 - \$25,000	Department head; requisition; two documented quotes where a competitive market exists
\$25,000 - \$100,000	VP and Procurement; three quotes or documented sole-source justification; contract required
\$100,000 - \$500,000	SVP, Procurement, Legal and Finance; formal RFP; security and privacy review
Above \$500,000	CFO; formal RFP; executive sponsor; business case with alternatives; Audit Committee notification above \$5,000,000
Any technology or data-processing purchase, any value	Additionally requires IT, Security and Privacy review (§104) — including free tiers and trials
Any AI tool or AI-enabled feature	Additionally requires AI Governance Council review (§93.8)
Professional services and contingent labor	Additionally requires People Team review for worker classification (§24.1)

114.2 Principles

- **Competition.** Competitive sourcing is the default; sole-source awards require written justification approved one level above the normal threshold.

- **Total cost of ownership.** Evaluate implementation, integration, training, support, exit and switching costs — not just license price.
- **Separation of duties.** The person requesting a purchase may not also approve it, receive it and approve the invoice.
- **No splitting.** Dividing a purchase to stay below an approval threshold is a policy violation and a common audit finding.
- **No retroactive approval.** Committing first and seeking approval afterward ("after-the-fact PO") is a violation; repeated instances are treated as misconduct. The Company may decline to pay an unauthorized commitment, leaving the employee personally exposed.
- **Objectivity.** Anyone with a relationship to a bidder must recuse and disclose under §71.

115. Sourcing, Contracting and Supplier Management

115.1 Sourcing process

Stage	Activities and artifacts
1. Define need	Written requirements, success criteria, budget confirmation, make-versus-buy and existing-contract check (the Company may already own a suitable tool).
2. Market approach	RFI, RFP or RFQ issued through Procurement with identical information to all bidders, a single point of contact, and a stated evaluation methodology.
3. Evaluate	Scored against the published criteria by a panel; technical, security, privacy, financial viability and reference checks; documented scoring retained.
4. Negotiate	Procurement leads commercial terms; Legal leads legal terms. Negotiate exit rights, price protection, service levels with remedies, and data portability — not just discount.
5. Contract	Signed by an authorized signatory only, after Legal approval and completion of security, privacy and (where applicable) AI review. Executed contracts are filed in the contract repository — a contract not in the repository cannot be managed or renewed.
6. Onboard	Vendor master record with verified banking details (§118.6), PO issued, access provisioned per §104, named XYZ relationship owner assigned.
7. Manage	Performance against service levels reviewed quarterly for critical suppliers; spend and consumption monitored; renewal decision started 120 days before expiry.
8. Exit	Data returned or certified destroyed, access revoked, licenses terminated, records retained.

115.2 Contract requirements

Every supplier contract must include: defined scope and deliverables; pricing and price-change limits; term, renewal and termination for convenience and for cause; confidentiality; data protection and security requirements with breach notification; intellectual property ownership and license grants; warranties; limitation of liability and indemnities appropriate to the risk; insurance requirements; compliance with law including anti-corruption, sanctions, modern slavery and labor standards; audit rights for critical suppliers; assignment restrictions; and governing law. Auto-renewal clauses require Procurement acceptance and a calendared notice date.

115.3 Supplier Code of Conduct

All suppliers must accept the Supplier Code of Conduct, which requires lawful employment practices and no forced, bonded or child labor; freedom of association; safe working conditions; non-discrimination; fair wages and hours; environmental compliance; anti-corruption; protection of confidential and personal data; conflict minerals due diligence; and prompt disclosure of any incident affecting XYZ. The Company reserves audit rights and will terminate suppliers found in serious breach. Employees who observe supplier conduct inconsistent with the Code must report it to Procurement and Compliance.

115.4 Supplier diversity and sustainability

Procurement maintains outreach to small, minority-owned, women-owned, veteran-owned, LGBTQ-owned and disability-owned businesses, includes diverse suppliers in competitive events where qualified, tracks diverse spend, and reports annually. Sourcing decisions consider environmental impact, including supplier emissions disclosure for major categories, and the Company's own reduction commitments. As a federal contractor, the Company also meets applicable small business subcontracting plan obligations.

116. Purchase Orders, Receiving and Payment

- No purchase order, no payment. Invoices without a valid PO are returned to the supplier.
- Three-way match: PO, receipt of goods or acceptance of services, and invoice must agree before payment. The requester confirms receipt; Accounts Payable performs the match.
- Standard payment terms are net 45 from a valid invoice; early-payment discounts are taken where economically favorable; prompt-payment obligations to small business subcontractors are honored.
- Payment is made only by electronic transfer or check to the verified vendor bank account of record. Payment to a different account, to an individual, to a third party, or by any cryptocurrency or money-transfer service is prohibited.
- Purchase cards may be used for low-value goods, travel and approved subscriptions within the cardholder's limit; cards may never be shared, used for personal purchases, used to circumvent thresholds, or used for cash advances. Reconciliation is due within ten days of statement.
- Prepayments and deposits require CFO approval.

116.1 Prohibited procurement practices

Accepting anything of value from a bidder during an active procurement (§72.2); sharing one bidder's pricing or proposal with another; giving a bidder advance information not given to others; awarding to a supplier where an undisclosed relationship exists; engaging a supplier without a contract and then requesting retroactive approval; using a personal account or personal card to acquire Company software or services; signing any agreement without authority; and creating a fictitious or duplicate vendor record.

PART XIII

Expense Reimbursement Policy

What is reimbursable, substantiation and submission, approval responsibilities, corporate cards, non-reimbursable items, remote work expenses, and expense fraud.

117. Reimbursement Standard and Scope

XYZ Corporation reimburses employees for reasonable, necessary, actual and properly substantiated business expenses. The test is not whether an expense is permitted by a rule but whether it was necessary for the business and whether the employee would be comfortable explaining it to the CFO and to a colleague whose bonus is affected by the Company's costs.

117.1 Mandatory reimbursement of business expenses

COMPLIANCE NOTE — STATE REIMBURSEMENT MANDATES

Several states require employers to indemnify employees for all necessary expenditures incurred in direct consequence of the discharge of their duties — most notably California Labor Code §2802 and the Illinois Wage Payment and Collection Act, with similar provisions in Massachusetts, New York, Iowa, Montana, New Hampshire, North Dakota, Pennsylvania, South Dakota and the District of Columbia. In these jurisdictions, necessary work-related costs including a reasonable portion of personal mobile phone and home internet used for work must be reimbursed, and an employee cannot waive that right. The Company applies reimbursement of necessary business expenses uniformly in all states, and no deduction from wages may be made for a business expense (§27.8).

117.2 Substantiation

- Itemized receipts are required for every expense of \$25 or more; the Company recommends receipts for all expenses. Credit card statements alone are not receipts because they do not itemize.
- Every claim must record the business purpose in specific terms. "Client meeting" is insufficient; "Lunch with A. Rivera and J. Okafor, Northwind Systems, to review Q3 renewal terms" is sufficient.
- Meals with others require the names and affiliations of all attendees (§113.3).
- Mileage claims require date, origin, destination, business purpose and miles, with the commute deducted.
- Foreign currency expenses are converted at the card's posted rate or the published rate on the transaction date.

- Lost receipt: complete the Missing Receipt Affidavit (Form 19.09). Repeated use is a control concern and is reported to Internal Audit.

117.3 Submission and payment timing

Reports must be submitted within thirty days of the expense, and in all cases within fifteen days of the end of the fiscal quarter in which the expense was incurred. Reports submitted more than ninety days after the expense require CFO approval and may be treated as taxable income under IRS accountable plan rules. Approved reimbursements are paid with the next regular payroll cycle or within ten business days, whichever is sooner. Late submission never forfeits reimbursement of a legally mandated business expense.

118. Reimbursable and Non-Reimbursable Expenses

Reimbursable	Not reimbursable
Air, rail, lodging and ground transport per Part XI	First class air; premium cabin without approval; personal travel segments
Business meals within caps, with purpose and attendees	Meals for family members or friends; alcohol without a customer present; meals already covered by per diem
Conference and seminar registration approved in advance	Optional social or recreational activities at conferences (golf outings, spa, excursions)
Professional membership dues and licenses required or beneficial for the role, approved in advance	Personal club, gym, airline lounge (except §113.4) and social club memberships
Books, courses and subscriptions directly related to the role, approved in advance	General-interest media and entertainment subscriptions
Business use of personal mobile phone and home internet — flat monthly stipend of \$60 (§119.2)	Full personal phone bill, device upgrades, family plan lines, home utilities other than the stipend
Client and prospect entertainment approved in advance, within §72 limits	Anything prohibited by §72.2, including gifts to government officials
Office supplies purchased with approval where central ordering is unavailable	Furniture and equipment outside the home-office program (§119.1)
Visa, passport renewal for business travel, entry fees, required vaccinations	Passport photos and renewals not driven by business need; global entry (reimbursable once every five years for travelers exceeding 20 segments annually with VP approval)
Currency exchange and foreign transaction fees on business spend	Personal ATM fees, personal foreign transaction fees, credit card annual fees and interest
Baggage fees per §110	Excess baggage for personal items; lost baggage beyond the carrier's liability (submit to personal insurance or Risk Management)
Reasonable gratuities up to 20%	Gratuities above 20%; tips on already-service-charged bills
Business telephone and internet charges while traveling	Personal calls beyond reasonable connection with family

Team events and celebrations within the manager's budget	Individual employee gifts, flowers or celebrations outside the recognition program (\$68); personal charitable donations; political contributions (\$87)
Parking and tolls on business travel	Parking and traffic fines; vehicle repairs; commuting costs; home-to-office travel
Business-required childcare or eldercare beyond normal arrangements caused by unplanned travel, up to \$200 per trip with manager approval	Routine childcare, pet care and pet boarding
Reasonable laundry on trips of five nights or more	Clothing, shoes, luggage, toiletries and personal grooming

119. Corporate Cards

- Corporate cards are issued to employees who travel or purchase regularly, on application with manager approval. The card is issued in the employee's name and may only be used for legitimate Company business.
- Personal use is prohibited even with intent to repay. Accidental personal charges must be reported and repaid within five business days.
- Transactions must be reconciled and submitted within thirty days. Balances unreconciled beyond sixty days may result in card suspension; beyond ninety days, escalation to the department head and, where permitted by state law and with written authorization, payroll recovery of personal charges.
- Cards may not be shared, and card numbers may not be given to another employee or stored in a shared document.
- Report a lost, stolen or compromised card to the issuer and to Finance immediately.
- Cardholders must return the card and clear the balance before separation (\$23.7).

119.1 Home office equipment

Remote and hybrid employees receive a one-time \$750 stipend and an annual \$250 refresh for home office setup, ordered through the equipment catalog where possible. Ergonomic equipment recommended through an accommodation (§9.3) or an ergonomic assessment is provided by the Company outside the stipend and is not counted against it. Equipment purchased with Company funds above \$500 remains Company property and must be returned on separation.

119.2 Connectivity stipend

Employees who use a personal mobile phone or home internet for work receive a flat \$60 monthly stipend through payroll, which satisfies the Company's reimbursement obligation for the business portion of those services. Employees who believe the stipend does not cover their actual necessary business costs may submit documentation for additional reimbursement; the Company will review and pay the reasonable amount. Employees issued a Company phone are not eligible for the mobile portion.

120. Approver Responsibilities and Expense Integrity

MANAGER ACTION — APPROVING EXPENSES

- Approval is a certification. By approving, you are stating that you have reviewed each line, that the expense was necessary for the business, that the purpose is documented, and that it complies with policy. Bulk-approving without review is a control failure and is identified in audit.
- Approve or return within five business days. Employees should not carry Company costs on personal credit.
- You may not approve your own expenses, expenses of your own manager, or expenses from which you benefit. Route those one level up.
- Question the pattern, not just the line: frequent missing receipts, round numbers, weekend meals, expenses just below a threshold, duplicate submissions across periods, and claims for periods the employee was on leave.
- If you suspect falsification, do not confront the employee. Report it to Internal Audit or the Integrity Line.

120.1 Expense fraud

Submitting a claim for an expense not incurred, altering a receipt, submitting the same expense twice, claiming a personal expense as business, inflating mileage, claiming a meal covered by per diem, or misrepresenting attendees or purpose is fraud. It is treated as theft regardless of amount, ordinarily results in termination, may be reported to law enforcement, and results in recovery of the amount. The amount is never the point; the falsification is.

120.2 Audit

Internal Audit reviews a risk-based sample of expense reports each quarter, with full review of executive expenses, high-value reports, and reports flagged by automated anomaly detection. Employees must retain supporting documentation and cooperate with audit inquiries.

PART XIV

Health, Safety and Emergency Response

Health and safety program, hazard reporting, OSHA obligations, first aid and medical emergencies, evacuation and shelter, fire, severe weather, active threat, medical and public health emergencies, and drills.

121. Health and Safety Program

XYZ Corporation is committed to providing a workplace free from recognized hazards. Safety is a line management responsibility, supported by Environmental Health & Safety (EHS), and a personal responsibility of every employee.

121.1 Responsibilities

Role	Responsibility
Employees	Work safely; use required protective equipment; follow procedures; report hazards, injuries and near-misses; refuse and report unsafe work; complete safety training; participate in drills.
Managers	Ensure their teams are trained; correct hazards within their control and escalate those they cannot; investigate incidents; never pressure anyone to work unsafely or to skip a procedure to meet a deadline; know their evacuation roles.
EHS	Program design, hazard assessment, inspections, training content, OSHA recordkeeping and reporting, incident investigation support, regulatory liaison.
Safety committees	Site-level joint employee-management committees meeting at least quarterly, reviewing incidents, inspections and employee concerns.

121.2 Right to a safe workplace

Employees have the right to report hazards and injuries without retaliation, to refuse work that presents an imminent danger of death or serious physical harm, to participate in safety inspections, and to access their own exposure and medical records. Employees may file a complaint with OSHA or a state plan agency, and may request that their name not be revealed. Retaliation for exercising these rights is prohibited by §8 and by OSHA §11(c).

121.3 Hazard reporting

Report hazards immediately to your manager and through the EHS reporting tool: blocked exits or extinguishers, damaged electrical equipment, trip and fall hazards, spills, air quality concerns,

ergonomic problems, temperature extremes, chemical exposure, equipment malfunction, or a colleague's unsafe behavior. Near-misses must be reported — they are free lessons.

121.4 OSHA compliance

The Company maintains: the OSHA 300 log, 300A annual summary posted February 1 through April 30 each year, and 301 incident reports; hazard communication with safety data sheets accessible to all employees; a written emergency action plan per site; a bloodborne pathogens exposure control plan where applicable; lockout/tagout, confined space, fall protection, respiratory protection, hearing conservation and personal protective equipment programs where applicable; machine guarding; and required postings including the OSHA "Job Safety and Health" poster. Reporting deadlines are met: fatalities within 8 hours, and in-patient hospitalization, amputation or loss of an eye within 24 hours. Employees must never be discouraged from reporting an injury, and no safety incentive program may be structured to discourage reporting.

121.5 Ergonomics

Ergonomic assessments are available to all employees for office and home workspaces on request, with no need to state a medical reason. Recommended equipment is provided by the Company. Employees experiencing discomfort should request an assessment early; musculoskeletal injuries are largely preventable and difficult to reverse.

122. Emergency Response

122.1 Universal first steps

IN ANY EMERGENCY

1. Protect yourself and others first — life safety before property, always. **2.** Call 911 (or the local emergency number) if there is any injury, fire, threat or crime in progress. Do not wait for permission and do not call a manager first. **3.** Notify Global Security at the emergency number on your badge. **4.** Follow instructions from first responders, floor wardens and the emergency notification system. **5.** Do not speak to media (§86). **6.** Report your status through the emergency notification system so you can be accounted for.

122.2 Emergency notification system

The Company uses a mass notification system that reaches employees by SMS, voice, email and app push. Every employee must maintain current mobile and personal contact details in the HRIS (§21.3) — this is the mechanism by which the Company will reach you in a crisis. Alerts require acknowledgment; unacknowledged alerts escalate to the manager and to emergency contacts.

122.3 Medical emergency

Call 911. Send someone to meet responders and guide them. Do not move an injured person unless remaining is more dangerous. Trained first-aid, CPR and AED responders are identified on floor signage; AED locations are marked at every site. Do not administer medication. Stay with the

person until responders arrive. Report to EHS the same day (§47.1). Every site maintains stocked first aid kits, AEDs, and a defined number of trained responders per shift.

122.4 Fire and evacuation

- Activate the nearest alarm pull station and call 911. Fight a fire only if it is smaller than a wastebasket, you are trained, you have a clear exit behind you, and someone else has called for help. Otherwise evacuate.
- Evacuate immediately when an alarm sounds; do not stop for belongings; do not use elevators; close doors behind you.
- Assist colleagues who need help evacuating; employees who may need assistance should register confidentially with EHS in advance so that a personal emergency evacuation plan exists and area-of-refuge locations are known.
- Go to your designated assembly point, remain there, and report to your floor warden for accounting. Do not leave the assembly area without notifying the warden — unaccounted people cause responders to re-enter a building.
- Re-enter only when the incident commander or fire department gives the all-clear. An alarm silencing is not an all-clear.

122.5 Severe weather and natural hazards

Hazard	Response
Tornado / high wind	Move to the designated shelter area — interior room, lowest floor, away from windows and exterior walls. Do not attempt to leave. Remain until the all-clear.
Earthquake	Drop, cover and hold on. Stay away from windows and heavy objects. Do not run outside during shaking. After shaking stops, evacuate if instructed, expect aftershocks, and do not use elevators.
Hurricane / tropical storm	Sites follow the graduated hurricane preparedness plan: 72-hour readiness, 48-hour securing of facilities and data, 24-hour closure decision, post-storm damage assessment before reoccupation.
Flooding	Move to higher floors; never walk or drive through floodwater; electrical hazards persist after water recedes.
Wildfire / smoke	Site closure per air quality thresholds; N95 respirators available; remote work activated; evacuation support for employees in affected areas.
Winter storm	Closure or delayed-opening decisions communicated by 5:00 a.m. local time; no employee is expected to travel in unsafe conditions and none will be penalized for declining to.
Extreme heat	Hydration, rest and shade protocols for outdoor and non-conditioned work; work/rest cycles per the applicable heat illness prevention standard.
Utility or power failure	Emergency lighting activates; move calmly to a lit area; critical systems fail over to backup power; evacuate if instructed.

122.6 Active threat or violence

The Company trains employees in the **Run — Hide — Fight** protocol. **Run:** if there is an accessible escape path, evacuate immediately, leave belongings, help others if you can do so without increasing risk, keep hands visible for responding officers. **Hide:** if evacuation is not possible, get out of view, lock and barricade, turn off lights, silence phones (silence, do not just vibrate), stay quiet and out of the line of sight from doors. **Fight:** as an absolute last resort and only when your life is in imminent danger, act with commitment and improvise. Call 911 when it is safe; if you cannot speak, leave the line open. Report threats before they escalate (§81) — most attacks are preceded by observable warning behavior.

122.7 Bomb threat and suspicious items

If a threat is received by phone: keep the caller talking, note exact wording, time, and any background sounds, do not hang up, and signal a colleague to call 911. Do not use radios or mobile phones near a suspicious item. Do not touch, move or open a suspicious package. Evacuate only if instructed by authorities — evacuation routes may be the intended target. Report suspicious mail to Global Security following the mail-screening procedure.

122.8 Public health emergency

In a communicable disease event the Company follows public health authority guidance and activates the pandemic annex of the business continuity plan: remote work where feasible, staggered occupancy, enhanced cleaning and ventilation, symptom-based exclusion from the workplace with paid sick leave, provision of protective equipment, vaccination access, accommodation for higher-risk employees (§9), confidential handling of all health information (§21.1), and travel restrictions. Employees must not come to a Company site when symptomatic with a communicable illness and must not be pressured to do so; sick leave is available from day one (§37).

122.9 Drills and training

Evacuation drills are conducted at each site at least semi-annually, shelter drills annually in applicable regions, and tabletop exercises for active threat and continuity annually. Participation is mandatory. Floor wardens, first aid responders and site incident commanders receive additional training and are identified on site signage.

122.10 Emergency contacts and after-action

Every site maintains an emergency contact sheet posted at exits and in the emergency app: emergency services, Global Security 24/7 line, site incident commander, EHS, facilities, and the employee assistance program. After any significant emergency the Company conducts a debrief within ten business days, offers EAP and critical incident support to affected employees, and tracks corrective actions to closure.

PART XV

Business Continuity and Crisis Management

Continuity program governance, business impact analysis, recovery strategies, crisis management structure, communications, IT disaster recovery, testing, and employee responsibilities.

123. Business Continuity Program

The business continuity program ensures XYZ Corporation can continue delivering its most important products and services through a disruption, and can recover the remainder in a planned order. The program is owned by the Chief Operating Officer, managed by the Business Continuity Office, and aligned to ISO 22301.

123.1 Business impact analysis

Every business function completes an annual business impact analysis identifying: the critical processes it performs, the impact of their loss over time, the maximum tolerable period of disruption, the recovery time objective (RTO) and recovery point objective (RPO) for supporting systems, the minimum staffing and skills required, dependencies on other functions, suppliers and technology, and the manual workaround available if systems are unavailable.

123.2 Tiering

Tier	Definition	Targets
Tier 0	Life safety, security, and customer-facing production services	RTO ≤ 1 hour; RPO ≤ 5 minutes; active-active across regions
Tier 1	Revenue-generating and regulatory-critical processes: order processing, payments, payroll, support	RTO ≤ 4 hours; RPO ≤ 1 hour
Tier 2	Important business operations: procurement, reporting, marketing operations	RTO ≤ 24 hours; RPO ≤ 4 hours
Tier 3	Deferrable functions	RTO ≤ 5 business days

123.3 Recovery strategies

- **Workforce.** Distributed workforce and remote-capable roles are the primary strategy for site loss; alternate sites and reciprocal space arrangements support roles requiring facilities. Cross-training and documented succession for critical roles (§67) address key-person loss.
- **Technology.** Multi-region cloud architecture with automated failover for Tier 0 and 1 services; immutable, isolated backups (§108.1); documented and tested runbooks; infrastructure defined as code so environments can be rebuilt.
- **Facilities.** Pre-identified alternate sites, mutual aid arrangements, mobile connectivity kits, and generator or UPS coverage for critical infrastructure.
- **Suppliers.** Critical single-source suppliers are identified with a documented alternative, contractual continuity obligations, and continuity evidence collected at assessment (§104).
- **Data.** Retention and backup per §95 and §108.1, with restoration tested quarterly and documented recovery verification.
- **Manual workarounds.** Every Tier 0–2 process has a documented degraded-mode procedure that does not depend on the primary system.

124. Crisis Management Structure

Team	Composition and role
Crisis Management Team	Chaired by the COO, with the CEO, CFO, GC, CPO, CIO, CISO, Communications and the affected business leader. Owns strategic decisions: activation, closure decisions, public position, customer commitments, financial authorization, regulatory engagement.
Incident Command	A single named incident commander per event, with authority to direct response irrespective of organizational rank. Roles: operations, planning, logistics, communications, scribe.
Business Recovery Teams	Function-level teams executing their continuity plans and reporting status on a defined cadence.
Technology Recovery Team	Executes IT disaster recovery, led by the CIO with the CISO for security-driven events.
People Response Team	Employee safety accounting, family notification support, EAP mobilization, travel assistance, pay continuity, temporary housing.

124.1 Activation levels

Level	Trigger	Authority to declare
Level 1 — Monitor	Localized disruption managed within normal operations	Function leader
Level 2 — Partial	Loss of a site, a critical system or a critical supplier; recovery plans activated for affected functions	Business Continuity Office with COO notification
Level 3 — Full	Multi-site, multi-function or enterprise-wide disruption; material customer impact; material security incident; regulatory or reputational crisis	COO or CEO; Board notification

124.2 Decision priorities in every crisis

In order: (1) life safety and the welfare of people; (2) containment of harm, including to customers and to data; (3) legal and regulatory obligations; (4) continuity of critical service; (5) reputation; (6) financial impact. Where priorities conflict, the higher priority governs and the decision is recorded with its rationale.

125. Crisis Communications

- A single source of truth: all crisis communications are issued through Corporate Communications, approved by the Crisis Management Team and, where legal risk exists, by Legal.
- Employees first where possible. People are more effective responders and less likely to speculate when they know what is happening. Employee updates are issued on a stated cadence — even when the update is "no new information."
- No employee other than authorized spokespersons may communicate externally about a crisis, including to customers, partners, on social media, or in response to a direct question. Refer all inquiries to Communications (§86).
- Customer communications are drafted by Communications with the account team and reviewed by Legal, especially where notification obligations exist (§105.5).
- Regulator and law enforcement communications are made only by Legal.
- Pre-approved holding statements and notification templates are maintained for the most likely scenarios so that the first hour is not spent drafting.
- Speculation is the enemy: state what is known, what is not yet known, what is being done, and when the next update will come.

126. Employee Responsibilities in a Continuity Event

- Keep your contact details current and acknowledge emergency notifications (§122.2).
- Know your role: whether you are on a recovery team, whether your work can continue remotely, and who your alternate is.
- Know how to reach the Company without corporate systems: the crisis hotline number and the out-of-band communication method for your team, stored where you can reach them offline.
- Report your status and your availability; do not travel to a closed site.
- Follow degraded-mode procedures rather than improvising with unapproved tools — a crisis is exactly when shadow IT and unapproved AI tools create lasting damage.
- Refer all external inquiries to Communications.
- Document decisions and actions taken during the event; the record matters for insurance, regulators and learning.
- Look after each other; use the EAP; take rest rotations in extended events. Fatigued responders make poor decisions.

127. Testing, Maintenance and Improvement

Exercise	Frequency
Plan review and BIA refresh	Annually, and on material organizational or system change
Tabletop exercise (per scenario)	At least annually; scenarios include site loss, ransomware, critical supplier failure, pandemic, key-person loss, cloud region failure
Technical failover test for Tier 0/1	Semi-annually, with production failover where feasible
Backup restoration test	Quarterly
Call tree and mass notification test	Quarterly
Crisis Management Team exercise	Annually, executive-level, with an external facilitator every other year
Independent audit of the program	Every two years

Every exercise and real event produces an after-action report with findings, owners and due dates tracked to closure by the Business Continuity Office, with open items reported to the Audit Committee.

PART XVI

Workplace Arrangements: Remote, Hybrid and On-Site

Work location models, eligibility, expectations, home workspace requirements, multi-state and international considerations, and inclusive practice.

128. Work Location Models

Model	Definition and expectations
On-site	Role requires physical presence — lab, manufacturing, facilities, reception, hardware, secure environments. Schedules set locally.
Hybrid	Default for most roles. A defined number of days per week or month at an assigned site, agreed at team level and published so it is predictable. Anchor days are coordinated so that in-person time is actually collaborative rather than incidental.
Remote	No assigned site. Requires role suitability, manager and department head approval, a registered work location within an approved jurisdiction, and demonstrated ability to work independently. Remote employees attend in-person gatherings a defined number of times per year, with travel funded by the Company.
Temporarily remote	Short-term arrangement for a defined reason — recovery, caregiving, relocation transition, disruption at a site. Documented with an end date.

128.1 Approval and change

Work arrangements are documented in the HRIS. Arrangements may be changed by the Company with reasonable notice — normally thirty days, and sixty days where a change requires relocation — for business reasons including a change in role requirements or demonstrated performance concerns. Changes are not made as a form of discipline or in response to protected activity. Employees may request a change at any time; requests connected to a disability or medical condition are handled as accommodations (§9), not as workplace-arrangement requests, and receive the interactive process.

128.2 Expectations that apply regardless of location

- Be reachable and responsive during agreed core hours, and publish your working hours and time zone.
- Maintain the same standards of performance, security, confidentiality and conduct as on site.

- Non-exempt employees record all hours worked accurately, including any work outside scheduled hours (§28.2), and take meal and rest periods at home exactly as they would on site (§30).
- Attend required in-person meetings, customer visits and gatherings; travel costs are covered by the Company.
- Do not work from a location that would create tax, immigration, export-control or data-transfer exposure without approval (§27.6, §113.7).

128.3 Home workspace requirements

Employees working from home must maintain a workspace that is safe and reasonably private: adequate lighting and ventilation, a stable work surface and supportive seating, no trip hazards or overloaded circuits, a functioning smoke detector, a lockable place for any Confidential physical material, and a location where confidential conversations cannot be overheard by household members, visitors or smart speakers. Company property in the home remains Company property and must be protected and returned. Employees must not host business visitors at home. Ergonomic assessment and equipment are available under §119.1 and §121.5.

128.4 Home network security

See §100. At minimum: change the router's default administrative password, keep firmware current, use WPA2 or WPA3, put smart-home and entertainment devices on a separate guest network, and never allow another person to use your Company device.

128.5 Injuries while working remotely

Work-related injuries occurring while working at home in the course of employment are reportable and may be covered by workers' compensation (§47.4). Report them the same way as any other injury (§47.1). This is one of the reasons a safe home workspace matters.

128.6 Inclusive practice for distributed teams

MANAGER ACTION — DISTRIBUTED TEAMS

- Run meetings so remote participants are equal: one person one screen where any participant is remote, agenda and notes in writing, explicit turn-taking, and decisions recorded in the shared document rather than settled in the room afterward.
- Distribute high-visibility work, stretch assignments and customer exposure without regard to who you physically see. Proximity bias in assignment is the most common way distributed teams become unfair, and it will show up in your promotion and rating data.
- Do not treat presence as performance. Assess outcomes.
- Communicate decisions in writing to the whole team, including anything decided informally in an office conversation.
- Protect time zones: rotate the inconvenient meeting slot rather than always imposing it on the same people.
- Check in on isolation and workload for remote team members specifically; they have fewer incidental signals to rely on.

PART XVII

Manager Responsibilities

A consolidated index of what people managers at XYZ Corporation personally own, the mistakes that create the most legal exposure, and the calendar of recurring manager obligations.

129. The Manager's Role and Legal Position

Managers at XYZ Corporation are agents of the Company. What a manager knows, the Company is deemed to know. What a manager promises, an employee may reasonably rely on. What a manager writes may become evidence. This is why manager obligations are stated as requirements rather than suggestions, and why several of them remove discretion entirely.

129.1 The five non-negotiables

Obligation	Requirement
Escalate complaints	Every harassment, discrimination, retaliation, safety, wage, ethics or fraud concern goes to the People Team, Compliance or Security within 24 hours. No exceptions, no discretion, no "let me try to handle it," no promises of confidentiality (§7.5).
Route leave and accommodation	Any hint of a serious health condition, pregnancy, disability, religious need or family care need goes to Leave Administration or Accommodations within one business day. Never ask for a diagnosis, never request records, never decide eligibility yourself (§9, §35.1).
Protect wage-hour integrity	Never permit, request or tolerate off-the-clock work. Approve accurate timecards. Protect meal and rest periods. Never offer comp time in place of overtime (§28-30).
Never retaliate	No adverse action, exclusion, scrutiny or coldness toward anyone who raised a concern, requested leave or accommodation, discussed pay, or participated in an investigation. Consult your People Partner before any employment change affecting such a person (§8).
Report security incidents	Within one hour of learning of one, through the Security hotline. Do not investigate, do not wait for certainty (§105.2).

129.2 What managers must never do alone

Investigate a harassment or discrimination complaint (§13); decide a leave or accommodation request (§9, §35); reclassify an employee's exempt status (§17.5); change or delete an employee's recorded time (§28.4); terminate an employee without People Partner review (§23.2); make a compensation promise, equity promise or promotion promise (§34, §33); issue a written warning without People Partner review (§66.3); tell an employee their employment is guaranteed or alter at-will status (§3); sign a contract or commit Company funds without authority (§114); make a

public or media statement (§86); disclose another employee's pay, medical information, complaint or discipline (§21, §92); or agree to a restrictive covenant or side letter (§15).

130. Manager Obligations by Subject

Subject	What you own	Section
Hiring	Approved requisition before interviewing; accurate job description with essential functions; structured interview plan; only trained interviewers; written feedback in the ATS before the debrief; no prohibited questions; no salary history questions; documented selection rationale; no oral promises	\$14
Onboarding	Day-one readiness (access, equipment, buddy); expectations conversation in week one; recurring 1:1 scheduled; 30/60/90 check-ins documented; training completion monitored	\$19
Equal opportunity	Interrupt and report conduct you observe; apply standards consistently; avoid stereotyped assumptions in assignment and evaluation; make room for accommodation without requiring justification	\$6–\$10
Pay and time	Approve accurate timecards on deadline; never permit unrecorded work; protect breaks; escalate every pay discrepancy same-day; never disclose others' pay; explain your own team's outcomes in terms of level, range and performance	\$26–\$34
Leave	Recognize triggers and route within one business day; maintain coverage without penalizing the employee; never count protected absence against attendance or ratings; support return-to-work; do not contact employees on approved leave except as they have agreed	\$35–\$49
Performance	Goals set within 30 days of cycle open or hire; 1:1 at least biweekly; feedback continuously so nothing in a review is a surprise; evidence-based ratings; participate honestly in calibration; deliver reviews in conversation; PIPs only with People Partner review and genuine support	\$61–\$66
Conduct and ethics	Model the Code; never ask anyone to compromise it to hit a number; escalate conflicts, gifts questions and competitive-intelligence issues; disclose your own conflicts and relationships	\$70–\$88
Technology, AI and security	Approve access on least privilege and certify quarterly; ensure your team uses approved tools only; require human review of AI output; ensure training completion; report incidents within the hour; deprovision leavers and contingent workers immediately	\$89–\$108
Expense and procurement	Review every expense line before approving; approve within five business days; never approve your own or your manager's; no purchase commitments outside Procurement; no threshold-splitting	\$114–\$120
Safety and emergency	Ensure training and drill participation; correct or escalate hazards; investigate and report incidents same-day; never create pressure to work unsafely; know your evacuation and accounting role	\$121–\$122
Continuity	Maintain your function's continuity plan and BIA; identify and cross-train for key-person risk; know your recovery role and your team's contactability	\$123–\$127

Distributed teams	Predictable anchor days; equal-footing meetings; distribute visible work without proximity bias; decisions in writing; rotate time-zone burden	\$128.6
Separation	People Partner review before any termination decision is communicated; Payroll notified three business days ahead; property and access recovery; knowledge transfer; no personal references on Company letterhead	\$23

131. Manager Calendar of Recurring Obligations

Cadence	Obligation
Every pay period	Approve timecards accurately and on time; review overtime and premium exceptions
Weekly / biweekly	1:1 with every direct report; weekly for new hires and employees on a PIP
Within 5 business days	Approve or return expense reports
Within 24 hours	Escalate any complaint; report any security incident within 1 hour
Monthly	Review team training completion and overdue items; review open requisitions and candidate feedback quality
Quarterly	Certify system access for your team and your contingent workers; review continuity plan contacts; safety walkthrough for site-based teams
Semi-annually	Mid-year and year-end performance cycles; talent review; drill participation
Annually	Conflicts certification; required training; BIA refresh; job description review; pay equity review participation; handbook acknowledgment

132. Difficult Conversations: A Manager's Guide

Situation	Approach
Performance is slipping	Address it in the next 1:1, not in three months. Name the specific gap and its impact, ask what is going on (there is often a reason you don't know), agree a concrete change and a check-in date, and write a short summary to the employee afterward. Loop in your People Partner before it becomes formal.
An employee discloses a health condition	Thank them, say you will connect them with the right team, ask only what you need for coverage, and route to Accommodations or Leave Administration the same day. Do not ask what the condition is, do not offer medical opinions, do not tell anyone else.
An employee reports harassment	Listen without judging or questioning credibility. Do not investigate. Say: "Thank you for telling me. I'm required to report this to the People Team so it gets handled properly, and I'll share it only with those who need to know. Retaliation is prohibited — tell me immediately if anything changes for you." Then escalate within 24 hours and change nothing about the employee's role or schedule without direction.
An employee asks about another person's pay	They may discuss their own pay freely; you may not disclose anyone else's. Explain how their own pay was set — level, range, performance — and route range and equity questions to Compensation.

An employee is unhappy with their rating	Restate the evidence, listen to what they think was missed, and tell them they may add a written comment and request People Partner review. Do not change a rating to avoid conflict, and do not blame calibration.
Delivering a termination	Keep it under ten minutes, with a People Team representative present. State the decision in the first sentence, give the reason briefly and factually, do not debate or re-litigate, cover logistics (final pay, benefits, property, references), and treat the person with dignity. Never make it about your own discomfort.
A team member is in evident distress	Express concern, ask what would help, offer the EAP and the accommodation process, adjust workload where you can. Do not diagnose, do not counsel, and if there is any indication of risk of harm, contact Global Security and your People Partner immediately.
You made a mistake	Say so, quickly, to the people affected and to your own manager. Fix it. The Company's experience is that concealment converts small problems into serious ones, and that applies to managers most of all.

PART XVIII

Standard Operating Procedures

Step-by-step procedures for the processes employees and managers execute most often, with owners, timing and required artifacts.

133. SOP-HR-01: Requisition to Offer

Step	Owner	Action	SLA
1	Hiring manager	Confirm headcount with Finance; draft job description with essential functions; submit requisition with level and location	—
2	Compensation	Validate level, range and exempt/non-exempt classification	2 business days
3	Approver chain	Approve requisition (manager +1; Finance for incremental headcount)	3 business days
4	Talent Acquisition	Intake meeting; define interview plan, competencies and panel; confirm all interviewers are certified	3 business days
5	Talent Acquisition	Post internally (5 business days) then externally; list with state employment service; distribute to diverse sourcing channels	—
6	Panel	Interview using the defined plan; submit written feedback in the ATS before the debrief	24 hours post-interview
7	Panel + hiring manager	Debrief; document selection rationale in job-related terms for every interviewed candidate	3 business days
8	Talent Acquisition + Compensation	Build offer within range; obtain approvals	2 business days
9	Talent Acquisition	Extend verbal then written offer on the approved template; initiate background check and required agreements	—
10	Talent Acquisition	On acceptance, trigger onboarding (SOP-HR-02); close requisition; notify non-selected candidates	5 business days

134. SOP-HR-02: Onboarding a New Employee

When	Owner	Action
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T-10 days	Talent Acquisition	Background check clearance; start date confirmed; I-9 appointment scheduled
T-10 days	Manager	Submit access request with role-based entitlements; order equipment; assign buddy; draft 30/60/90 expectations; book week-one meetings and recurring 1:1
T-5 days	IT	Provision accounts (disabled until start); image and ship device; confirm delivery
Day 1	People Team	I-9 Section 1 and document review; state and local notices; direct deposit and withholding; agreements; handbook issued; benefits enrollment opened
Day 1	Manager	Welcome; expectations conversation; team introductions; safety and emergency orientation for the site
Day 3	People Team	I-9 Section 2 completed; E-Verify submitted where applicable
Day 5	Employee	Handbook acknowledgment signed; security, privacy and AI training started
Day 30	Manager	Documented 30-day check-in; goals drafted; confirm tooling and access adequate
Day 30	Employee	Benefits elections complete (deadline); all required training complete
Day 90	Manager	Documented review against expectations; goals finalized in the performance system

135. SOP-HR-03: Requesting and Administering a Leave of Absence

1. **Employee** notifies Leave Administration (and manager, for scheduling) as soon as the need is known — 30 days in advance where foreseeable.
2. **Manager**, if told first, routes to Leave Administration within one business day; asks only about expected duration and coverage needs; requests no medical information.
3. **Leave Administration** issues the eligibility notice and certification packet within five business days; opens a confidential case file.
4. **Employee** returns certification within fifteen calendar days; may request an extension for good cause.
5. **Leave Administration** issues the designation notice within five business days of sufficient information; coordinates FMLA, state leave, disability, parental leave and PTO so entitlements run concurrently where permitted; confirms pay plan and benefit premium arrangements in writing to the employee.
6. **Manager** arranges coverage; does not contact the employee about work during leave; does not backfill the role permanently without People Partner direction; does not reduce scope or reassign accounts in a way that impairs restoration.
7. **Leave Administration** maintains contact on the agreed cadence; processes intermittent absences; issues recertification requests where permitted.

8. **Return:** employee provides any release with restrictions; Accommodations reviews restrictions; manager confirms restoration to the same or an equivalent position; phased return applied where applicable.
9. **At exhaustion of protected leave:** case transfers to Accommodations for interactive-process review before any employment decision. No separation without Accommodations and Legal sign-off.

136. SOP-HR-04: Handling a Complaint of Harassment or Discrimination

1. **Recipient of the report** (any manager or People Team member): listen, take minimal factual notes, make no promises of confidentiality, take no unilateral protective action, escalate to Employee Relations within 24 hours.
2. **Employee Relations** acknowledges to the complainant within one business day; triages severity; checks for conflicts; determines whether outside counsel is required (executive subjects); issues a legal hold where litigation is reasonably anticipated.
3. **Interim measures** decided by Employee Relations with Legal — designed so the burden falls on the subject, not the complainant.
4. **Investigation** per §13.2: plan, complainant interview, witness interviews, subject interview, documentary evidence, credibility assessment.
5. **Findings** documented allegation by allegation on a preponderance standard; consistency checked against the discipline register.
6. **Outcome** determined with the business leader and Legal; corrective action implemented; systemic remediation (training, policy, structural change) where indicated.
7. **Closure** communicated in writing to both parties, limited to whether allegations were substantiated and any action affecting them directly.
8. **Follow-up** at 30, 90 and 180 days on recurrence and retaliation; any adverse action affecting the complainant or witnesses within twelve months requires Employee Relations pre-review.

137. SOP-HR-05: Progressive Discipline

1. **Manager** documents the specific conduct, dates, prior discussions and policy involved; gathers facts, not characterizations.
2. **Manager** consults the People Partner before anything beyond verbal coaching. The People Partner checks consistency against comparable cases, confounding factors (accommodation, leave, protected activity), and legal risk.
3. **Manager** holds the conversation privately; states the concern, hears the employee's response, records it, states the required change and timeline and the consequence of recurrence.
4. **Documentation** issued on the approved template; employee signs to acknowledge receipt (refusal is noted, not escalated); copy to the personnel file through the People Team.
5. **Follow-up** at the stated interval; sustained correction is acknowledged in writing; recurrence advances a step.

6. **Termination** (if reached) requires People Partner and, in the §23.2 categories, Legal review before communication; then SOP-HR-06.

138. SOP-HR-06: Offboarding

Timing	Owner	Action
On notice	Manager	Notify People Partner and Payroll (3 business days minimum); confirm last day; begin knowledge transfer plan; do not announce before People Team confirms sequencing
On notice	People Team	Confirm final pay deadline for the work state; calculate PTO payout; prepare benefits, COBRA and 401(k) materials; check equity and any agreement obligations; confirm ineligibility flags where applicable
On notice	Security / IT	Schedule access revocation for the exact separation time; for involuntary separations of privileged users, revoke at the moment of notification
Last week	Employee	Transfer files to Company systems; document ownership handover; submit final expenses; return equipment, badge, cards, tokens and printed material; certify deletion of Company data from personal devices
Last day	Manager	Confirm property return; confirm knowledge transfer complete; conduct a respectful close-out
Last day	People Team	Exit interview offered (separate from manager); reminder of continuing confidentiality, IP and any restrictive covenant obligations; contact details for benefits questions
Separation +1	IT / Security	Verify all access revoked including SaaS not covered by SSO; convert mailbox per retention; reassign licenses; deprovision service accounts owned by the leaver
Separation +5	Finance	Close corporate card; settle balances; clear travel advances
Separation +30	People Team	Verify final pay accuracy; archive personnel file per §21.5; record exit themes

139. SOP-IT-01: Requesting Access, Software or an AI Tool

1. Check whether the Company already licenses an equivalent tool — most requests are already satisfied.
2. Submit the request in the service portal with the business purpose, the data classification involved, the number of users and the expected duration.
3. Manager approves on the principle of least privilege.
4. System or data owner approves; CISO additionally approves Restricted data access.
5. New vendor or tool: Security, Privacy and (for anything with AI features) the AI Governance Council review per §104 and §93.8; Procurement contracts it per §115 — including free tiers.

6. Provisioning through SSO with SCIM where available; access is time-bound where the need is temporary.
7. Quarterly recertification by the manager and system owner; unused or uncertified access is removed.
8. Never work around this process. Signing up with a Company email address, expensing a subscription, or using a personal account for Company work are all policy violations (§89.2, §116.1).

140. SOP-SEC-01: Reporting and Responding to a Security Incident

1. **Anyone who notices anything:** call the Security Operations hotline or use the chat incident command — within one hour of discovery, with no requirement of certainty.
2. **Do not:** investigate on your own, delete anything, power off a suspect device (disconnect from the network instead), notify a vendor or customer, or discuss it outside the response channel.
3. **Security** triages and assigns severity within 30 minutes; names an incident commander; opens a war room for Sev-1/2.
4. **Contain:** isolate systems and accounts, revoke sessions and tokens, rotate credentials and keys, block indicators, capture forensic images before remediation.
5. **Legal** leads notification analysis — regulators, individuals, customers, insurers, law enforcement, Board — and owns all external communication with Corporate Communications (§105.5).
6. **Eradicate and recover:** remove root cause, patch, rebuild from known-good, verify integrity, restore in the defined order, monitor for recurrence.
7. **Post-incident review** within ten business days: blameless timeline, root cause, contributing factors, dated corrective actions tracked to closure.

141. SOP-FIN-01: Submitting an Expense Report

1. Capture itemized receipts at the time of the expense; photograph them into the expense app immediately.
2. Create the report within thirty days; group by trip or purpose.
3. Enter each line with date, amount, category, and a specific business purpose; add attendees and affiliations for meals.
4. Attach receipts for every line of \$25 or more; use the Missing Receipt Affidavit only where a receipt genuinely cannot be obtained.
5. Confirm compliance with caps and per diem rules; flag any exception with the approval reference.
6. Submit to your manager. Approvals are due within five business days; reimbursement follows within ten business days or the next payroll.
7. Respond promptly to any query; unresolved queries delay payment.

142. SOP-FIN-02: Procuring Goods or Services

1. Define the requirement in writing, including success criteria and budget; confirm no existing contract or tool already meets it.
2. Submit a purchase requisition. Do not contact a supplier with any commitment, and never sign or click-accept any agreement.
3. Procurement determines the sourcing route by threshold (\$114.1) and runs the competitive event.
4. Security, Privacy, IT, AI Governance and People Team reviews complete in parallel as applicable.
5. Legal negotiates and approves terms; an authorized signatory executes; the contract is filed in the repository.
6. Purchase order issued; vendor master record created with independently verified banking details.
7. Receipt or acceptance confirmed by the requester; three-way match performed by Accounts Payable; payment on net 45.
8. Relationship owner manages performance, monitors spend, and starts the renewal decision 120 days before expiry.

143. SOP-OPS-01: Reporting a Workplace Injury or Hazard

1. Attend to safety and medical needs first; call 911 for anything serious; use trained first aid responders and AEDs as needed.
2. Notify your manager and EHS the same day, however minor the injury appears.
3. Complete the Incident Report (Form 19.16) within 24 hours with facts, sequence, witnesses and photographs where safe.
4. EHS assesses recordability for the OSHA 300 log and reports fatalities within 8 hours and hospitalization, amputation or loss of an eye within 24 hours.
5. Claims administrator initiates workers' compensation; Leave Administration coordinates any concurrent FMLA.
6. Manager and EHS conduct root cause analysis within five business days; corrective actions assigned with dates.
7. Return-to-work managed with Occupational Health; modified duty offered where medically appropriate.
8. Near-misses and hazards follow steps 2, 3, 6 — no injury required.

144. SOP-OPS-02: Activating Business Continuity

1. Any employee detecting a potential major disruption notifies their manager and the Business Continuity Office.
2. The Business Continuity Office assesses scope and recommends an activation level (§124.1).
3. The COO or CEO declares Level 3; the BCO declares Level 2 with COO notification.

4. Incident commander named; crisis team convened; mass notification issued with instructions and the next update time.
5. Affected functions execute their recovery plans and report status on the stated cadence; degraded-mode procedures used rather than improvised tools.
6. People Response Team accounts for all employees and mobilizes welfare support.
7. Communications issues employee, customer and (with Legal) regulatory messaging — no one else communicates externally.
8. Recovery validated against RTO/RPO; return to normal operations declared formally.
9. After-action report within ten business days with tracked corrective actions.

PART XIX

Forms and Templates

The Company's forms library. Live fillable versions are on the People Portal; the layouts below show the required fields and, where relevant, the language that must not be altered.

145. Forms Index

Form	Title	Owner / where it goes
19.01	Handbook Acknowledgment and Receipt	People Team — personnel file
19.02	Employee Information Change	HRIS self-service; People Team
19.03	Emergency Contact and Notification Consent	HRIS; Global Security
19.04	Accommodation Request (Disability, Religion, Pregnancy, Nursing)	Accommodations — confidential medical file
19.05	Conflict of Interest / Outside Activity Disclosure	Compliance
19.06	Gift and Entertainment Disclosure and Approval	Compliance
19.07	Leave of Absence Request	Leave Administration
19.08	Timecard Correction Authorization	Payroll
19.09	Missing Receipt Affidavit	Finance — attached to expense report
19.10	Travel Authorization (International / High-Value)	Travel; Global Security; Legal
19.11	Personnel File Inspection Request	People Team
19.12	Performance Improvement Plan	Manager with People Partner — personnel file
19.13	Corrective Action / Written Warning	Manager with People Partner — personnel file
19.14	Policy Exception Request	Policy owner; exception register
19.15	Concern / Complaint Intake	Employee Relations; Integrity Line
19.16	Incident / Injury / Hazard Report	EHS; claims administrator
19.17	Security Incident Report	Security Operations

19.18	AI Tool / Use Case Approval Request	AI Governance Council
19.19	Remote Work / Temporary Work Location Agreement	Manager; People Team; Tax
19.20	Resignation Notice and Offboarding Checklist	Manager; People Team; IT
19.21	Purchase Requisition and Sole-Source Justification	Procurement
19.22	Manager New-Hire Readiness Checklist	Manager
19.23	Interview Feedback Template	ATS
19.24	Goal Setting and Development Plan	Performance system

146. Form 19.01 — Handbook Acknowledgment and Receipt

FORM 19.01 · EMPLOYEE HANDBOOK ACKNOWLEDGMENT AND RECEIPT · XYZ CORPORATION

I acknowledge that I have received access to the XYZ Corporation Employee Handbook, Revision 4.0, effective July 29, 2026. I understand that I am responsible for reading it and for complying with the policies it contains, and for asking the People Team about anything I do not understand.

I understand and agree that:

1. My employment with XYZ Corporation is **at will**. I may resign at any time, and the Company may end my employment at any time, for any lawful reason or no reason, with or without notice or cause. No representation to the contrary is binding unless it is in writing, expressly states an intent to modify at-will status, and is signed by me and by the Chief Executive Officer or Chief People Officer.
2. This handbook is **not a contract of employment** and does not create contractual rights, and the Company may add to, modify, suspend, interpret or cancel any policy at any time, with or without notice, subject to applicable law.
3. Descriptions of benefit plans are **summaries only** and the official plan documents govern.
4. I have no expectation of privacy in Company systems, devices, accounts or networks, and the Company may monitor and review their use to the extent permitted by law.
5. Nothing in this handbook or this acknowledgment limits my right to discuss wages, hours or working conditions with coworkers, to engage in other activity protected by Section 7 of the National Labor Relations Act, to report possible violations of law to any government agency without notice to the Company, to participate in an agency proceeding, or to receive a whistleblower award.
6. My obligations regarding confidential information, intellectual property, and the Code of Business Conduct and Ethics continue after my employment ends.

I understand that failure to sign this acknowledgment does not relieve me of the obligation to comply with the policies in this handbook.

Employee name (print): _____	Employee ID: _____
Signature: _____	Date: _____
Work location (city / state): _____	Manager: _____

Return to the People Team within five business days of your start date, or within fifteen days of publication of a revised handbook. Electronic acknowledgment through the HRIS satisfies this requirement.

147. Form 19.04 — Accommodation Request

FORM 19.04 · ACCOMMODATION REQUEST · CONFIDENTIAL

Submit directly to accommodations@xyzcorp.example. Do **not** send this to your manager. Do not attach medical records. This form is not required — a conversation or email is enough to start the process.

Employee name / ID	_____
Role and work location	_____
Basis of request	☐ Disability / medical condition ☐ Pregnancy or related condition ☐ Nursing / lactation ☐ Religious belief or practice ☐ Victim of violence — safety ☐ Other
What is difficult	Describe the job task or workplace condition that is difficult, <i>not</i> your diagnosis:
What would help	Describe the change you are requesting, if you have one in mind. It is fine to say you are not sure:
Duration	☐ Temporary — expected through _____ ☐ Ongoing ☐ Unknown
Urgency	☐ Routine ☐ Needed within 2 weeks ☐ Immediate safety or health concern
Signature / date	_____

For Accommodations use: acknowledged (date) _____ · essential functions reviewed (date) _____ · documentation requested ☐ / received _____ · options discussed with employee (date) _____ · determination issued (date) _____ · interim measure in place ☐ · 30-day check-in _____ · 90-day check-in _____ · case ID _____. Retained in the confidential medical file only; managers receive restrictions and approved accommodations only.

148. Form 19.05 — Conflict of Interest and Outside Activity Disclosure

FORM 19.05 · CONFLICT OF INTEREST / OUTSIDE ACTIVITY DISCLOSURE

Employee / role / department	_____
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Category	☐ Financial interest in customer, supplier or competitor ☐ Family or household member's employment or interest ☐ Outside employment or consulting ☐ Board or advisory role ☐ Own business ☐ Personal relationship in reporting line ☐ Gift or hospitality above threshold ☐ Corporate opportunity ☐ Other
Description	Entity name, nature of the relationship or activity, your role, time commitment, and compensation if any:
Overlap with XYZ	Does the entity do business with, seek to do business with, or compete with XYZ? ☐ No ☐ Yes — explain:
Your influence	Do you influence any XYZ decision affecting this entity or person? ☐ No ☐ Yes — explain
Use of Company resources	Will any XYZ time, information, equipment, brand or relationships be used? ☐ No ☐ Yes — explain
Employee certification	I certify this disclosure is complete and accurate, and I will update it promptly if circumstances change. Signature: _____ Date: _____
Manager recommendation	☐ No conflict ☐ Manageable with conditions ☐ Conflict — should not proceed. Signature / date: _____
Compliance determination	☐ Approved ☐ Approved with mitigation (recusal / reassignment / firewall / divestment — specify) ☐ Denied. Reviewer / date: _____ Review due: _____

149. Form 19.12 — Performance Improvement Plan

FORM 19.12 · PERFORMANCE IMPROVEMENT PLAN · REQUIRES PEOPLE PARTNER REVIEW BEFORE ISSUE

Employee / role / manager	_____
Plan period	Start _____ End _____ (30 / 60 / 90 days) · Review cadence: weekly

Performance gaps	State each gap specifically, with examples and dates. Reference the level expectations or goal not being met. 1. 2. 3.
Required standard	For each gap, the measurable outcome that constitutes success — written so a neutral observer could determine whether it was met. 1. 2. 3.
Support provided	Training, mentoring, revised priorities, tooling, changed workload, additional feedback cadence:
Check-in log	Week 1 ____ Week 2 ____ Week 3 ____ Week 4 ____ Week 5 ____ Week 6 ____ (attach notes)
Consequence	If the required standard is not met by the end date, the outcome may include reassignment, demotion or termination of employment.
Employee rights	You may request accommodation, take protected leave, add a written response to this document, and raise concerns with your People Partner at any time during this plan. Doing so will not affect the assessment.
Signatures	Employee (receipt): _____ Date: _____ Manager: _____ People Partner: _____
Outcome	☐ Met — plan closed ☐ Partially met — one extension to _____ ☐ Not met — action: _____ · Date communicated: _____

150. Form 19.13 — Corrective Action / Written Warning

FORM 19.13 · CORRECTIVE ACTION NOTICE

Level	☐ Verbal coaching (documented) ☐ Written warning ☐ Final written warning ☐ Suspension ☐ Termination recommendation
Employee / role / date	_____
Policy or standard involved	Handbook section: _____ · Description: _____

Facts	What happened, when, and who was involved. Facts and dates only — no characterizations, no reference to protected activity, leave or medical information.
Prior discussions	Dates and substance of earlier conversations or notices on this subject:
Employee response	Recorded in the employee's own words:
Required change	Specific, observable, with a date:
Consequence of recurrence	
Signatures	Employee (acknowledging receipt, not agreement): _____ Manager: _____ People Partner review date: _____ _____

Employee refusal to sign is noted here and does not affect validity: ☐ declined to sign, witnessed by _____.

151. Form 19.15 — Concern / Complaint Intake

FORM 19.15 · CONCERN AND COMPLAINT INTAKE · CONFIDENTIAL — EMPLOYEE RELATIONS	
Reported by	Name _____ ☐ or anonymous (via Integrity Line)
Date received / by whom	_____
Nature of concern	☐ Harassment ☐ Discrimination ☐ Retaliation ☐ Abusive conduct ☐ Wage or hour ☐ Safety ☐ Fraud / financial ☐ Conflict of interest ☐ Data privacy ☐ Security ☐ Other _____
Who is involved	Subject(s), witnesses, others affected:
What happened	Specific incidents with dates, locations and what was said or done. Attach any documents or messages.
Prior reports	Has this been raised before? To whom, and when? What happened?
Immediate risk	☐ None apparent ☐ Safety concern ☐ Ongoing conduct ☐ Retaliation concern — requires interim measures
Desired outcome	What the reporter is asking for (recorded, not binding):
Notices given to reporter: ☐ anti-retaliation policy explained ☐ confidentiality limits explained (need-to-know, not absolute) ☐ point of contact provided ☐ external agency rights not restricted. Triage: severity _____ · investigator assigned _____ · conflict check _____ · legal hold ☐ · outside counsel ☐ · Audit Committee routing ☐ · target completion _____.	

152. Form 19.16 — Incident, Injury and Hazard Report

FORM 19.16 · INCIDENT / INJURY / HAZARD REPORT · SUBMIT WITHIN 24 HOURS

Type	☐ Injury or illness ☐ Near-miss ☐ Hazard ☐ Property damage ☐ Vehicle ☐ Environmental release ☐ Security / physical
Person(s) affected	Name / role / employee or contractor or visitor:
Date, time, exact location	_____ ☐ occurred while working remotely
What happened	Sequence of events in order. Facts only.
Injury / body part / treatment	☐ First aid only ☐ Medical treatment ☐ ER ☐ Hospitalized ☐ Days away expected ☐ Restricted duty ☐ None
Equipment, substance or condition involved	
Witnesses	
Immediate action taken	
Reported by / manager notified	_____ Date/time: _____

EHS use: OSHA recordable ☐ · 300 log entry _____ · 8-hour fatality / 24-hour hospitalization-amputation-eye report required ☐ filed _____ · workers' comp claim _____ · FMLA coordination ☐ · root cause analysis due _____ · corrective actions _____ · closure _____.

153. Form 19.18 — AI Tool and Use Case Approval Request

FORM 19.18 · AI TOOL / USE CASE APPROVAL · AI GOVERNANCE COUNCIL

Requester / team / sponsor	_____
Tool or model	Name, vendor, version, hosting (Company tenant / vendor cloud / on-prem), access method (SSO ☐)
Use case	What task, for whom, how often, and what decision or output it feeds:
Data to be used	☐ Public ☐ Internal ☐ Confidential ☐ Personal data ☐ Customer data ☐ Regulated ☐ Restricted (prohibited) — list data elements:
Retention and training	Does the vendor retain inputs? ☐ No ☐ Yes — how long. Does the vendor train on our data? ☐ No ☐ Yes (requires Legal). Zero-retention configured ☐
Human oversight	Who reviews output before it is used, and what authority do they have to override?

Higher-risk screen	Does this affect employment, credit, pricing, access to services, safety or legal rights of any individual? ☐ No ☐ Yes → §93.9 assessments required
Agentic capability	Can the tool take actions (send, modify, purchase, transact)? ☐ No ☐ Yes — describe scope, credentials and approval gates
Disclosure plan	How and to whom AI involvement will be disclosed (§93.6):
Failure modes	What goes wrong if the output is confidently incorrect, and how would you detect it?

Reviews: Security _____ · Privacy / DPIA _____ · Legal / IP _____ · People Team (if employment-related) _____ · Procurement _____ **Decision:** ☐ Approved for classification _____ ☐ Approved with conditions ☐ Denied. Council date _____ · Owner _____ · Next review _____ · Register ID _____.

154. Form 19.19 — Remote Work and Temporary Work Location Agreement

FORM 19.19 · REMOTE / TEMPORARY WORK LOCATION AGREEMENT	
Employee / role / manager	_____
Arrangement	☐ Hybrid — days on site: _____ ☐ Fully remote ☐ Temporary remote from _____ to _____
Registered work location	City / state / country: _____ (this determines payroll withholding, applicable employment law, leave entitlements and pay range tier)
Working hours / time zone	Core hours: _____ Time zone: _____
Non-exempt confirmation	☐ N/A (exempt) ☐ Non-exempt — I will record all hours worked, take meal and rest periods, and not perform work outside recorded time
Workspace certification	I certify my workspace meets §128.3: safe, adequately lit, no trip or electrical hazards, functioning smoke detector, secure storage for confidential material, and private enough for confidential conversations. ☐
Network certification	Router default password changed ☐ · firmware current ☐ · WPA2/WPA3 ☐ · smart devices on a separate network ☐ · no shared device use ☐
Equipment	Company property at this location: _____ (remains Company property; must be returned)
Acknowledgments	☐ Work-related injuries at home are reportable (§128.5) ☐ Arrangement may be changed by the Company with notice for business reasons (§128.1) ☐ Work from an unapproved jurisdiction requires prior approval (§27.6)
Signatures	Employee _____ Manager _____ People Team _____ Tax review (if new state/country) _____

155. Form 19.20 — Offboarding Checklist

FORM 19.20 · SEPARATION AND OFFBOARDING CHECKLIST

Employee / role / last day	_____
Type	☐ Resignation ☐ Retirement ☐ Involuntary — performance ☐ Involuntary — conduct ☐ Reduction in force ☐ End of fixed term ☐ Job abandonment
Pre-separation reviews	☐ People Partner review ☐ Legal review (if §23.2 category applies) ☐ Final pay deadline for work state confirmed _____ ☐ WARN analysis (if applicable) ☐ Immigration notified (if sponsored)
Payroll and benefits	☐ Payroll notified ≥3 business days ahead ☐ PTO payout calculated ☐ Commissions on closed business ☐ Final expenses settled ☐ COBRA triggered ☐ 401(k) and equity materials issued ☐ Outstanding plan loan noted
Property returned	☐ Laptop ☐ Phone ☐ Monitors / peripherals ☐ Badge ☐ Keys ☐ Corporate card ☐ Security token ☐ Printed confidential material ☐ Other _____
Data and access	☐ Files transferred to Company systems ☐ Personal-device Company data deleted (certified) ☐ SSO access revoked at _____ ☐ Non-SSO SaaS access revoked ☐ Service accounts reassigned ☐ Privileged access revoked at notification ☐ Repository and cloud access removed ☐ Mailbox handled per retention
Knowledge transfer	☐ Runbooks and documentation current ☐ Ownership reassigned (systems, vendors, customers) ☐ Successor briefed ☐ Continuity plan updated
Reminders given	☐ Continuing confidentiality and IP obligations ☐ Any restrictive covenant explained ☐ Reference process (§23.8) ☐ Benefits contact information ☐ Rehire eligibility flag set by Employee Relations
Exit interview	☐ Offered ☐ Completed by People Team on _____ ☐ Escalation required (harassment, safety, ethics or fraud disclosed) → route to §13
Sign-off	Manager _____ IT _____ Finance _____ _____ People Team _____

156. Form 19.22 — Manager New-Hire Readiness Checklist

FORM 19.22 · MANAGER NEW-HIRE READINESS CHECKLIST

T-10 business days	☐ Access request submitted with least-privilege role entitlements ☐ Equipment ordered and shipping address confirmed ☐ Buddy assigned and briefed ☐ Seat or hybrid schedule confirmed
T-5 business days	☐ 30/60/90 expectations drafted ☐ Week-one calendar built (introductions, systems walkthrough, first task) ☐ Recurring 1:1 scheduled ☐ Team informed of start date and role

Day 1	☐ Personal welcome ☐ Expectations conversation held ☐ Site safety and emergency orientation ☐ Introduced to key partners ☐ Confirmed device and access working
Week 1	☐ First real (small) deliverable assigned ☐ Norms explained: working hours, meeting culture, decision documentation, escalation path ☐ Handbook acknowledgment confirmed ☐ Required training assigned and started
Day 30	☐ Documented check-in ☐ Goals drafted ☐ Training completion verified ☐ Access and tooling gaps resolved
Day 60	☐ Feedback on early work delivered ☐ Cross-functional introductions complete ☐ Owning a deliverable end to end
Day 90	☐ Documented review against expectations ☐ Goals finalized in the performance system ☐ Development plan drafted ☐ Onboarding survey completed by employee

157. Form 19.24 — Goal Setting and Development Plan

FORM 19.24 · GOALS AND DEVELOPMENT PLAN · CYCLE _____				
#	Goal (specific, verifiable, time-bound)	Aligned Company / org objective	How success is measured	Due
1				
2				
3				
4				

Development goal	Skill or capability to build, and why it matters for your current or next role:
How (experience first)	Stretch assignment, rotation, project lead, teaching others, mentor, formal learning:
Support needed from manager	
Mid-year revision	Goals changed / retired and why (date):
Signatures	Employee _____ Manager _____ Date _____

APPENDIX A

Federal and State Compliance Guidance

A reference map of the federal statutes underlying this handbook and the state-law variations that most often change how a policy applies. This appendix is guidance, not legal advice, and law changes continuously — the People Team and Employment Counsel hold the current position.

158. Federal Statutory Framework

Statute / regulation	Threshold	What it requires and where it appears in this handbook
Title VII, Civil Rights Act 1964	15+ employees	Prohibits discrimination and harassment on race, color, religion, sex (including pregnancy, sexual orientation and gender identity), national origin; requires religious accommodation. §6, §7, §10
Age Discrimination in Employment Act	20+	Protects employees 40+; OWBPA rules govern releases in reductions in force. §6, §23.3
Americans with Disabilities Act (as amended)	15+	Prohibits disability discrimination; requires reasonable accommodation and the interactive process; limits medical inquiries; confidentiality of medical records. §9, §21.1, §47.5
Pregnant Workers Fairness Act	15+	Reasonable accommodation for known limitations related to pregnancy and childbirth. §11.1
PUMP for Nursing Mothers Act	All (space requirement scaled)	Break time and private non-bathroom space to express milk. §11.2
Genetic Information Nondiscrimination Act	15+	Prohibits use of genetic information and family medical history; limits acquisition. §6, §9.2
Equal Pay Act	All	Equal pay for equal work; limited affirmative defenses. §26.4
Fair Labor Standards Act	All	Minimum wage, overtime, exempt classification, child labor, recordkeeping, nursing breaks. §17, §28–§31
Family and Medical Leave Act	50+ within 75 miles	12 weeks job-protected leave; 26 weeks military caregiver; benefit continuation; restoration. §39
USERRA	All	Military leave, reemployment, escalator principle, benefit continuation, discharge protection. §44
Affordable Care Act	50+ FTE	Employer mandate, minimum value and affordability, 1094-C/1095-C reporting, look-back measurement. §51.2
ERISA	All plans	

		Plan documents, SPDs, fiduciary duties, claims and appeals, Form 5500. §50.6, §53.4
COBRA	20+	Continuation coverage, election notices and deadlines. §58
HIPAA	Group health plans	Privacy and security of PHI, special enrollment, nondiscrimination on health status. §59
OSH Act	All	General duty clause, hazard-specific standards, 300/300A/301 recordkeeping, §11(c) anti-retaliation, reporting deadlines. §121
WARN Act	100+	60 days' notice of plant closing or mass layoff. §23.3
Immigration and Nationality Act / IRCA	All	Form I-9, E-Verify where required, §274B anti-discrimination in verification. §4
Fair Credit Reporting Act	All using CRAs	Standalone disclosure, authorization, pre-adverse and adverse action process. §16.2
National Labor Relations Act	All (private)	§7 protected concerted activity; limits on confidentiality, social media, solicitation and non-disparagement rules; <i>Weingarten</i> rights. §5.6, §8.1, §82, §85
Sarbanes-Oxley / Dodd-Frank	Issuers	Whistleblower protection, Audit Committee channels, SEC Rule 21F-17, incentive recoupment. §32.5, §77.5
Foreign Corrupt Practices Act	Issuers / domestic concerns	Anti-bribery, books and records, internal controls. §73
Sherman / Clayton / FTC Acts	All	Antitrust: price fixing, market allocation, bid rigging, no-poach and wage-fixing. §74
Securities Exchange Act §10(b), Rule 10b-5	All	Insider trading, tipping, 10b5-1 plans; Form 8-K cyber incident disclosure. §75, §105.5
Defend Trade Secrets Act	All	Trade secret protection plus §1833(b) immunity notice required in agreements. §15.3, §76
Executive Order 11246 / Section 503 / VEVRAA	Federal contractors	Affirmative action programs, self-identification, outreach, EEO-1 and VETS-4212 reporting. §12
Drug-Free Workplace Act	Federal contractors	Policy, notice and awareness obligations. §80
Consumer Credit Protection Act	All	Garnishment limits and anti-discharge protection. §27.7
Jury System Improvements Act	All	Protection for federal jury service. §43
Internal Revenue Code §§105, 125, 127, 132, 401(k), 409A, 274	All	Benefit plan tax treatment, cafeteria plans, educational assistance, fringe benefits, deferred compensation, expense substantiation. Parts IV, VI, XIII

159. State Variation: Where the Rules Differ Most

The Company applies the standard most favorable to the employee where federal, state and local requirements differ. The table below identifies the areas where variation is greatest and what employees and managers should watch for.

Subject	Nature of variation
Minimum wage	State and, in many metros, city and county rates exceed the federal \$7.25. Local rates apply where higher and often adjust each January or July. §31
Exempt salary thresholds	California, New York, Colorado, Washington, Alaska and Maine set thresholds above federal, some indexed annually; California and a few others do not recognize the highly compensated exemption. §17.2
Daily overtime	California (8/12/7th day), Alaska, Nevada and Colorado impose daily overtime; most states follow the weekly-only federal rule. §29.1
Meal and rest periods	Roughly half the states mandate meal periods, and a smaller set mandate paid rest breaks. California and a few others require premium pay for missed periods. Many prohibit rounding meal times. §30
Pay frequency and final pay	Deadlines range from immediately on termination to the next regular payday. Involuntary and voluntary separations often carry different deadlines. §27.1, §23.4
Vacation as wages	California, Colorado, Illinois, Massachusetts, Louisiana, Nebraska, North Dakota and others treat accrued vacation as earned wages payable at separation and prohibit forfeiture. §23.5, §36.2
Paid sick and safe leave	Mandated in a large and growing number of states and localities, with differing accrual rates, caps, covered reasons, family definitions and documentation limits. §37
Paid family and medical leave	State insurance programs with employee and/or employer contributions and separate job-protection rules. See §40 for the jurisdiction table.
Pregnancy and parental leave	Separate state entitlements that may run consecutively rather than concurrently with FMLA — California's PDL plus CFRA being the most significant example. §40, §41
Bereavement leave	Mandated in a growing number of states, including for pregnancy loss. §42
Salary history bans and pay transparency	Many states and cities prohibit asking about salary history and require pay ranges in postings or on request; some require pay data reporting. §14.6, §26.2
Ban-the-box / fair chance	Timing of criminal history inquiry, individualized assessment requirements, lookback limits and notice content vary substantially by state and city. §16.3
Non-compete enforceability	Void in California, Minnesota, North Dakota and Oklahoma; income thresholds, notice periods and duration limits in Washington, Colorado, Illinois, Massachusetts, Oregon, Maine, Maryland, Rhode Island, Virginia and D.C. §15.1
Expense reimbursement	Mandated indemnification of necessary business expenses in California, Illinois, Massachusetts, New York, Iowa, Montana, New Hampshire, North Dakota, Pennsylvania, South Dakota and D.C. §117.1
Cannabis and off-duty conduct	Off-duty use and lawful-product protections in many states, with safety-sensitive and federal-contractor exceptions. §80.3

Harassment training mandates	California (2 hours supervisors / 1 hour employees, biennial), New York (annual), Connecticut, Illinois, Delaware, Maine, Washington and others, with differing content and frequency. §69.3
Electronic monitoring notice	Prior written notice required in New York, Connecticut and Delaware. §92.3
Personnel file access	Roughly half the states grant inspection rights with deadlines of 7–30 days and varying copying rules. §21.2
Breach notification	All states, with differing definitions, deadlines and attorney general thresholds. §105.5
Consumer and employee privacy	California (CCPA/CPRA, which uniquely covers employees), plus a growing set of comprehensive state privacy laws; Illinois BIPA and Texas and Washington biometric laws carry significant exposure. §21.4, §106
AI in employment decisions	NYC Local Law 144 bias audits; Illinois AI Video Interview Act and Human Rights Act amendments; Colorado and California automated decision rules. §93.9
Predictive scheduling	Fair workweek ordinances in Oregon and several cities require advance schedules and predictability pay. §28.7
Mini-WARN	Lower thresholds and longer notice in New York, New Jersey (with mandatory severance), California, Illinois, Maryland, Wisconsin, Tennessee, Hawaii, Maine and Minnesota. §23.3
At-will exception	Montana requires good cause after the probationary period. §3
Voting leave	Roughly thirty states mandate time off to vote, some paid, with differing notice requirements. §45
Jury and witness duty	Pay obligations and protections vary; some states require paid time. §43
Workers' compensation	State-specific benefits, provider selection, reporting deadlines and anti-retaliation. §47.4
Recording conversations	All-party consent in California, Florida, Illinois, Massachusetts, Pennsylvania, Washington and several others; one-party elsewhere. The Company requires all-party consent everywhere. §90

160. Illustrative Multi-State Comparison

The following compares six representative jurisdictions on the provisions employees ask about most. It is illustrative and abbreviated; the People Portal holds the authoritative, current matrix for every state in which the Company employs people.

Provision	California	New York	Texas	Illinois	Washington	Massachusetts
Daily overtime	Yes — 1.5× after 8, 2× after 12, and 7th-day rules	No	No	No	No	No
Meal period	30 min before end of 5th hour; 2nd meal	30 min for shifts over 6 hrs	No state mandate	20 min after 7.5 hrs, plus additional	30 min within first 5 hrs	30 min for shifts over 6 hrs

	after 10 hrs; premium if missed	spanning the midday		for long shifts		
Paid rest breaks	10 min per 4 hrs, paid	No general mandate	No	No general mandate	10 min per 4 hrs, paid	No general mandate
Paid sick leave	Statewide mandate; many stronger local ordinances	Statewide, tiered by employer size; NYC additional	No state mandate (Company provides)	Statewide paid leave for any reason; Chicago additional	Statewide mandate	Statewide earned sick time
PFML wage replacement	SDI + PFL	DBL + PFL	None	None	PFML	PFML
Vacation payout	Required; forfeiture prohibited	Per policy, enforceable as agreed	Per policy	Required	Per policy	Required
Final pay — involuntary	Immediately	Next regular payday	Within 6 calendar days	Next regular payday	Next regular payday	Day of discharge
Non-compete	Void	Enforceable if reasonable	Enforceable if reasonable	Income threshold + notice	Income threshold + notice	Garden leave + notice + duration limit
Salary history inquiry	Prohibited; range on request	Prohibited; range in postings	No state ban	Prohibited; range in postings	Prohibited; range in postings	Prohibited; range in postings
Harassment training	2 hrs supervisors / 1 hr staff, biennial	Annual, all employees	Encouraged	Annual	Required for certain industries	Strongly recommended
Off-duty cannabis protection	Yes (with exceptions)	Yes	No	Yes	Yes (hiring stage)	Medical patients protected
Expense reimbursement mandate	Yes — \$2802	Yes	No	Yes	No general statute	Yes
Mini-WARN	60 days, 75+ employees	90 days, 25+	Federal only	Yes	Federal only	Notice + health continuation rules
Monitoring notice	Privacy notice under CPRA	Written notice required	Not required	Not required	Not required	Wiretap consent rules

HOW TO USE THIS APPENDIX

If you are a manager and a question touches any row in these tables, do not answer it from this appendix — route it to your People Partner. Compliance requirements attach to the employee's **work location**, not the Company's headquarters, not your location, and not the location of the system that stores the record. This is why §21.3 requires employees to keep their registered work location current, and why §27.6 and Form 19.19 require approval before working from a new state or country.

APPENDIX B

Glossary of Terms

Definitions of terms and acronyms used in this handbook.

161. Glossary

ACA — Affordable Care Act. Federal law requiring large employers to offer affordable, minimum-value health coverage to full-time employees and to report on Forms 1094-C/1095-C. §51.2

Accommodation, reasonable — A change to a job, workplace or process that enables a qualified person with a disability, or a person with a religious or pregnancy-related need, to perform their role, absent undue hardship. §9

ADAAA — Americans with Disabilities Act Amendments Act. Broadened the definition of disability.

Adverse action — Any employment action that materially harms an employee — termination, demotion, pay reduction, negative rating change, loss of opportunity. Central to retaliation analysis. §8.2

AEDT — Automated Employment Decision Tool. A tool that substantially assists an employment decision; regulated in some jurisdictions. §93.9

Agentic AI — An AI system that can take actions in other systems rather than only producing text. Requires scoped credentials and approval gates. §93.5

At-will employment — An employment relationship terminable by either party at any time for any lawful reason, with or without notice. §3

BIA — Business Impact Analysis. The assessment identifying critical processes, tolerable downtime and recovery objectives. §123.1

BIPA — Illinois Biometric Information Privacy Act. Requires notice and written consent before collecting biometric identifiers; carries a private right of action.

Blackout period — An interval during which employees may not trade Company securities. §75.2

BYOD — Bring Your Own Device. Use of a personal device for limited Company purposes under management controls. §91.2

Calibration — A cross-manager session aligning performance rating standards on evidence. §63.3

CCPA / CPRA — California Consumer Privacy Act, as amended by the California Privacy Rights Act. Uniquely covers employee personal data. §21.4

CFRA — California Family Rights Act. State family leave with a broader family definition than FMLA. §40

Classification (FLSA) — Designation of a role as exempt or non-exempt from overtime, based on duties and salary. §17

Clawback — Recovery of incentive compensation following a restatement or misconduct. §32.5

COBRA — Consolidated Omnibus Budget Reconciliation Act. Continuation of group health coverage at the individual's expense after a qualifying event. §58

Confidential information — Non-public business or technical information of the Company or entrusted to it. §76.1

Contingent worker — A non-employee performing work for the Company: contractor, consultant, agency worker or vendor personnel. §24

Data classification — The assignment of data to Public, Internal, Confidential or Restricted, which determines handling requirements. §94

Deemed export — Release of controlled technical data to a foreign person, including by carrying it across a border on a device. §113.7

DPIA — Data Protection Impact Assessment. Structured assessment of privacy risk before higher-risk processing. §106.2

DTSA — Defend Trade Secrets Act. Federal trade secret protection including the §1833(b) whistleblower immunity notice. §15.3

EAP — Employee Assistance Program. Confidential counseling and referral service. §55

EDR — Endpoint Detection and Response. Security software on Company devices that may not be disabled. §99

EEO-1 — Annual federal workforce demographic report. §12.1

EHS — Environmental Health & Safety. §121

ERISA — Employee Retirement Income Security Act. Governs benefit plan administration and fiduciary duties. §50.6

Escalator principle — Under USERRA, reemployment in the position the employee would have attained had they not served. §44.2

Essential functions — The fundamental duties of a position, as distinguished from marginal ones. Central to ADA analysis. §14.2

Exempt — Not entitled to overtime because the role satisfies an FLSA exemption. §17.2

FCPA — Foreign Corrupt Practices Act. Anti-bribery and books-and-records law. §73

FCRA — Fair Credit Reporting Act. Governs background checks obtained through consumer reporting agencies. §16.2

FLSA — Fair Labor Standards Act. Wage, hour and classification law. §17, §28

FMLA — Family and Medical Leave Act. §39

FSA — Flexible Spending Account. Pre-tax account with annual election and limited carryover. §52

GINA — Genetic Information Nondiscrimination Act. §6

Hallucination — Confident, fluent but false output from a generative model. §93.7

HDHP — High Deductible Health Plan. Required for HSA eligibility. §51.1

HIPAA — Health Insurance Portability and Accountability Act. Privacy and security of protected health information. §59

HSA — Health Savings Account. Portable, investable, triple-tax-advantaged account. §52

Interactive process — The dialogue between employee and employer to identify an effective accommodation. §9.2

Legal hold — A directive suspending destruction of records that may be relevant to actual or anticipated litigation or investigation. §95.4

Least privilege — Granting only the minimum access needed to perform a role. §97

MFA — Multi-Factor Authentication. §98

MNPI — Material Non-Public Information. §75.1

NLRA / Section 7 — National Labor Relations Act; §7 protects concerted activity concerning terms and conditions of employment. §82

Non-exempt — Entitled to overtime; must record all hours worked. §17.1

OFCCP — Office of Federal Contract Compliance Programs. Enforces contractor affirmative action obligations. §12

OSHA — Occupational Safety and Health Administration. §121.4

OWBPA — Older Workers Benefit Protection Act. Governs age-claim releases, including group RIF disclosure requirements. §23.3

PFML — Paid Family and Medical Leave. State wage-replacement insurance programs. §40

PHI — Protected Health Information under HIPAA. §59

PIP — Performance Improvement Plan. §65

Preponderance of the evidence — The standard of proof in internal investigations: more likely than not. §13.2

Prompt injection — An attack in which instructions hidden in content cause an AI system to behave against the user's interest. §93.7

Protected activity — Conduct legally shielded from retaliation, such as reporting a concern or requesting leave. §8.1

PWFA — Pregnant Workers Fairness Act. §11.1

Regular rate — The hourly rate used to compute overtime, including certain bonuses and differentials. §29.3

Restricted covenant — A post-employment restriction such as a non-compete or non-solicitation clause. §15

RIF — Reduction in Force. §23.3

RTO / RPO — Recovery Time Objective (how quickly a service must be restored) and Recovery Point Objective (how much data loss is tolerable). §123.1

Serious health condition — The FMLA standard for a qualifying illness or injury. §39.3

Shadow IT — Use of unapproved software or services for Company work, including free tiers. §104

SIEM — Security Information and Event Management. Centralized log analysis platform. §108.2

SOC 2 — An audit report on controls relevant to security, availability, confidentiality, processing integrity and privacy. §104

SPD — Summary Plan Description. The participant-facing description of an ERISA plan. §50.6

Spoliation — Destruction or alteration of evidence subject to a preservation obligation. §95.4

STD / LTD — Short-Term and Long-Term Disability insurance. §47.2, §47.3

Tailgating — Following an authorized person through a controlled door without badging. §103

Undue hardship — Significant difficulty or expense that excuses an accommodation; a lower threshold applies for religious accommodation under *Groff*. §9.4, §10

USERRA — Uniformed Services Employment and Reemployment Rights Act. §44

WARN — Worker Adjustment and Retraining Notification Act, plus state "mini-WARN" statutes. §23.3

Weingarten rights — A represented employee's right to union representation in an investigatory interview that may lead to discipline. §13.3

Zero trust — A security model in which no network location is inherently trusted and every request is verified. §100

APPENDIX C

Frequently Asked Questions

Answers to the questions the People Team, Payroll, Security and Finance receive most often. Where an answer summarizes a policy, the governing section controls.

162. Pay, Hours and Time Off

My paycheck is wrong. What do I do?

Contact Payroll the same day. Underpayments of more than one hour's pay or \$100 are corrected by off-cycle payment within two business days. Tell your manager as well, but do not wait for your manager to act. §27.4

I'm non-exempt and I answered a few work messages last night. Do I record that?

Yes — every minute of it, on the day it happened. It is work time whether or not anyone asked you to do it. You will not be disciplined for recording it; the Company would be in violation if you did not. §28.2

Can my manager give me time off later instead of paying overtime?

No. Compensatory time in place of overtime is unlawful in the private sector. Your manager may adjust your remaining schedule within the same workweek, but hours already worked must be recorded and paid. §29.5

Am I allowed to talk about my salary with coworkers?

Yes. You have a legally protected right to discuss your own pay, and no one may discipline or discourage you for it. If you have access to others' pay because of your job, you may not disclose that. §26.1

Do I lose my unused PTO at the end of the year?

No. XYZ does not operate use-it-or-lose-it. You may carry over up to one year's accrual, and accrual pauses at 1.5× your annual rate until you use some. §36.2

Will I be paid for unused PTO if I leave?

Yes — the Company pays out accrued unused PTO in every state, whether or not state law requires it. §36.7

I'm sick but I have a deadline. Should I work through it?

No. Use sick leave; it is available from your first day and it is a separate bank from PTO. Do not come to a Company site with a communicable illness, and no manager may pressure you to. §37, §122.8

Do I have to tell my manager what illness I have?

No. You need to say you are using sick leave and, for absences beyond three consecutive days, provide documentation if asked — which confirms the absence, not the diagnosis. §37.3

My manager keeps booking meetings over my lunch break.

Raise it with them, and if it continues, with your People Partner. Non-exempt meal and rest periods are legal requirements, not preferences, and in some states a missed meal period triggers automatic premium pay. §30

163. Leave, Accommodation and Benefits

I need surgery in two months. Who do I tell?

Contact Leave Administration directly — not your manager — to start the process. Tell your manager only the dates you expect to be out so they can plan coverage. §35.1

Do I get parental leave if I'm not the birthing parent?

Yes. All eligible parents receive the same sixteen weeks of fully paid leave, including adoptive and foster parents. Birthing parents additionally receive medical recovery leave before parental leave begins. §41

Can I be fired for taking FMLA leave?

No. FMLA leave is job-protected, cannot be counted against you in attendance or performance, and you are entitled to restoration to the same or an equivalent position. If your leave runs out and you still cannot return, your case goes to the Accommodations team before any employment decision — not to a termination process. §39.7, §47.5

I need a change at work because of a health condition, but I don't want to share medical details with my manager.

You don't have to. Contact the Accommodations team directly. Your manager will be told only your work restrictions and the approved accommodation, never the diagnosis. §9.5

I need a religious holiday off that isn't on the Company calendar.

Use one of your two floating holidays, which exist partly for this purpose, or request accommodation. You do not need to justify the belief. §10.1, §38.3

When can I change my benefit elections?

At open enrollment each November, within thirty days of hire, or within thirty-one days of a qualifying life event (sixty for Medicaid/CHIP events). §50.3

Is the EAP really confidential?

Yes. It is operated by a third party, and the Company receives only aggregate, de-identified usage data. §55

164. Performance, Conduct and Ethics

Is XYZ's rating system a forced curve?

No. There is no mandatory distribution. Calibration aligns standards, not quotas, and "Achieves" is a good outcome expected for most people. §63.2

Does a PIP mean I'm going to be fired?

No, and a PIP may not be used as a formality before a predetermined termination. It must include a measurable standard, real support, and a genuine opportunity. Many employees complete a PIP successfully. §65

A customer offered me event tickets worth about \$400. Can I accept them?

Not without manager and Compliance approval, and not at all if there is an active procurement or negotiation. Gifts up to \$150 per source per year are fine; \$150–\$500 need approval; above \$500 must be declined. Cash and gift cards are never acceptable at any amount. §72.2

I'm reviewing bids and one bidder is my brother-in-law's company. Do I need to say something?

Yes — disclose it immediately on Form 19.05 and recuse yourself from the evaluation. The undisclosed relationship is the violation; a disclosed one that is properly managed usually is not. §71.2

I want to do consulting work on weekends.

Disclose it on Form 19.05 before you start. It's generally fine if it doesn't compete, doesn't use Company time, information or equipment, and doesn't affect your performance. §84

Can I trade XYZ stock right now?

Only outside a blackout period and only if you are not aware of material non-public information. If you are a designated insider you must also preclear. When in doubt, ask Legal before trading, not after. §75.2

I think a colleague is falsifying expense claims. What do I do?

Report it — to Internal Audit, Compliance or the Integrity Line, which accepts anonymous reports. Do not confront them, and do not investigate. Good-faith reporting is protected. §77, §120.1

My manager asked me to do something I think is wrong.

Decline and report it. No business objective and no instruction justifies violating the Code, and following an unlawful instruction is not a defense. §70.3

165. Technology, AI and Security

Can I use ChatGPT or another AI assistant for work?

Yes — through your Company account on an approved tool, at the data classification that tool is cleared for, with human review of the output. Never through a personal account, and never with personal data, customer data or Restricted material. Check the Approved AI Tools List, which is more current than this handbook. §93.2

Can I paste our source code into an AI coding assistant?

Only into a tool approved for code at the Internal or Confidential level. Generated code must go through the same review, static analysis and dependency scanning as any other code, and you should be alert to hallucinated package names, which attackers actively exploit. §93.3, §93.7

Can I use an AI note-taker in my meetings?

Only an approved one, only with everyone's agreement announced at the start, and never in interviews, performance conversations, investigations, legal discussions, or any conversation involving personal or medical information. §93.6

Can I use AI to help screen resumes?

No — not without formal AI Governance Council approval, a bias audit and candidate notice. Employment-decision use is the most heavily regulated AI application there is. You may use AI to draft an interview guide or summarize a job description. §93.5

The AI gave me a statistic and a citation. Do I need to check it?

Yes, every time, against a primary source. Models invent citations, cases, numbers and API functions confidently. "The AI said so" is not an acceptable explanation for an error you sent to a customer. §93.7

I clicked a phishing link and entered my password. Am I in trouble?

No — and please call the Security hotline right now, before finishing this page. Nobody is disciplined for reporting a mistake. What is treated as misconduct is concealing it or delaying. Fast reporting usually prevents the incident entirely. §101.2

Can I email a file to my personal address to work on at home?

No. Use Company-managed devices and systems. Data in personal accounts can't be secured, retained, held for litigation or removed when you leave — and auto-forwarding is blocked and logged. §89.2

My laptop was stolen from my car.

Call the Security hotline within the hour, then file a police report. The device is encrypted and can be wiped remotely, but credentials need rotating and access needs review. §91.1, §105.2

Does the Company read my email?

The Company may access anything on its systems, and automated monitoring runs continuously for security and data-loss purposes. Review of an individual's content requires documented approval from Security leadership with Legal or the People Team. Your personal devices and personal accounts are not monitored. §92

A customer is asking me directly whether we had a security incident.

Refer them to Legal and Communications and say nothing else, including "no comment." Notification obligations are legally governed and often shorter than statutory deadlines under contract. §105.5, §125

166. Travel, Expense and Procurement

Can I book my own flight if it's cheaper?

No — book through the Company tool or agency. Outside bookings forfeit negotiated rates, break traveler tracking that the Company relies on to help you in an emergency, and may not be reimbursed. §109.2

Can I keep my frequent flyer miles?

Yes, and hotel points too. You may upgrade at your own expense. You may not route travel less economically to earn status. §110

Can I extend a business trip for personal vacation?

Yes. Document what the business-only airfare would have been and claim no more than that; all incremental costs are yours. §110

Is my phone bill reimbursable?

You receive a \$60 monthly connectivity stipend covering business use of your personal phone and home internet. If your actual necessary business costs exceed that, submit documentation and the Company will pay the reasonable amount. §119.2

A vendor emailed asking us to update their bank details for the next invoice.

Treat it as fraud until proven otherwise. Finance verifies every bank-detail change by callback to a previously known contact, without exception. This is the single most costly attack pattern there is. §101.2, §116

I need a small software tool. Can I just put it on my card?

No. Every technology purchase — including free tiers and trials signed up for with a Company email address — needs Security, Privacy and IT review. Submit it through the service portal. §114.1, §116.1

I signed an order form before Procurement reviewed it.

Tell Procurement and Legal immediately. You may have committed the Company without authority, which the Company may decline to honor — leaving you personally exposed. Getting it fixed early is far better than the alternative. §114

167. Working Arrangements and Safety

Can I work from another state for a few weeks?

Anything beyond ten consecutive business days needs approval on Form 19.19. Your work location determines tax withholding, which employment laws apply, and your pay range tier — and the Company must be registered to employ people there. §27.6

Can my manager make me come into the office more often?

Work arrangements can be changed for business reasons with reasonable notice, normally thirty days. They may not be changed as discipline or in response to protected activity, and a request tied to a medical condition is handled as an accommodation, not a scheduling matter. §128.1

I hurt my back at my desk at home. Is that covered?

Possibly — report it the same day like any other injury. Work-related injuries occurring while working at home may be covered by workers' compensation. §128.5

The roads are dangerous. Do I have to drive in?

No. No employee is expected to travel in unsafe conditions and none will be penalized for declining. §122.5

Someone is following a colleague and it feels threatening.

Call 911 if there is any immediate danger, then Global Security and your People Partner. Report threats early — attacks are usually preceded by observable warning behavior. §81

I don't feel safe traveling to a particular destination.

Say so to your manager and People Partner. There will be no adverse consequence and an alternative will be found. §113.7

APPENDIX D

Legal Notices and Disclaimers

The notices, disclaimers and reservations of right that govern the interpretation of this handbook.

168. Not a Contract of Employment

This handbook is a statement of the current policies, practices and procedures of XYZ Corporation. It is **not** a contract of employment, an offer of employment, or a promise of continued employment or of any specific treatment. It creates no contractual rights, no implied covenant, no property interest in employment, and no vested rights of any kind. No provision of this handbook should be read as a guarantee that any policy, practice, benefit or procedure will remain in effect.

169. At-Will Employment Reservation

Employment with XYZ Corporation is at will and may be terminated by the employee or by the Company at any time, with or without notice, and with or without cause, subject to applicable law. No supervisor, manager, recruiter, officer or other representative of the Company has authority to enter into any agreement for employment for a specified period or to alter the at-will nature of employment, except in a written agreement that expressly states the intent to do so and is signed by both the employee and the Chief Executive Officer or Chief People Officer. Nothing in this handbook, in any Company document or handbook revision, in any performance evaluation, in any statement made during recruiting or employment, or in any course of conduct or practice modifies this at-will relationship. Employees in Montana should refer to §3 for the statutory modification applicable in that state.

170. Right to Modify

XYZ Corporation reserves the right, in its sole discretion, to add to, modify, suspend, interpret, apply, revoke or cancel any policy, practice, procedure, program or benefit described in this handbook, in whole or in part, at any time, with or without prior notice, subject to applicable law and to the amendment procedures set out in governing benefit plan documents. The Company also reserves the right to interpret this handbook and to determine its application in any particular circumstance. Where a revision is issued, the revision supersedes all prior versions from its effective date.

171. Benefit Plan Documents Control

Descriptions of employee benefit plans in this handbook, including Part VI, are summaries provided for general information only. The terms of each plan are governed exclusively by the official plan documents, insurance policies, trust agreements, group contracts and Summary Plan Descriptions. In the event of any conflict, ambiguity or omission between this handbook and those documents, the official documents control in all respects, including eligibility, coverage, exclusions, limitations, contributions, claims and appeals. Nothing in this handbook creates or confers any right to a benefit. The Company reserves the right to amend, modify or terminate any benefit plan at any time, in whole or in part, for any reason, subject to ERISA and the plan's amendment procedures.

172. Compliance with Applicable Law; Supremacy and Severability

This handbook is intended to comply with all applicable federal, state, provincial and local laws and regulations. Where a provision of this handbook conflicts with applicable law, the law controls and the provision is deemed modified to the minimum extent necessary to comply, or if modification is not possible, severed as to that jurisdiction only. The invalidity or unenforceability of any provision does not affect the validity or enforceability of any other provision. Where local law provides a greater benefit or protection than this handbook, the local requirement applies. Jurisdiction-specific addenda and state supplements, where issued, are incorporated by reference and control over conflicting general provisions for employees in those jurisdictions.

173. Collective Bargaining Agreements

For employees covered by a collective bargaining agreement, the terms of that agreement control on all subjects it addresses. This handbook applies to subjects the agreement does not address, and no provision of this handbook is intended to modify, supersede or waive any right or obligation under a collective bargaining agreement.

174. Protected Rights Not Restricted

RESERVATION OF EMPLOYEE STATUTORY RIGHTS

Nothing in this handbook, and nothing in any Company policy, agreement, training or instruction, is intended to or shall be interpreted to interfere with, restrain, coerce, or retaliate against employees in the exercise of rights protected by law, including:

- Rights under Section 7 of the National Labor Relations Act to self-organize, to form, join or assist labor organizations, to bargain collectively, and to engage in other concerted activities for mutual aid or protection — including discussing wages, hours, benefits, staffing, safety and other terms and conditions of employment with coworkers, former coworkers, a union, or the public, on non-work time and including on social media.
- The right to file a charge or complaint with, communicate with, provide information to, or participate in any investigation or proceeding conducted by the Equal Employment Opportunity Commission, the National Labor Relations Board, the Occupational Safety and Health Administration, the Department of Labor, the Securities and Exchange Commission, the Department of Justice, a state fair employment or labor agency, a state attorney general, or any other federal, state or local government agency or regulatory body — **without prior notice to or authorization from the Company.**
- The right to receive a monetary award from a government whistleblower award program, including under Section 922 of the Dodd-Frank Act. Consistent with SEC Rule 21F-17, no Company policy or agreement impedes any person from communicating directly with the Commission about a possible securities law violation.
- Immunity under the Defend Trade Secrets Act, 18 U.S.C. §1833(b), for disclosure of a trade secret made in confidence to a federal, state or local government official or to an attorney solely for the purpose of reporting or investigating a suspected violation of law, or in a complaint or other document filed under seal in a lawsuit or other proceeding.
- The right to disclose or discuss conduct the employee reasonably believes to be unlawful discrimination, harassment or retaliation, or to discuss the underlying facts of such conduct, where protected by applicable law.
- The right to lawful off-duty conduct and lawful political activity where protected by state law.
- The right to request and use a reasonable accommodation, and to take legally protected leave, free from retaliation.
- The right to a safe workplace, to report hazards and injuries, and to refuse work presenting imminent danger.

175. Confidentiality of This Handbook

This handbook contains confidential and proprietary information of XYZ Corporation and is provided for the use of employees. Employees should not distribute it externally except as required by law or with the approval of the Legal Department. This restriction does not limit any right described in §174, and does not restrict an employee from providing this handbook to a government agency, an attorney, or in connection with any legal proceeding.

176. Required Postings and Notices

Federal, state and local employment notices are posted at each Company facility in areas accessible to all employees, and are available electronically on the People Portal for remote and hybrid employees. These include, as applicable: "Know Your Rights: Workplace Discrimination is Illegal" (EEOC); the Fair Labor Standards Act minimum wage notice; the Employee Polygraph Protection Act notice; the FMLA notice; the USERRA notice; the OSHA "Job Safety and Health: It's the Law" poster and the annual OSHA 300A summary; the E-Verify and Right to Work notices; the Uniformed Services notice; the pay transparency nondiscrimination provision; state-specific wage, leave, workers' compensation, disability, paid family leave, unemployment insurance, anti-harassment, whistleblower, electronic monitoring, and no-smoking notices; and applicable local ordinance notices. Employees who cannot locate a notice should contact the People Team, which will provide it.

177. Equal Opportunity and Affirmative Action Statement

XYZ Corporation is an Equal Opportunity Employer and, as a federal contractor, an affirmative action employer. All qualified applicants and employees receive consideration without regard to any characteristic protected by law, as set out in §6.1. XYZ Corporation is committed to providing reasonable accommodation to applicants and employees with disabilities and to individuals with sincerely held religious beliefs. Applicants requiring accommodation in the application or interview process may contact accommodations@xyzcorp.example.

178. Governing Law and Interpretation

This handbook is interpreted under the laws of the State of Delaware and the federal laws of the United States, without regard to conflict-of-laws principles, except that the employment laws of the state and locality in which an employee performs work govern that employee's terms and conditions of employment to the extent those laws apply. Headings and section numbers are for convenience only and do not affect interpretation. The use of examples, whether or not introduced by "including," is illustrative and not exhaustive.

179. Third-Party Beneficiaries and Assignment

This handbook confers no rights on any person or entity other than XYZ Corporation and its employees, and creates no rights enforceable by customers, suppliers, contingent workers or any other third party. The Company's rights under this handbook may be exercised by any successor or assign.

180. Contact for Questions About These Notices

Questions regarding these legal notices should be directed to the Office of the General Counsel at legal@xyzcorp.example. Questions regarding the application of a policy should be directed to the People Team at people@xyzcorp.example.

APPENDIX E

Key Contacts and Resources

181. Where to Go

Need	Contact	Availability
Life-threatening emergency	911 (or local emergency number), then Global Security	Always — call first, notify second
Global Security emergency line	Number on the reverse of your badge and in the emergency app	24/7
Security incident, lost device, phishing click	Security Operations hotline · security@xyzcorp.example · incident button in chat	24/7 — report within 1 hour
Pay, leave, accommodation, performance, interpersonal	Your People Partner (listed on the People Portal) · people@xyzcorp.example	Business hours
Harassment, discrimination, retaliation	Employee Relations · employee-relations@xyzcorp.example	Business hours
Ethics, conflicts, fraud, anything you'd rather report anonymously	Integrity Line — telephone and web, third-party operated	24/7, multilingual, anonymous where permitted
Leave of absence	Leave Administration · leave@xyzcorp.example · third-party administrator portal	Business hours
Accommodation request	accommodations@xyzcorp.example	Business hours
Payroll error or question	Payroll · payroll@xyzcorp.example	Business hours — report same day
Benefits and enrollment	Benefits · benefits@xyzcorp.example · carrier and advocacy lines in the benefits guide	Business hours; carriers extended
Employee Assistance Program	Number in the benefits guide and on the People Portal	24/7, confidential, no cost
Compensation, level, pay range questions	Compensation · compensation@xyzcorp.example	Business hours
IT support, access, software	Service portal · IT service desk	24/7 for critical

AI tool approval or an AI problem	AI Governance Council · <i>ai-governance@xyzcorp.example</i>	Business hours
Privacy, individual rights requests	Privacy Office · <i>privacy@xyzcorp.example</i>	Same-day routing required
Travel booking, changes, in-trip assistance	Travel tool · designated agency · travel risk assistance line	Assistance line 24/7
Expenses and corporate card	<i>expenses@xyzcorp.example</i> · card issuer for lost cards	Business hours; issuer 24/7
Procurement and supplier onboarding	<i>procurement@xyzcorp.example</i>	Business hours
Safety hazard, injury, ergonomics	EHS · <i>ehs@xyzcorp.example</i> · EHS reporting tool	Business hours; emergencies via Security
Media, analyst or public inquiry	Corporate Communications — refer immediately, say nothing	Business hours; on-call for crises
Subpoena, regulator, law enforcement request	Office of the General Counsel · <i>legal@xyzcorp.example</i>	Immediately, before any response
Business continuity activation	Business Continuity Office · crisis hotline	24/7
Immigration and work authorization	<i>immigration@xyzcorp.example</i>	Business hours
Handbook questions and policy interpretation	<i>people@xyzcorp.example</i>	Business hours

Telephone numbers are deliberately not printed in this document because they change. Current numbers for every line above are maintained on the People Portal, in the emergency app, and on the reverse of your badge. Store the Security hotline and the travel assistance line offline on your phone — you will need them when systems are unavailable.

APPENDIX F

Employee Acknowledgment

182. Acknowledgment of Receipt and Understanding

Please read the statements below, sign, and return this page to the People Team within five business days of your start date, or within fifteen days of publication of a revised handbook. Electronic acknowledgment through the HRIS satisfies this requirement and is the preferred method.

EMPLOYEE HANDBOOK ACKNOWLEDGMENT · REVISION 4.0 · EFFECTIVE JULY 29, 2026

I acknowledge that I have received access to the XYZ Corporation Employee Handbook, Revision 4.0. I understand that it is my responsibility to read it, to comply with the policies it contains, and to ask the People Team about anything I do not understand. I understand that policies may be updated and that I am responsible for complying with the current version.

I specifically acknowledge and understand that:

1. **My employment is at will.** I may resign at any time, and XYZ Corporation may end my employment at any time, for any lawful reason or no reason, with or without notice or cause. Only a written agreement signed by me and by the Chief Executive Officer or Chief People Officer, expressly stating an intent to modify at-will status, can change this.
2. **This handbook is not a contract.** It creates no contractual rights, and the Company may add to, modify, suspend, interpret or cancel any policy at any time, subject to applicable law.
3. **Benefit plan documents control.** Part VI is a summary; the official plan documents govern, and plans may be amended or terminated.
4. **I have limited privacy in Company systems.** The Company may monitor, access and review its systems, devices, accounts and networks, including my personal use of them, to the extent permitted by law.
5. **I must report concerns.** I will promptly report suspected discrimination, harassment, retaliation, unsafe conditions, security incidents, and violations of law or the Code of Business Conduct and Ethics through the channels described in §7.5, §77 and §105.
6. **My confidentiality and intellectual property obligations continue** after my employment ends, and I will return all Company property and data on separation.
7. **My legally protected rights are preserved.** Nothing in this handbook or this acknowledgment limits my right to discuss wages, hours or working conditions with coworkers, to engage in activity protected by Section 7 of the National Labor Relations Act, to report possible violations of law to a government agency without notifying the Company, to participate in an agency proceeding, or to receive a whistleblower award.
8. **I understand where to go for help** — my manager, my People Partner, Employee Relations, the Integrity Line, Security Operations, or the contacts in Appendix E.

I understand that declining to sign this acknowledgment does not exempt me from the policies in this handbook.

Employee name (print) 	Employee ID
Signature 	Date
Work location (city / state / country) 	Manager

People Team use: received _____ · recorded in HRIS _____ · filed in personnel file _____ · jurisdiction addendum issued ☐ _____ · required notices delivered ☐ · training assigned ☐.

APPENDIX G

Document Control and Revision History

183. Document Control

Document title	XYZ Corporation Employee Handbook
Revision	4.0 — Comprehensive Enterprise Edition
Effective date	July 29, 2026
Supersedes	Revision 3.2, effective January 15, 2025, and all policy memoranda and intranet policy pages issued before the effective date except those listed in §184.
Classification	Internal — Confidential (§94)
Document owner	Chief People Officer
Delegated part owners	Parts I–VII, XVI–XIX: Chief People Officer · Part VIII: General Counsel and Chief Compliance Officer · Parts IX–X: Chief Information Officer and Chief Information Security Officer · Parts XI–XIII: Chief Financial Officer · Parts XIV–XV: Chief Operating Officer
Legal review	Office of the General Counsel; external employment counsel for multi-state provisions
Approved by	Executive Committee; Code of Ethics (Part VIII) approved by the Board of Directors
Next scheduled review	July 1, 2027 (annual cycle per §5.3)
Retention	Each revision retained permanently; acknowledgments retained per §21.5

184. Documents Expressly Preserved

The following remain in force alongside this handbook and are not superseded by it: the Employee Proprietary Information and Inventions Agreement; all benefit plan documents, insurance contracts and Summary Plan Descriptions; the Insider Trading Policy and Rule 10b5-1 plan procedures; the Related Person Transaction Policy; the Incentive Compensation Recoupment Policy; the Supplier Code of Conduct; the Delegation of Authority matrix; the Records Retention Schedule; the Approved AI Tools List and AI use-case register; the Information Security Policy set and technical standards; the Global Data Protection Policy and jurisdiction privacy notices; site-specific Emergency Action Plans; jurisdiction and country addenda; and any applicable collective bargaining agreement.

185. Revision History

Rev.	Date	Summary of changes
4.0	July 29, 2026	Comprehensive restructure into nineteen parts and seven appendices. New: Part IX §93 Artificial Intelligence Usage Policy with governance, approved-tool model, data-class matrix, higher-risk assessments and disclosure duties; Part XVII Manager Responsibilities consolidating manager obligations; Part XVIII Standard Operating Procedures; Part XIX Forms and Templates; Appendix A federal and multi-state compliance guidance. Materially revised: leave architecture and state PFML coordination (§40); paid parental leave increased to sixteen weeks with phased return (§41); pay transparency and pay equity (§26); cybersecurity standards rewritten to zero-trust and phishing-resistant MFA (Parts X); incident response with regulatory notification map (§105); privacy operations and individual rights (§106); vendor and supply chain risk (§104); expense reimbursement mandates by state (§117.1); business continuity tiering and crisis structure (Part XV); remote and hybrid work arrangements (Part XVI). Updated throughout: PWFA and PUMP Act accommodations, <i>Groff</i> religious accommodation standard, cannabis and off-duty conduct protections, restrictive covenant enforceability by state, protected-rights carve-outs in all agreements.
3.2	January 15, 2025	Added pay range disclosure in postings; updated exempt salary thresholds; expanded paid sick and safe leave to align with new state mandates; added electronic monitoring notice; first interim AI guidance issued as a standalone memorandum.
3.1	March 1, 2024	Updated FCRA adverse action procedure; added fair-chance individualized assessment; refreshed travel policy caps; added home office stipend.
3.0	June 1, 2023	Introduced hybrid work framework; restructured performance management to two formal checkpoints; added Integrity Line; expanded conflicts disclosure and annual certification.
2.0	September 1, 2021	Added remote work policy, pandemic annex, and expanded leave provisions; first Code of Business Conduct and Ethics integrated into the handbook.
1.0	April 1, 2019	Initial publication.

186. How to Suggest a Change

Employees are encouraged to suggest improvements to this handbook. Send suggestions to people@xyzcorp.example with the section number and the problem you encountered. Suggestions are logged and considered in the annual review cycle (§5.3), and urgent corrections — anything unclear enough to cause a mistake, or anything that appears inconsistent with law — are addressed immediately rather than waiting for the cycle. Policies that people cannot understand do not protect anyone.

END OF HANDBOOK

If you read only one page again, make it Appendix E — knowing who to call is worth more than remembering any single rule in this document. And if you are ever unsure whether something is allowed, the answer is always the same: ask before, not after.